Adama Agricultural Solutions Ltd.

PERIODIC REPORT

FOR THE YEAR 2025

Periodic Report for the Year 2025

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Chapter B - Board of Directors' Report on the State of the Company's Affairs

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INTRODUCTION

In this Report, the following terms have the meaning appearing alongside them:

The Company or the Group	-	ADAMA Agricultural Solutions Ltd., including all its subsidiaries, unless otherwise indicated or the context otherwise requires.
ADAMA Ltd.	-	ADAMA Ltd., the Company's shareholder.
ADAMA Group	-	ADAMA Ltd., including all its subsidiaries, unless expressly stated otherwise.
Syngenta Group	-	Syngenta Group Co. Ltd.
Syngenta Group Companies	-	Syngenta Group subsidiaries.
CNAC	-	China National Agrochemical Co., Ltd., a Chinese Entity, member of the ChemChina Group.
ChemChina	-	China National Chemical Co., Ltd.
Sinochem Holdings	-	Sinochem Holdings Corporation Ltd.
Sinochem Group	-	Sinochem Holdings including all its subsidiaries unless otherwise indicated or the context otherwise requires.
ADAMA Makhteshim	-	ADAMA Makhteshim Ltd.
ADAMA Agan	-	ADAMA Agan Ltd.
TASE	-	Tel Aviv Stock Exchange
Financial Statements	-	The Company's consolidated financial statements as of December 31, 2025, attached to this Report.
Securities Law	-	Israel Securities Law, 1968

Unless expressly stated otherwise, all financial data in this report are denominated in USD.

Translation of financial data in various currencies to USD: Transactions in foreign currency are translated to USD, the Group's functional currency, at the exchange rate effective on the transaction dates. Monetary Assets and liabilities denominated in foreign currency on the reporting date are translated into the functional currency according to the exchange rate prevailing on that date.

Assets and liabilities of foreign operations are translated to the USD at the exchange rate prevailing on the date of the Report.

Interest rates: The interest rates referred to in this chapter are annual interest rates.

Chapter A

Description of the Company's Business

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Part I - General Development of the Company's Business

1. THE COMPANY'S ACTIVITIES AND GENERAL BUSINESS DEVELOPMENT

The Company is a global leader in crop protection, engaging in the development, manufacturing and commercialization of a wide range of mainly off-patent crop protection products. The Company provides solutions to farmers to combat weeds, insects and disease in dozens of countries globally, with direct presence in all top 20 markets.

The Company's business model integrates end-customer access, regulatory expertise, state-of-the art global R&D, production and formulation facilities, thereby providing the Company a significant competitive edge and allowing it to launch new and differentiated products that meet local farmer and customer needs in key markets.

In addition, the Company is active in a few additional areas unrelated to agriculture; these activities leverage on its core capabilities in the agricultural and chemical fields and are not material in scope.

ADAMA Group

Since July 2017, the Company has been directly wholly-owned by ADAMA Ltd., a Chinese domiciled company whose shares are traded on the Shenzhen Stock Exchange, with a global management leading both the Company and ADAMA Ltd. (the "**ADAMA Group**" - as defined hereinabove).[1]

Syngenta Group

As of June 2020, ADAMA Group is a member of Syngenta Group, a world leader in agricultural inputs, spanning crop protection, seeds, fertilizers, additional agricultural and digital technologies, as well as an advanced distribution network in China.[2]

As of August 2021, following the combination between ChemChina and SinoChem, two large economical conglomerates and SOEs with extensive operations in China and around the world, Syngenta Group, and subsequently the ADAMA Group and the Company, are ultimately controlled by SinoChem Holdings.[3] ADAMA Ltd. is the controlling shareholder of the Company.

Syngenta Group operates through four business units: Syngenta Crop Protection, Syngenta Seeds, ADAMA and Syngenta Group China:

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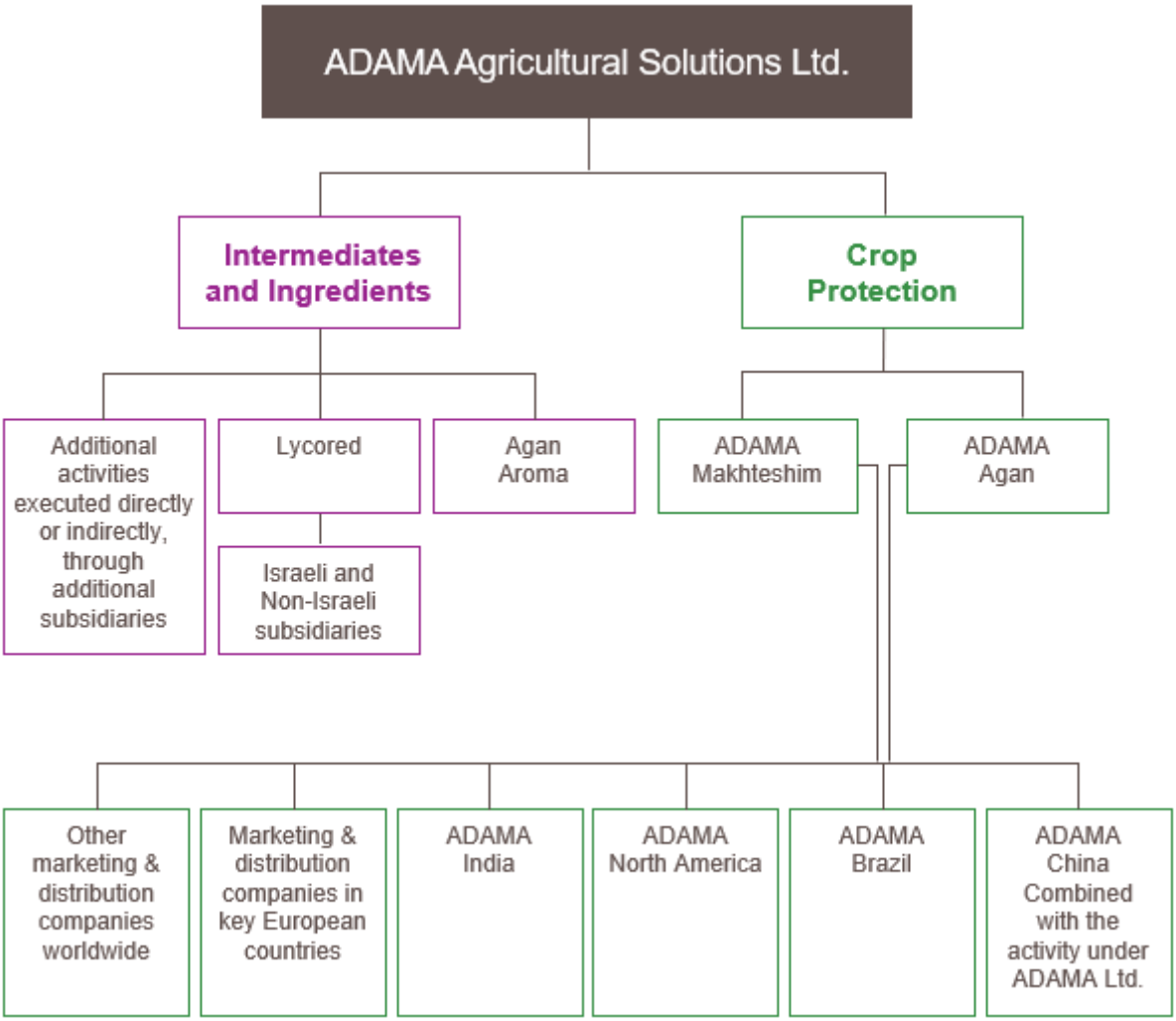
1 See the ADAMA Group Organizational Structure under Section 23 of this chapter.
2 Following a transfer of its indirect holdings in ADAMA Ltd. to Syngenta Group, its indirect subsidiary.
3 Subordinated to the State-owned Assets Supervision and Administration Commission (SASAC) of the State Council in China. However, the Company does not refer to the supervision of SASAC as establishing control of the Chinese Government over the Company.



The Company, while maintaining its unique brand and positioning, has significantly advanced and strengthened its collaborations with the Syngenta Group Companies over the past few years, generating meaningful additional benefits for the Company as well as Syngenta Group, by collaborating to accelerate growth and increase productivity through, but not limited to, the potential provision of reciprocal access to certain products in specific territories, as well as exploiting opportunities aimed at optimizing the utilization of the Syngenta Group Companies' operational capabilities, and benefiting from procurement and operational savings.

The Company's assessments regarding Syngenta Group's activity and its effect on the Company contain forward looking statements, which rely on information and data held by the Company, studies and other publications as detailed in this Report. This information is uncertain and depends, inter alia, on additional factors beyond the Company's control, including activities by its existing and potential competitors, global and local regulatory and economic processes, and the economic situation in these countries. The Company's assessments may not materialize should it become apparent that such information and data were incorrect or should other factors beyond the Company's control affect the materialization of the Company's assessments.

Overview of the Company's Operational Structure:[4]



Description of the Structural Changes; Material Mergers and Acquisitions

The Company was incorporated as a public company in Israel in December 1997, as part of the execution of a scheme of arrangement for the change of the holding structure of the Makhteshim-Agan group (as it was named then). As part of its operating method and pursuit of its strategic goals, the Company reviews and executes, from time to time, collaborations with companies, operations, registrations and distribution rights for existing and additional products in the areas of its activity. These collaborations contribute to the Company's growth alongside the Company's own organic growth, which has been the prime growth driver in recent years.

On December 31, 2025, the Company's Board of Directors approved non-material mergers[5] between the Company and its wholly owned subsidiaries (directly or indirectly) ADAMA Makhteshim, ADAMA

[4] This diagram does not include all the Group's companies, but rather only those most significant to its operations; names have been contracted for the sake of brevity. For a complete list of the Group's subsidiaries and affiliates, see Appendix to the Company's Financial Statements (Schedule of Investee Companies).

[5] Pursuant to Regulation 37C(a)(b) of the Securities Regulations.

Agan, and Agan Aroma (as such term is defined in Section 19 below) (together, the "**Target Companies"** and the "**Mergers**").

The execution and completion of the Mergers are subject to customary conditions precedent, including approval of the Israel Tax Authority and approvals from third parties (including from required regulatory authorities). Upon completion, all assets and liabilities of the Target Companies will be transferred to the Company.

As the Mergers are between the Company and its wholly owned subsidiaries, the Mergers have no effect on the Company's assets or liabilities in its consolidated financial statements.

The effective date of the Mergers for tax purposes is December 31, 2025.

The main reasons for the Board's approval of the Mergers include management unification, realization of synergies, enhancement of operational efficiencies, and cost reduction.

For more details, see the immediate report dated December 31, 2025 (ref: 2025-01-105920), incorporated herein by reference.

2. THE COMPANY'S AREAS OF OPERATION

Crop Protection

The Company is focused on the development, manufacturing and commercialization of mainly off-patent crop protection products, which are in general herbicides, fungicides and insecticides that protect agricultural crops from weeds, disease and insects respectively. The Company is increasingly putting focus on on-patent products mainly through unique, proprietary formulations. In addition, the Company utilizes its expertise for the development, production and commercialization of similar products for non-agricultural purposes (*Consumer and Professional Solutions*). In 2025, crop protection sales (including the sale of these substances for non-agricultural uses) represented approximately 95% of the Company's sales. For additional information and a description of the segment, see chapter A.1 below.

Intermediates and Ingredients

The Company leverages its core capabilities in the agricultural and chemical fields to operate also in a few other non-agricultural areas, none of which, individually, is material for the Company, and which in 2025 together accounted for approximately 5% of the Company's sales. These activities include primarily, (a) the manufacturing and marketing of dietary supplements, food colors, texture and flavor enhancers, and food fortification ingredients; (b) fragrance products for the perfume, cosmetics, body care and detergents industries; and (c) the manufacturing of industrial products. For further information and a description of these aforementioned activities, see chapter A.2 below.

3. INVESTMENTS IN THE COMPANY'S EQUITY AND TRANSACTIONS IN ITS SHARES

The Company is a private company whose bonds are listed for trade on the TASE. As such, the Company is a "Reporting Entity" as such term is defined in the Securities Law. On July 4, 2017, the entire share capital of the Company was transferred to ADAMA Ltd. Since that date, the Company has been a wholly owned subsidiary of ADAMA Ltd., a Shenzhen Stock Exchange-listed Company which is majority-owned by the Syngenta Group and ultimately controlled by SinoChem Holdings. For details regarding Syngenta Group, see Section 1 above.

4. DIVIDEND DISTRIBUTION

As of the date of this Report, the Company's Articles of Association do not include a profit distribution policy. No dividend declarations or distributions were made in the years 2024-2025 and during 2026 until the date of publication of this Report. The balance of retained earnings available for distribution as per the Company's financial statements as of December 31, 2025 stands at approximately USD 1.018 billion (net of cancelled treasury shares).[6]

Part II - Additional Information

5. FINANCIAL DATA

The following is the distribution of the Company's consolidated revenues by operation segments in the three years prior to the date of the Report, in similar segmentation to that in the Financial Statements and without adjustments thereto:[7]

For the year ended December 31, 2025 (In Million USD):

Operation Segment	Segment Revenues	Segment Costs[8]	Profit from Regular Activities (Operating Profit)	Operating Profit Margin (%)	Total Assets	Total Liabilities
Crop Protection	3,492	3,336	156	4.5%	4,527	1,065
Intermediates and Ingredients	168	159	8	5.0%	219	20
Total	**3,660**	**3,496**	**165**	**4.5%**	**4,747**	**1,084**

[6] For details regarding tax considerations applicable to distribution of part of these earnings, see Section 26 of this chapter.

[7] As of the date of this Report, the amount and rate of the revenues and profit from inter-segment sales within the Group are negligible.

[8] As of the date of this Report, the Company's management believes that splitting the segment costs into fixed and variable costs (as required by the Securities Regulations (Prospectus Details and Prospectus Draft - Structure and Form), 1969), is not relevant to the Company's operations and therefore, the management does not analyze this data and it is unavailable.

For the year ended December 31, 2024 (In Million USD):

Operation Segment	Segment Revenues	Segment Costs[8]	Profit from Regular Activities (Operating Profit)	Operating Profit Margin (%)	Total Assets	Total Liabilities
Crop Protection	3,559	3,585	-26	-0.7%	4,610	900
Intermediates and Ingredients	177	171	6	3.3%	220	21
Total	**3,736**	**3,756**	**-20**	**-0.5%**	**4,830**	**921**

For the year ended December 31, 2023 (In Million USD):

Operation Segment	Segment Revenues	Segment Costs[8]	Profit from Regular Activities (Operating Profit)	Operating Profit Margin (%)	Total Assets	Total Liabilities
Crop Protection	4,011	3,922	89	2.2%	5,058	884
Intermediates and Ingredients	180	173	7	4.1%	210	25
Total	**4,192**	**4,095**	**97**	**2.3%**	**5,268**	**908**

In these tables above, numbers may not sum due to rounding.

For analysis of the developments that occurred in the figures presented in the Financial Statements, see the Board of Directors' Report.

6. GENERAL ENVIRONMENT AND THE EFFECT OF EXTERNAL FACTORS ON THE COMPANY'S OPERATIONS

Major trends, events and key developments in the Company's macro-economic environment may materially impact the Company's business results and development. The impact of these factors may differ by geographic region and the different products of the Company. Since the Company offers one of the widest and most diverse portfolios of crop protection products and since it operates in many geographic regions, the aggregate effect of these factors in any given year and the course thereof is not uniform and may sometimes be mitigated by offsetting effects.[9]

Global Factors

Demographic changes, economic growth and rising standards of living

Multi-year global economic growth, population increase, urbanization and rising standards of living in various populations in the world, particularly in emerging economies such as Brazil, China and

[9] The Company's estimates presented in this section and in this Report are based, among other things, on data published by AgBio Investor, an independent consulting and research firm in the field of agriculture, crop protection and biotechnology (agbioinvestor.com) ("AgBio Investor"), and the website of the US Department of Agriculture (USDA) (usda.gov), which was not independently assessed by the Company.

India, have led to a general increase in food consumption, particularly in the consumption of animal-derived foods. Accordingly, the demand for agricultural crops has increased to support this increase in food consumption, and in the demand for crops containing plant derived proteins that are intended for the food industry, and for grains utilized in animal feed.

An additional trend is the development of energy sources that may be considered less harmful to the environment than fuel and its derivatives. To that end, many countries maintain advanced industries for the manufacture of biofuels that are produced from certain agricultural products such as corn, sugar beet and sugarcane.

The abovementioned increase in demand, combined with the concurrent stabilization of planting areas and the reduction of arable land (mainly as a result of urbanization), has incentivized farmers to optimize the amount of crop production per unit of land, to maximize their individual yield and to enhance the quality of their crops, which has positively impacted the demand for the Company's products.

Agricultural commodity prices

High prices for agricultural commodities encourage farmers to reach maximum yield from their fields. As their profitability increases, the farmers' incentive to enhance the protection of their crops from disease and pests also increases, and accordingly the demand for crop protection products rises.

Throughout 2025, agricultural commodity prices flattened at relatively low levels following three years of decline from peak levels reached in 2022 as crop supply outpaced demand on the back of improved productivity. In the lack of significant challenges, crop prices are expected to remain broadly stable in 2026, at levels that continue to pressure farm profitability. Farmer income saw minor relief in 2025 compared to 2023-2024 due to decrease in input costs, yet is expected to remain under pressure in 2026 given low agricultural commodity prices and still elevated input costs in some categories.

The Company's assessments with respect to expected changes in agricultural commodity prices, crop prices and farm profitability, contain forward looking statements, as defined in the Securities Law.

Significant fluctuations in raw material costs and global energy prices

The most significant factor impacting the cost of goods of agrochemical companies is the cost of the raw materials utilized in the manufacturing of crop protection products. Therefore, significant increases or decreases in the costs of raw material affect the cost of goods sold, which, due to the length of the Company's inventory cycle, is generally observable several months following the change in the costs of the raw material.

Since the raw materials are chemicals produced, *inter alia*, as third or fourth order derivatives of oil, extreme changes in global oil prices may impact the cost of goods sold. However, such impact is only partial, since these chemicals are only derivatives of oil. In addition, changes in oil prices may

have an impact on energy and logistic costs.

Oil prices declined in 2025 compared to 2024, mainly due to weakening demand as global growth softened further. Rising OPEC oil output added further downward pressure, while the resurgence of geopolitical tensions in the Middle East has, throughout 2025, had a negligible effect on prices.

The recent conflict in the Middle East subsequent to the date of this Report has led to a notable increase in oil prices. Future price levels will depend on the duration and evolution of the conflict, as well as on potential policy responses and supply adjustments.

The Company's assessments with respect to expected changes in oil prices, contain forward looking statements, as defined in the Securities Law.

Development of new crop protection technologies

The majority of seeds sold in the genetically modified seed market are seeds with characteristics designed, among other things, to protect the crop against non-selective herbicides (substances that are not designed to eliminate specific types of weeds and thus may also harm the crop), and against insects (together known as "**Input Traits**"). These characteristics may save farmers related expenses of purchasing several selective herbicides for crop protection or purchasing a variety of different insecticides.

The use of genetically modified seeds in a specific country affects the selection of crop protection products used by farmers in such country. Accordingly, expansion of the use of genetically modified seeds may directly influence supply and demand, and therefore the prices, of the various crop protection products. This effect often leads to price fluctuations of these products on the global level, and as such there is also an indirect effect on the supply and demand for crop protection products in other countries, even if they do not allow the use of genetically modified seeds.

Concurrently, in recent years, there has been an increase in the use of natural and/or biological substances that attack weeds, pests and diseases for crop protection purposes. The efficacy of such products is currently still not comparable to that of chemical-based crop protection and issues regarding shelf life continue to be an adoption barrier. Therefore, these products are still adopted in the market as a supplement to chemical crop protection products and not as a substitute. The Company believes that despite the increase in the use of these products, the demand for these products is still small compared to the use of chemical crop protection products.

Patent expiry and growth in volumes of off-patent products

In recent years, the market share of original patent-protected crop protection products has been consistently shrinking due to ongoing patent expiries and the reduced rate of introduction of new patented molecules, a trend which the Company expects to continue in the coming years. Consequently, this has created growth potential for the development of new off-patent products to compete with the original products bearing expired patents. Off-patent companies, Chinese and

Indian chemical producers, crop protection distributers as well as research-based companies have all taken a stance in this space of off-patent products and are competing for market share.

The Company believes that there is a market space of products based on off-patent active ingredients where it is possible to provide value through innovation at the product level, using existing active ingredients enhanced by proprietary formulations. In light of this and the Company's existing capabilities with proprietary formulation technology platforms, it is focusing its efforts on this market segment of value innovation.

The chemical and agrochemical industry in China

The chemicals industry in China, which the Company estimates to be the largest in the world, and the agrochemicals industry, consist of a large number of companies. These companies have invested in manufacturing infrastructure, with most of their production capacity aimed at exports through small and large companies, including the Company and several competitors. The competition and price level in this industry are impacted by production capacity, and the competitive pricing of the products produced in China.

Active ingredients (hereinafter also referred to as "**AI**"/"**AIs**") are a key component in crop protection products.

Following a sharp increase in China AI prices in 2021 due to Covid supply disruption, prices have since declined significantly. In recent years, Chinese manufacturers have invested significant sums in new AI capacity leading to extreme global overcapacity of many key AIs. This overcapacity, coupled with industry demand decline in 2023 due to high inventories, resulted in a sharp price decline in 2023. Prices remained flat in 2025. In 2026 AI prices may be impacted by higher oil prices and their consequent effect on production and supply chain costs. .

The Company's assessments with respect to expected changes in AI prices, contain forward looking statements, as defined in the Securities Law.

Localized Factors

The agricultural market and severe weather conditions

Weather conditions during the agricultural season in each country where the Company operates directly impact the demand for its products.[10]

Regulatory changes

Registrations - The Company's main area of operation is subject to product registration requirements pursuant to the relevant policies in each country of operation, with these registration processes being characteristic of the crop protection industry and constituting a barrier of entry to the industry. Moreover, the Company is required, from time to time, to renew or modify such

[10] For further information see Note 1A(2) to the Financial Statements and Section 34 of this chapter, "Decline in scope of agricultural activities; exceptional changes in weather conditions".

registrations by conducting new tests and studies and is also required to comply with additional regulatory requirements.[11]

The agrochemical industry has been impacted in recent years by revocation of registration for many products around the world. This trend is particularly evident in European countries, as well as in other countries, including India, impacting the ability of the Company to sell some of its products. This has also been a catalyst for the Company's research and development of new mixtures and formulations based on existing registrations.

Environmental protection and other quality standards - The production processes and manufacturing environment of the products in the Company's main area of operations are subject to strict and rigorous regulatory requirements regarding the sphere of environmental protection requirements, which vary according to the policies of each country. In addition, the use of the Company's products is subject to regulation by health, environmental protection and agriculture agencies in the various countries.[12]

Government policies

Total government support to the agricultural sector has declined in 2022 relative to its peak in 2021, but remains significantly above levels seen just before the COVID-19 pandemic[13]. However, in markets like the US, recent subsidies largely reflect compensation for export market losses arising from trade policy changes, rather than driving organic income growth. Accordingly, while support levels are elevated, farmer profitability and purchasing power remain under pressure in key geographics and will continue to be an important factor to monitoring demand for crop protection products.

In addition, since the Company operates globally, its export and import activities are subject, *inter alia*, to a variety of requirements and standards related to permits and to processes vis-à-vis the customs and port authorities in different countries.

World ports

Imports and exports of products and raw materials by multinational companies in the Company's field of operations are heavily reliant on the services of the various international ports.[14] Logistics costs declined sharply during 2022 as global supply chains normalized after the Covid disruptions. Shipping costs, which had eased during 2025 as global supply chains adjusted following the Red Sea disruptions, have come under renewed upward pressure subsequent to the date of this Report since the outbreak of the conflict in the Middle East in early 2026, mainly due to rerouting and additional surcharges on certain Middle Eastern trade lanes. At this stage, it is too early to assess

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11 For further information see Sections 15 and 34 of this chapter, "Environment, health and safety legislation, standards, regulation and exposure".
12 For further information see Section 27 of this chapter.
13 As per the OECD "Agricultural Policy Monitoring and Evaluation 2025" report, Nov 2025.
14 For further information see Section 34 of this chapter, "Raw material supply and/or shipping and port services disruptions".

whether these recent developments will lead to a sustained change in average freight cost levels for 2026 as a whole

The Company's assessments with respect to expected changes in shipping costs and freight rates, contain forward looking statements, as defined in the Securities Law.

Monetary Policy and the Financial Market

The Company is exposed to both currency exchange rate volatility and Israeli consumer price index fluctuations.[15]

Note that the Company's business activities and results may be affected in the future by the above-mentioned factors, either positively or negatively. The extent of such effects, if any, depends, inter alia, on the intensity of said events, their duration and the Company's ability to manage them (insofar as such may be manageable). For further details regarding the risk factors applicable to the Company's business operations, see Section 34 of this chapter.

The Company's assessments described in this chapter, including with respect to expected changes in grower margin and expected changes in oil prices and oil supply and demand, Crop prices and AI prices contain forward looking statements, which rely on the information and data held by the Company, studies and other publications as detailed in this chapter, as well as on the Company's estimates at the reporting date of the effects of market trends on supply and demand for its products.

This information is uncertain and depends, inter alia, on additional factors beyond the Company's control, including activities by its existing and potential competitors, global and local regulatory and economic processes and the global and local economic situation. The Company's assessments may not materialize should it become apparent that such information and data were incorrect or should other factors beyond the Company's control occur.

[15] This is addressed in Section 34 of this chapter under the titles "Exchange rate fluctuations" and "Exposure to Interest rate, CPI and NIS exchange rate fluctuations".

Part III - Description of the Company's Business

A.1. CROP PROTECTION PRODUCTS (AGROCHEMICALS)

7. GENERAL INFORMATION

The crop protection market fulfills a central role in meeting the increasing demand for food worldwide.

Crop protection products assist in improving the quantity and quality of crop yields by protecting crops against the damaging and destructive effects of a variety of weeds, pests and disease. In the absence of these products, farmers may lose a significant portion of their crop yields (depending on the type of crop and geographic region).

Crop protection products are also used in non-agricultural fields, to protect against weeds, pests and disease, *inter alia*, in roadworks, forests, lawns, parks, institutions, the wood and paint industry, facilities and private residential gardens ("**Consumer and Professional Solutions**").

Crop protection products include three main product groups: (1) herbicides, (2) insecticides, and (3) fungicides. Those are generally applied as foliar spray, in the soil or as seed treatment.

Furthermore, crop protection products in the global market are divided into two categories: (a) products whose active ingredient is still patent-protected, generally developed by active ingredient research-based companies (RBCs) in the field; and (b) products that use one or more active ingredients whose patent has expired. These products often differentiate in the way the active ingredients are combined and in the way they are formulated. Along its 'Value Innovation' Strategy, the Company focuses on developing and selling differentiated category (b) products.

Legislative restrictions, regulations and special constraints

For details of these respective aspects regarding the Company's operations and the various restrictions, see Sections 15 and 28 of this chapter.

Volume and profitability trends and changes

Total sales of the global crop protection industry have been estimated at USD 69 billion in 2025, decrease of 2% from 2024.[16] It is expected that the overall size of the global crop protection industry will increase to approximately USD 78 billion by 2029.[17]

Close to 70% of the international market for crop protection products is controlled by five multinational RBCs that develop, produce and sell products with patent-protected active ingredients

[16] Based on AgBio Investor Market Insight - Crop Protection Market 2025 Summary and 2026 Outlook (Feb. 2025).
[17] See footnote 16.

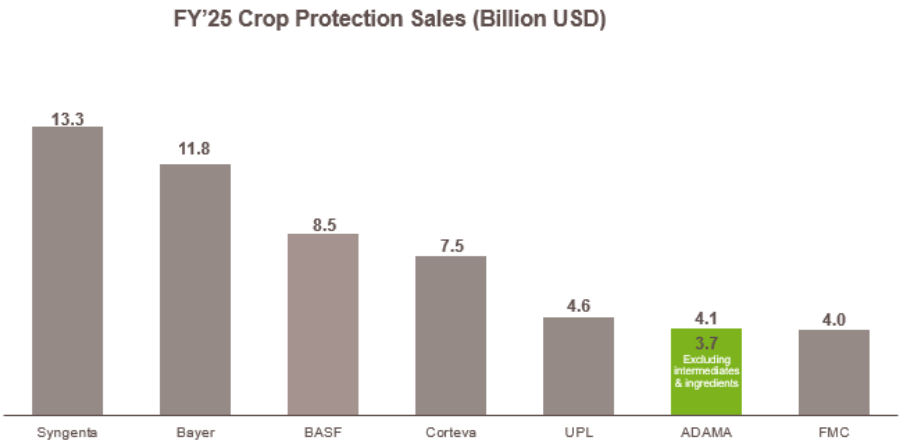
in most of the world's key agricultural .[18] Note that a significant portion of the products sold by these RBCs are products where the active ingredient patents have since expired.

In the past two decades, several mergers and acquisitions between large companies in the sector have taken place, often combining Seeds and Crop Protection portfolio offerings. Most recent announcements indicate a trend towards focus back on the core business.[19]

A number of RBCs in the agrochemical industry have in recent years faced a vast number of lawsuits. Glyphosate alone has already resulted in billions of dollars in punitive damages due to alleged health damages. Such events may impact both the production, marketing and distribution strategy of such companies as well as their sales and may also have an effect on the Company's operations, although at this stage the Company does not expect a material impact.

2025 sales of the leading companies in the crop protection segment [20, 21]

In Billion USD

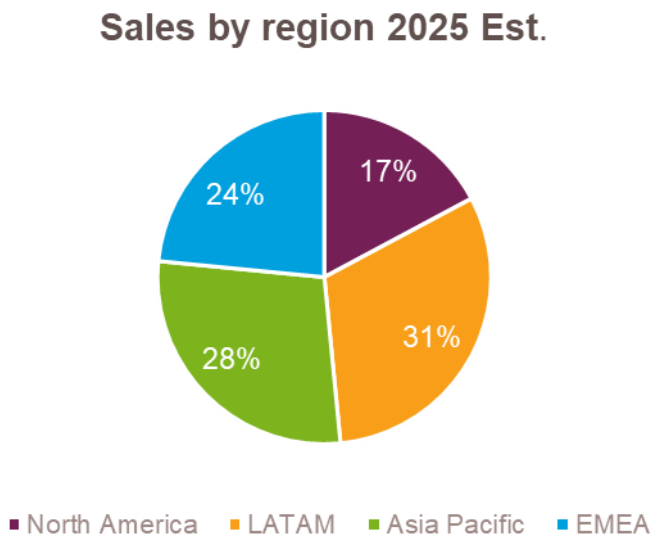


* ADAMA and Syngenta AG are both members of Syngenta Group

[18] AgBio Investor, Market Review 2023 - May 2024.
[19] For information regarding the competition in the market of crop protection see Section **13** of this chapter.
[20] Agrochemicals' sales only (and without engineered seeds). Based on the relevant companies' financial results as well as Agbio Investor analysis; Syngenta AG sales represent the twelve-month period ended Sep. 202,5 as it has yet to report FY 2025 results. UPL sales represent sales in the twelve-month period ended Dec. 2024. Bayer sales including Seed Treatment.
[21] The sales of ADAMA refer to the ADAMA Ltd. sales, of which, $3,660 million are sales of the Company.

Breakdown of the 2025 Global crop protection market (for the Agriculture Market)

In Billion USD



The growth rates in 2025 of the crop protection sector for the agricultural market by geographic region (reflecting ex-manufacturer value):[22]

In USD terms

Region	2025 v. 2024 (%)
North America	1.2%
Latin America	-7.5%
Asia Pacific	2.2%
Europe, Africa and Middle East (EAME)	-0.4%
Market growth rate	**-1.8%**

The Company operates in both developed and emerging markets.[23] The Company has a particularly prominent presence in emerging markets, where it expects growth to be generally higher than in developed markets. The multi-year increase in the standard of living in the developed countries of the Western world also increases demand for crop protection products in non-agricultural spheres (Consumer and Professional Solutions).

For further information regarding the trends that occurred in 2025 and their effects on the Company's results, see the Board of Directors' Report.

[22] Preliminary estimations received from AgBio Investor in November 2025.
[23] As defined in the MSCI Developed Markets Index.

Technological changes

For information regarding the effect of the development of new technologies, including developments in the genetically modified seeds market, on the Company, see Section 6 of this chapter.

Critical success factors

General:

- Reputation, branding and expertise in the field of activity among customers and suppliers in the key agricultural markets;
- Financial strength and resilience combined with consistent growth, enabling the Company to respond to attractive business opportunities to expand its product portfolio and the scope of its operations;
- Access to funding sources and reasonable funding terms allowing the Company to make investments and ensure positive returns on its investments.

Development stage:

- Knowledge and technology, financial resources and skilled personnel in the field of operation
- Registration expertise necessary to develop and utilize the designated product;
- Successful completion of off-patent active ingredient development such that its effectiveness and quality compared to the original product is proven, and done in a way that it can support a timely market entry;
- Consistent and continuous development of new products, including unique mixtures and formulations, based on the Company's accumulated technological expertise;
- Intellectual property protection for product innovations during the product development cycle.

Raw material procurement stage:

- Raw material availability and supply chain efficiency;
- Reasonable raw material costs, prices, quality and quantities, and operational flexibility so as to meet actual demand;
- A flexible procurement system, including infrastructures in China.

Production stage:

- A balanced approach that includes both in-house manufacturing and strategic procurement efforts, encompassing raw materials, technology, and even finished products, in line with the Company’s evolving strategy towards increased buying;
- An efficient production cost structure combined with appropriate and efficient global deployment;
- Obtain regulatory approvals and permits for the commercial production and marketing of the

product in relevant markets;

- The Company's extensive technological knowledge accumulated over decades in the industrial production of its products, particularly in chemical synthesis and formulation, which ensures its products are of high quality, effective and safe;
- Suitable dedicated manufacturing facilities and efficient and controlled production operations, at minimal health risks to employees, while complying with the relevant operational quality and safety standards;

Commercial marketing stage:

- An efficient and broad commercial set up, allowing the Company to distribute its products to a large number of prospective customers, as well as entering into commercial agreements for production and marketing of products at competitive terms. Forging close local relationships and development of new marketing niches in the key agricultural markets;
- A global marketing and distribution network, which includes engagements across various levels of the channel structure , enabling the Company to sell its products throughout the year in accordance with the seasons that characterize each geographic region;
- Ability to utilize marketing and sales management knowledge, expertise and experience in target countries, thereby allowing the Company to enter markets at the right time and to secure a competitive edge;
- Stable and ongoing relationships with strategic customers that build trust in the quality of the Company's products and its dependable supply, and that enables the Company to forecast its estimated future sales volumes with reasonable probability;
- A broad and diverse product portfolio, including differentiated products with unique mixtures and formulations;
- Expertise in registering its products in various countries, in a manner that allows the rapid penetration of a new product into a market, thereby providing the Company with a marketing edge.

Entry and exit barriers

The crop protection industry is characterized by high entry barriers, requiring extensive capital investments along with relevant knowledge and expertise. These entry barriers include, *inter alia*, high research and development costs (particularly for RBCs focused on inventing new active ingredients), payments for registration purposes, and significant investments in the establishment and maintenance of production facilities. Extensive technological knowledge and skilled human resources in, inter alia, industrial production, chemical synthesis, product formulation, intellectual property and registration are further entry barriers. This is also true for significant marketing and

distribution costs, the need for compliance with strict regulatory requirements pursuant to the existing regulations in each country, a good reputation and strong customer loyalty.

Notwithstanding the above, in those markets where the regulatory requirements are relatively lenient the entry barriers are lower, and thus allow smaller companies to become active in this industry to a limited extent, while outsourcing aspects of their manufacturing operations.

The Company believes that there are no material exit barriers in the crop protection industry, apart for those related to future uses of fixed assets and dedicated facilities used by companies engaged in the industry, since, *inter alia*, the industry is not characterized by long-term customer relationships.

Substitute products

To the best of the Company's knowledge, no other service or product currently exists in this industry which is a significant real substitute for its products designed to protect plants against weeds, pests and diseases, that are not of the same type of products produced or sold by the Company or products with patent protected AIs. Nevertheless, some view agriculture technologies such as genetically modified seeds and precision spraying technologies as technologies which may partially substitute for the Company's selective products in certain territories and for certain crops. Additionally, natural and/or biological materials that attack weeds, insects and diseases constitute a potential substitute for the use of the Company's products. While their use is growing quite strong in specific segments, total commercialization is still relatively modest.[24]

8. THE COMPANY'S PRODUCTS

Crop Protection Products

In recent years, the Company has been acting to further enhance its broad product portfolio, with an emphasis on offering more innovative and differentiated solutions that offer increased added value for the customer ('Value Innovation' strategy). These innovative and differentiated solutions are typically based on unique on-patent formulations and mixtures of off-patent active ingredients. These on-patent formulations and mixtures are protected by registering patents and other intellectual property rights. By focusing the development effort on such innovative or differentiated products the Company is gradually optimizing its portfolio mix, thus aiming to improve the profit margins of its overall portfolio.

The broad range of crop protection products manufactured and sold by the Company are divided into three main categories (based on the market they provide a solution for):

Herbicides

During cultivation, crops are exposed to various weeds that grow in their environment and compete

[24] The Company has a limited biologicals portfolio which has increased during the recent years.

for water, light and nutrients. Herbicides are designed to prevent or stunt the development of such weeds to allow the cultivated crop to develop optimally throughout the different stages of its growth, and therefore to reach optimum yield. The herbicides sold by the Company are both selective (do not affect or harm the crop itself) and non-selective. The best-selling herbicides are those designed to protect soy, corn, cereals, rice and cotton. In 2024, herbicides constituted approximately 41% of the total global crop protection product market.[25]

Glyphosate, the world's most widely sold non-selective herbicide used for the basic treatment of many crops, is considered an opportunistic product in the Company's product portfolio.

Insecticides

Insecticides are designed to control various types of insects and pests in a selective manner (without harming the crop itself). The use of genetically modified seeds with insect-resistant traits has the potential to reduce the need for some of the Company's insecticides, on a temporary basis. However, in the long run insects develop resistance to the trait driving the need again for crop protection solutions. The best-selling insecticides are designed to protect fruits and vegetables, corn, cotton and soy. Currently, the Company's gross margins from sales of insecticides are higher than its gross margins from herbicide sales. In 2024, insecticides constituted approximately 30% of the total global crop protection product market.[26]

Fungicides

Fungicides are designed to combat various diseases and parasitical fungi. In general, when weather conditions in the agricultural season are warm and humid, the prevalence of crop diseases is larger, increasing the need for such products. Fungicides are used most frequently in crops such as cereals, fruits, vegetables, soy, grapevines and rice. Currently, the gross margins achieved from the Company's fungicide sales are higher than those from herbicide sales. In 2024, fungicides constituted approximately 27% of the total global crop protection product market.[27]

Other products

In addition, the Company produces and markets other crop-protection products, primarily substances applied to crops that are not herbicides, insecticides or fungicides, such as miticides and nematicides, and intermediates used to produce active ingredients for crop protection. The Company also uses its expertise to develop and adapt products for use in the Consumer and Professional Solutions areas.

For information regarding the breakdown of the Company's revenues and profit by product groups, see Section 10 of this chapter.

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[25] Agriculture industry report, product section by AgBio Investor January 2026. As of the date of filing the report, the Company has yet to receive data regarding 2025; however, it should be noted that in recent years, there was no significant change in the portion of each product group within the total crop protection product market.

[26] see footnote 25.

[27] see footnote 25.

Key Markets

The Company operates in all major agricultural markets in Europe, Africa and Middle East region, Latin America, North America and Asia-Pacific (including China). Overall, the Company sells its products in dozens of countries worldwide with the top individual country markets being: Brazil, USA, China, India and Australia. The Company has presence on the ground in the top 20 markets and close to 50% of the Company's sales are in high-growth emerging markets.

For details on the Company’s crop protection product sales in its primary markets in the years 2024-2025, see the Board of Directors’ Report.

The Production Process

The production process of the active ingredients is executed through chemical reaction (synthesis) of raw materials and intermediates. The Company’s entire product portfolio includes over 300 active ingredients, some of which are produced by the Company, while some are procured.

The Company also formulates products, wherein active ingredients produced by the Company or purchased from third parties are adapted to formulations that can be applied as products by means of reducing the concentration of the active ingredients and adding various additives, and sometimes by transforming the physical form of the active ingredient (including its liquefaction or solidification, for example). The Company's entire agro portfolio includes approximately 1,300 different mixtures and formulations for end users.

The Company's commercial activities include: (i) the sale of products which are formulated by the Company based on active ingredients procured from third parties, (ii) the sale of products which are both synthesized and formulated by the Company;; and (iii) commercial activity, on a smaller scale, in purchasing end products and/or active ingredients from third parties and selling them "as is" without any manufacturing intervention.

Currently, approximately 85% of the Company’s products are synthesized and/or formulated at the Company’s sites. Currently, the annual sales of any particular active ingredient sold by the Company does not exceed 10% of total Company sales.

9. NEW PRODUCTS

The Company's strategy is to leverage its capabilities in the field of chemical industry and expand its product portfolio to create a diverse product portfolio intended to provide efficient, effective and easy-to-use solutions to farmers and to fulfill market needs, penetrate new markets and strengthen its position in existing markets. In recent years, the Company has been operating to enhance its product portfolio, by developing more value-adding products and increasing the functionality and efficacy of the market’s most successful molecules through the development of new and unique mixtures and formulations (‘Value Innovation’ strategy).

The Company continuously invests in active ingredients that fit the Company's product portfolio and are expected to come off-patent in the coming years. The Company develops products based on those 'new' off-patent active ingredients as well as other active ingredients already in the Company portfolio. Those products are often differentiated mixtures and formulations that use advanced formulation and delivery technologies, which add additional value to farmers in a sustainable way.

In 2025, the Company continued investing in the development and manufacturing of new products, launched new active ingredients and new formulations, and obtained 174 new registrations (excluding re-registrations, label extensions of registered products for new crops and adding new sources) for marketing its products.

While the focus is on adding new differentiated products, the Company also regularly reviews and optimizes the existing product portfolio to eliminate low margin or non-strategic products.

10. PRODUCT REVENUE DISTRIBUTION

Company revenues distributed by product groups:[28]

For the year ended December 31, 2025 (In Million USD):

Product Group	Revenues	%
Herbicides	1,570	42.9%
Insecticides	1,107	30.2%
Fungicides	815	22.3%
Total Crop Protection	**3,492**	**95.4%**
Intermediates and Ingredients	168	4.6%
Total	**3,660**	**100%**

For the year ended December 31, 2024 (In Million USD):

Product Group	Revenues	%
Herbicides	1,537	41.1%
Insecticides	1,184	31.7%
Fungicides	838	22.4%
Total Crop Protection	**3,559**	**95.3%**
Intermediates and Ingredients	177	4.7%
Total	**3,736**	**100%**

[28] There is no significant difference in the gross margins of each of the aforesaid Product Groups (without unallocated costs and financial adjustments), and bearing in mind the fluctuations in the total gross profit in the recent years - which aligns with a multi-year view of past results, including since 2013. As specified in Section 0 above, the gross margin from the sale of insecticides is higher than the gross margin from the sale of herbicides, and the gross margin from the sale of fungicides is higher than the gross margin from the sale of herbicides.

For the year ended December 31, 2023 (In Million USD):

Product Group	Revenues	%
Herbicides	1,871	44.6%
Insecticides	1,226	29.2%
Fungicides	915	21.8%
Total Crop Protection	**4,011**	**95.7%**
Intermediates and Ingredients	180	4.3%
Total	**4,192**	**100%**

In general terms, the volatility of insecticide and fungicide sales is higher than that of herbicide sales, since the former are more sensitive to the presence or absence of diseases or pests affecting crops.

It should be further noted that the scope of the Company's sales of unformulated active ingredients, as such, is immaterial compared to its sales of formulated end-products (such as formulations and mixtures).

11. CUSTOMERS

Characteristics and Nature of Business Relationship

The Company’s customers are numerous and are distributed across many countries throughout the world, while in some countries, sales are made to a relatively small number of customers. Generally, the Company's products are primarily sold to regional and local distributors in the different countries, who in turn market them to end customers in that country, some of whom are large cooperatives. The Company also sells, *inter alia*, to multinational companies and to other producers that manufacture end-use products based on active ingredients sourced from the Company.

Currently, the Company has no single customer whose purchases exceed 10% of the Company’s sales, and therefore the Company believes that it is not dependent on any one individual customer.

The vast majority of sales are made to returning customers, typically without long-term supply contracts, as is customary in the industry. In most countries, purchases are made without long-term advance orders, while in some areas they are made based on (non-binding) rolling sales forecasts and actual orders. The Company's actual production is based on these forecasts.

The Company’s sales prices to customers are determined by, among other things, the additional value created by the differentiated products, the comparison with similar products sold by the Company’s competitors and by the quantities ordered, with discounts occasionally offered conditioned upon minimum order quantities. These discounts are provisioned for and recorded in the Company's Financial Statements according to the likelihood of meeting the relevant targets, but only when these targets are expected to be reached and the discounts may be estimated with

reasonable accuracy.

Value Chain

Generally, the value chain between the Company and the end customer who ultimately purchases its products around the world may be characterized as follows:



Due to the expansion of the Company's activities and the acquisition and establishment of subsidiary companies in different regions of the world, in most cases, companies owned by the Company carry out the role of the formulator and/or the importer, and occasionally also the role of the distributor and sometimes the retailer.

Customer Credit Policy

For information regarding the Company’s customer credit policy, see Note 30B to the Financial Statements.

For changes in the provision for bad and doubtful debts during 2025, see Note 30B(2) to the Financial Statements.

12. DISTRIBUTION AND MARKETING

The Company's marketing operations are global and designed to consistently increase profits and market share. The Company markets its products directly through local representation in all of the largest agricultural markets worldwide by means of local salespeople and commercial activities directed at the distributors, agricultural consultants and farmers.

Over the years, the Company has strengthened its marketing network, including by means of:

- The establishment and acquisition of distribution companies in different regions in order to decrease dependency on external distributors and increase profit margins. Within this context and as part of the Company’s long-term strategy, the Company distributes various products, including formulated agrochemical products and active ingredients of ADAMA Ltd. and its affiliates in China, thus supporting the strengthening of the Company’s position in the domestic Chinese crop protection market.
- Focusing on global marketing and product development, while targeting clearly defined strategic agricultural markets and crop segments.
- Creating an authentic, differentiated and relevant brand promise based on global internal and

external research, to Listen > Learn > Deliver. The brand promise reflects how the Company drives product ideation from the field, based on insights gained from farmers, customers and experts.

- Leveraging one of the largest group of active ingredients in the industry to provide real choice and flexibility with a product portfolio comprised of both unique formulations and mixtures, as well as high quality, commoditized products to meet local farmer needs. As stated above, the Company is increasingly putting focus on on-patent products mainly through unique, proprietary formulations.
- Developing customer touch points based on their feedback and listening to farmer pain points, including introduction of best-in-class product packaging and labeling.
- Strengthening of the consolidated ADAMA Group global brand - "ADAMA". In this context, the Company implements a global brand architecture.
- Developing digital technologies for simplifying and enhancing direct access to farmers.
- Collaborating with Syngenta Group Companies on various commercial aspects across global regions, to increase the Company's sales, enhance market access and expand the Company's portfolio offering to customers.

In a small number of countries where the Company does not have subsidiaries, it operates through (mostly on exclusive basis) networks of local agents and marketing channels. This activity is not material in scope to the Company.

In some markets in which the Company operates, selected external distributors only distribute off-patent crop protection products from a limited number of suppliers. Since the Company's marketing network in its main markets is based on directly owned and controlled subsidiaries, the Company believes that it is not dependent on external marketing channels, that the loss of any of which could have a significant adverse impact on its operations. The Company has a broad and diverse customer base, and therefore does not have any external distributor whose distribution of the Company's products exceeded 5% of the Company's sales in 2025.

The Company believes that, while the termination of an engagement with a single external distributor is not expected to have a material adverse impact on it, should external distributors generally elect to sell competing products and not to distribute the Company's products, this could adversely affect its results in countries wherein the majority of commercialization activities are by means of external distributors.

The Company's marketing and sales expenses in the crop protection segment totaled approximately USD 608 million in 2025, constituting approximately 17.4% of total sales for the year.

13. COMPETITION

The crop protection market is dominated by seven multinational companies, including the Company, five of which are RBCs. In the past two decades, several mergers and acquisitions were completed between large companies in the sector have taken place. Nonetheless, the crop protection industry, as a whole, is relatively decentralized with a large number of local companies competing in each country against the global multinational companies.[29] The Company believes that the entry barriers for the crop protection market are relatively high, however, they vary from region to region.

The Company is one of the leading companies among those crop-protection companies that are focused on off-patent crop protection solutions. The global market share of the Company was approximately 6% in 2025.[30]

The Company's competitors are multinational RBCs that continue to produce and market their original products after the patent expiry, as well as other crop-protection companies. In the Company's experience, in the majority of instances RBCs' market share in a particular product fall to approximately 30% - 70% within a number of years following the expiry of the relevant patent, leaving the remaining market share open to competition among off-patent companies, in addition to their competition with the RBC (which generally continues to manufacture the product and lead its market prices and sales terms).

The Company competes with RBCs as well as other international off-patent companies in all the markets in which it operates, since these companies generally also have global marketing and distribution networks. In addition, there are several smaller RBCs that also compete with the Company. As a rule, other off-patent companies that do not have international marketing and distribution networks compete with the Company locally in those geographical markets wherein they operate.

In the last few years, some new emerging trends that may affect the nature of competition in this sector can be identified: (1) the market share of products whose patents have expired continues to rise relative to that of patented original products, primarily due to the fact that the rate of patent expiry exceeds that of the launching of new patent-protected products; (2) a trend of some off-patent companies expanding and becoming stronger (*inter alia*, as a result of corporate mergers and acquisitions as well as product acquisitions), which may lead to them competing with the Company in geographic markets which they have not operated yet up to now; (3) smaller companies have begun operating, in limited scale, in certain markets with relatively lower entry barriers, as detailed in Section 7 of this chapter; (4) improvement of the agrochemicals industry in China, *inter alia*, increasing market entry barriers; and (5) price competition in certain markets by multinational RBCs

[29] See Section 34 of this chapter, under the heading "Operating in a competitive market".
[30] Based on preliminary estimations made by AgBio investor regarding total sales in the agrochemical industry in 2025.

and/or increasing the credit days to its customers.

The Company believes that it currently enjoys significant competitive advantages owing to, *inter alia*, the geographic deployment of its sales in dozens of countries and the balanced distribution of its areas of operation, which diversifies and strengthens its growth potential; the Company's capabilities in research and development, as well as substantial technological and chemical know-how, enabling it to develop and market new compounds, mixtures and applications for its products in a manner that provides a potential competitive edge over RBCs and other off-patent companies; its professional knowledge; strong agronomical capabilities; wide portfolio of unique products suited to the needs of the farmers; strong brand and reputation; financial stability and the availability of financial resources for building and upgrading production facilities; development and regulatory capabilities in various markets around the world (and the resulting ability to launch off-patent products a close as possible after patent expiry); presence throughout the entire value chain (development, production, procurement, marketing, sales, distribution and registration) in a manner that sets the Company apart from the competing off-patent companies; strict quality assurance; stringent observance of environmental standards; existence of a global marketing and distribution network and production and marketing collaborations with multinational companies; a management possessed with in-depth understanding of the crop protection product industry as well as the required know-how, skills and experience to contribute to the Company's growth and profitability, and its positioning in a leading place in the global market. These capabilities enable the Company to respond to the dynamic needs of farmers, changing weather conditions and changes in governmental policies and regulations.

Moreover, in recent years, the Company has been striving to adapt its business model to the changing conditions in the competitive environment in which it operates. The Company believes that the combination of all its actions, together with the combination with ADAMA Ltd., as well as the collaboration with other Syngenta Group Companies and leveraging value creation and business opportunities, will enable the Company to use a differentiated business model that will contribute to the continued strengthening of its competitive position and give it a clear advantage over its competitors, with a unique position in the global market. For details regarding Syngenta Group and its expected impact on the Company, see also Section 1 above.

The Company's assessments with regard to the impact of the combination with ADAMA Ltd. as well as the impact of the collaboration between Syngenta Group Companies and the leverage of the value creation and business opportunities on its competitive position is forward looking information as defined in the Securities Law, which is based on the Company's subjective assessments and those of external entities and information relating to the crop protection industry in China. These assessments may change, inter alia, due to changes in the operating results of the Company or the competing companies, including as a result of the developments in the crop protection market, changes in demand for the Company products, and global macro-economic trends.

14. SEASONALITY AND WEATHER

Sales of crop protection products are directly influenced by the agricultural seasons, weather and crop cycles.[31] The tables below include the geographic distribution of the Company's quarterly sales and their proportion of the Company's sales in the years 2024 and 2025 (in Million USD):

2025	Q1 Sales	Q1 %	Q2 Sales	Q2 %	Q3 Sales	Q3 %	Q4 Sales	Q4 %	Full year Sales	Full Year %
Europe, Africa & Middle East (EAME)	355	40.5%	308	31.8%	231	27.1%	229	23.8%	1,122	30.7%
of which, Israel	30	3.4%	31	3.2%	28	3.2%	28	2.9%	116	3.2%
North America	216	24.6%	273	28.2%	163	19.0%	282	29.3%	934	25.5%
Latin America	147	16.8%	216	22.3%	312	36.5%	331	34.4%	1,006	27.5%
Asia-Pacific	159	18.2%	171	17.7%	148	17.3%	120	12.4%	598	16.3%
TOTAL	**877**	**100%**	**968**	**100%**	**853**	**100%**	**962**	**100%**	**3,660**	**100%**
(% of annual sales)	355	40.5%	308	31.8%	231	27.1%	229	23.8%	1,122	30.7%

2024	Q1 Sales	Q1 %	Q2 Sales	Q2 %	Q3 Sales	Q3 %	Q4 Sales	Q4 %	Full year Sales	Full Year %
Europe, Africa & Middle East (EAME)[32]	375	39.7%	309	32.8%	215	25.8%	255	25.1%	1,154	30.9%
of which, Israel	30	3.2%	31	3.3%	26	3.2%	25	2.5%	113	3.0%
North America	189	20.0%	221	23.5%	155	18.6%	277	27.2%	841	22.5%
Latin America	191	20.2%	209	22.3%	287	34.4%	348	34.2%	1,036	27.7%
Asia-Pacific[31]	190	20.1%	202	21.5%	176	21.1%	137	13.5%	705	18.9%
TOTAL	**945**	**100%**	**940**	**100%**	**833**	**100%**	**1,018**	**100%**	**3,736**	**100%**
(% of annual sales)	366	38.7%	302	32.2%	202	24.3%	238	23.4%	1,109	29.7%

[31] See Note 1A(2) to the Financial Statements and Section 34 of this chapter titled "Decline in scope of agricultural activities; exceptional weather conditions changes", as well as in section Revenue Distribution by Quarters of Board of Directors' Report.

[32] As part of ADAMA's business optimization program, on January 1, 2025, South Africa was reclassified from the Asia Pacific region to EAME. To enable meaningful comparisons, the 2024 data presented here includes South Africa under EAME.

15. PORTFOLIO AND INNOVATION

During 2024, the Company's Portfolio and Innovation division was established, integrating the former Marketing & Product Strategy and Innovation, Development, Research and Registration functions.

The Company utilizes a wide portfolio of off-patent active ingredients which are either sourced from third parties or internally produced. These active ingredients are formulated into mixtures which are mostly novel in terms of the active ingredient combinations, formulation techniques and resulting biological effects. Thus, while the active ingredients the Company uses are off-patent, its products (formulations) are often on-patent and differentiated in the marketplace. As an off-patent active ingredient manufacturer, the Company develops production processes which aim to provide an advantage over the original product, for example in cost. The product development and formulation efforts are geared to deliver products with better biological activity, resistance management, ease of application and sustainability profile. Development and registration of differentiated formulations based on off-patent active ingredients offer a significant saving of time and costs in relation to the research and development of novel active ingredients. This allows the Company to develop a broad and diverse offerings at competitive prices. The introduction of differentiated formulations based on off-patent active ingredients to the market requires considerable know-how and investment in development and registration, particularly in view of the increasing regulatory requirements globally, and with increasing competition.

Chemical R&D, Formulation R&D and Product Development

A key part of the Company's development and registration activities focuses on the chemical R&D (which is a part of the AI Production unit) and chemical engineering development of production processes for off-patent active ingredients, including the necessary biological, agronomical and toxicology data necessary to meet regulatory requirements, and development of registration dossiers for the active ingredients. In addition, formulation R&D and product development resources are directed to test and validate new product concepts that translate to new formulations, which also require significant testing and generation of registration dossier in the various target regions.

The Company has also developed several innovative active ingredients based on molecules acquired from external sources after a screening process proving their effectiveness. The Company develops the product's biological uses and registers them in the target countries, while also engaging in the chemical development of the production process.

As of the date of this Report, the Company operates chemical and formulation research and development centers in Israel, India, Brazil, and China. In addition to those, the Company conducts development activities also through external subcontractors in different markets. Such development efforts may on occasion integrate knowledge exclusively owned by the Company, knowledge jointly owned by the subcontractor, or knowledge exclusively owned by the subcontractor.

Currently, the Company operates several analytical labs in Israel, China, India, USA and Brazil, which *inter alia*, conduct Quality Assurance (QA) tests for its various products, and some of which also conduct tests for registration purposes.

In 2025 the amounts recognized as research and development expenses (excluding registration costs) totaled approximately USD 47 million, which constituted approximately 1.3% of the Company's consolidated revenues. Development expenses are recognized as intangible assets in accordance with accounting policies. See Note 3F to the Company's Financial Reports for details regarding the accounting policy for intangible assets.

The Company's workplan includes research and development expenses of USD 49 million for the year 2026.

See Note 19B to the Company's Financial Reports for details regarding development grants.

Registration

The materials and products marketed by the Company require, registration in every country where the Company intends to market them. The Company has gained registration expertise in over 100 countries. For this purpose, the Company employs approximately 180 experienced professionals in the registration of its active ingredients and formulations around the world. In addition, the Company utilizes the services of external contractors for the development of registration data.

Crop protection products are sold worldwide under the supervision of state authorities in each country (generally the Ministries of Agriculture, Health and Environment), with such registration proceedings characteristic of the crop protection industry and constituting a barrier to market entry. Obtaining a registration requires meeting health, safety and environmental standards. Registration requirements change from time to time and tend to become more stringent over time in many countries. As a result, registration costs rise, and preparation of registration dossiers becomes more time consuming. In some countries, registrations have no term limit, however, development of further registration data is required every several years. In other countries, registrations are limited to periods generally ranging from 5-15 years and are required to be renewed, with additional tests and data required as a part of the process.

The registrations, in all or in part, may be revoked should new data fail to meet updated regulatory requirements. Obtaining a registration may take several years and the Company must meet the specific registration requirements of a particular country for the sale of the product in that country. In order to comply with these requirements, the Company continuously examines the compliance of its products with the regulatory requirements in the various countries where its products are marketed, and it works to develop necessary data and supporting information, as required. Within this framework, the Company continuously submits applications for the renewal, extension or update of registrations of products and of active ingredients to the registration authorities around the world. At

any point in time, some of these requests will have been approved and some will still be under examination by the authorities, with such examination processes possibly lasting several years.[33]

Generally, the EU, USA, Canada, Japan and Brazil have the most stringent regulatory standards. Other countries are gradually adjusting their own requirements to reach the standards of the advanced countries.

For information regarding new registrations obtained in 2025, see Section 9 of this chapter.

Registration costs typically amount to several hundreds of thousands of USD per product, and in countries such as the USA, the EU and Japan, they may even reach several millions USD per AI. In 2025, the Company's registrations expenses were USD 96 million, which constituted approximately 2.6% of the Company's annual revenues. See Note 3F to the Company's Financial Reports for details regarding the accounting policy for intangible assets.

Registration in the USA

The registration process in the USA includes federal registration by the Environmental Protection Agency ("**EPA**") for both the active ingredient as well as the end-product chemical formulations. Moreover, every individual state requires registration of the commercial end-use formulation that has been registered at the federal level, based on the criteria of the individual state.

There are two primary methods for obtaining federal registrations in the USA:

- For products containing an active ingredient that is not yet registered, the registration applicant is required to submit a complete dossier which includes all the required data and research findings in order to obtain the registration (a process which generally takes more than three years, with an average duration of up to 4.5 years).
- Following a minimal 10-year period of exclusive data protection after the initial registration, an off-patent registration may be pursued after complying with citing all the existing relevant data of the Originator Company's active ingredient, while demonstrating that the off-patent active ingredient is chemically similar to the registered active ingredient, and providing a commitment to compensate the Originator Company. The process for obtaining the off-patent registration from the federal authorities may last between 15 to 20 months. 15 years after the original registrant submitted the data in support of the initial registration, the data constituting the basis for the registration is no longer compensable.

As part of the EPA's re-registration requirements, which occurs on a 15-year cycle, the companies holding registrations for the same active ingredient may pool their resources to comply with the requirement for new data by creating a consortium or a "task force". The Company has a reputation of being professional and reliable, and therefore international companies are accustomed to working

[33] For additional information on the licensing requirements applicable to the Company and the related risks, see also Section 34 of this chapter, under "Legislative standard and regulatory changes in product registration".

in partnerships on such registration defense activities.

Registration in Europe

All new ingredients intended for use in EU countries undergo a rigorous registration process comprised of two main stages. The first stage enables the inclusion of the active ingredient in the list of ingredients permitted for use in EU countries. In the second stage, the final product must be registered for its various uses in the EU countries in which the product will be marketed. All active ingredients and product registrations are time limited and have to be renewed after a certain period of time. Current European regulation is based on a hazard-based cut-off criteria approach that allows the rejection of registration applications based on their potential hazard and not based on the risk from actual exposure to the active ingredient.

With regard to new registrations and registration renewals in Europe, the Company may collaborate with several other companies to jointly develop the data and information required so as to reduce the costs and risks inherent to this process.

The Company believes that due to the stringent approach of the EU and its associated institutions in recent years, the Company's product portfolio (along with those of competitors in the entire industry) may be influenced in the coming years by refusals to renew registrations and/or the rescinding of registrations as a result of the removal of certain active ingredients from the list of ingredients permitted for use in the EU.

The Company's estimates regarding the effects of the various regulatory requirements on its product portfolio constitute forward-looking statements as defined in the Securities Law, which is based on current regulatory trends and the Company's experience. These estimates may not materialize or may be realized in a different manner, inter alia, due to factors beyond the Company's control such as crop protection market developments, regulatory, economic, political, social and other changes, as well as changes in demand for the Company's products.

Registration in Brazil

The registration procedure for off-patent active ingredients in Brazil is based on the equivalence of its chemical properties to those of an active ingredient currently available in the market. The first off-patent registration of an active ingredient can only be granted after the data protection of the original active ingredient expires, generally, 10 years after first registration approval. The process follows FAO/WHO general rules, divided into 3 tiers, from the physical-chemical comparison to the last tier, where full long-term toxicological studies are required. Generally, if the registration applicant proves chemical equivalence to the existing active ingredient, it may be granted a registration. For formulation registrations, there are additional requirements. The review process in Brazil generally lasts at least seven years for formulations, five years for an off-patent active ingredient and seven to eight years for a novel active ingredient (first active ingredient registration).

16. INTANGIBLE ASSETS AND INTELLECTUAL PROPERTY

Most of the Company's crop protection products (both in absolute volume and in relative sales terms) are products based on off-patent active ingredients. Nevertheless, the Company has a relatively broad portfolio of patents and patent applications, trademarks and registrations protecting its products and their production processes. Consequently, the Company has 58 patent families that protect innovative materials and approximately 304 more patent families, relating to both off-patent and innovative materials, that protect processes, formulations, uses and unique mixtures. The Company also relies on trademark registration to secure its reputation for the products it manufactures and markets. Currently, the Company owns over 9,100 active trademarks with respect to its products (mostly registered and a number in registration processes). In addition, the Company has several exclusive territorial licenses for various additional substances. As of the date of the Report, there is no single patent or patent application which is material to the Company.

For information on patents and intangible assets of the subsidiary, Lycored Ltd., see Section 18 of this chapter.

The Company has intellectual property teams responsible for protecting the Company's intellectual property through the registration of patents for the Company's developments and the trademarking of its products, securing freedom to operate by design around third-party patents as well as by taking action to revoke invalid patents of third parties or oppose their registration.[34]

In accordance with the generally accepted accounting principles, the amounts recognized as the Company's intangible assets in the Financial Statements of December 31, 2025 (including subsidiary goodwill) totaled approximately USD 796 million.

17. RAW MATERIALS AND SUPPLIERS

The Company procures a large variety of raw materials, which may not be uniformly characterized, together with complementary raw materials or intermediates required to produce the finished products and/or their formulations.

The shelf lives over which most of the raw materials remain stable are generally several years. Moreover, the shelf lives of raw materials may usually be extended by simple treatments. In view of this fact, raw material losses in Company warehouses as a result of aging are negligible.

The most significant element of the Company's cost of sales is the cost of raw materials used in its production processes, which is primarily influenced by global changes in the supply of raw materials, and, to a certain extent, extreme fluctuations in international oil prices.[35] Similarly, the cost of purchasing finished products for sale to third parties is also significant.

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[34] For further information, see also Section 34 of this chapter, under "Intellectual property rights of the Company and of third-parties".

[35] For further information with regard to oil price fluctuations and the possible impact on the Company results see Section 6 of this chapter, under "Significant fluctuations in raw material costs and global energy prices".

In 2025, the purchasing of raw materials, packaging and labeling for crop protection products, amounted to approximately USD 1,499 million. This cost constituted approximately 64% of the Company's total production costs in this segment (excluding finished products), which amount to approximately USD 2,359 million.

The Company purchases its raw materials from various suppliers, primarily in China, Europe, the USA, and South America. The Company's supplier network has not changed significantly over the past few years, while suppliers from China are still a main source for raw materials, due to the wide range of products and competitive prices offered by them, together with the improved quality of the products that are examined by the Company through product quality testing. In order to reduce the relative reliance on Chinese suppliers, due to, *inter alia*, the supply shortages that the industry has been facing in recent years relating to raw materials originating from China, and in order to diversify the geographic territories from which the Company sources its supply.

Currently, the Company believes that it is not dependent on any one material supplier.[36]

[36] For further information regarding supplier credit, see Section 24 of this chapter.

A.2. INTERMEDIATES AND INGREDIENTS

In addition to crop protection, the Company's primary field of operation, it is also active in a few other fields outside of crop protection. The Company's aggregate revenues from, and investments in, these activities do not exceed 10% of its total consolidated revenues and investments.[37] Currently, the Company has operations in the following activities: (1) dietary supplements, food color, texture and flavor enhancement ingredients, and food fortification ingredients; (2) fragrance products; (3) industrial products.

In these activities, the Company leverages its knowledge, experience and chemical and industrial capabilities. In view of the highly diverse nature of these activities and products, and since they do not represent core Company activities and they are limited in scope, they are hereinafter reviewed and analyzed separately, and to the extent commensurate with their relative share in the Company's results.

18. DIETARY SUPPLEMENTS, FOOD COLORANTS, TEXTURE AND TASTE ENHANCEMENT INGREDIENTS AND FOOD FORTIFICATION INGREDIENTS

The Company holds 100% of Lycored Ltd. ("**Lycored**"), a company which engages primarily in developing, manufacturing and marketing globally dietary supplements, natural colors, texture and taste enhancement of food, and food fortification ingredients (the "**Supplements**").

Lycored has development, production, marketing and distribution capabilities, and has manufacturing plants located in Israel (in Be'er-Sheva), and the USA.

Products

Lycopene

One of Lycored's main products is natural lycopene (the carotenoid that gives the tomato its red color) produced from tomatoes. Lycored has developed a unique and innovative process for producing natural lycopene. The natural Lycopene is being used in different color and health formulations, and has been clinically tested for different health claims substantiation. In order to produce lycopene, Lycored has developed unique tomato strains (primarily intended for industrial applications) with particularly high lycopene content. In addition, Lycored has developed technological capabilities for extracting, separating and formulating the products resulting from tomato processing and adapting them to market requirements.

Beta Carotene, Lutein and Astaxanthin

[37] Accounted for approximately 5% of the Company's sales in 2025.

Lycored also operates in the sphere of development, formulation and marketing of Beta-Carotene, lutein-based and astaxanthin products primarily for the dietary supplements and food industries.

Lycored has a number of additional products: (1) formulated and coated active ingredients (vitamins and carotenoids) in the dietary supplements market; as well as (2) mixtures, such as vitamins, minerals and other natural materials for food enrichment.

Market Structure, Recent Changes and Competition

The food and nutrition industry may be characterized by retail-based competition, technological conservatism and increasing commitment to the quality of food and supplements, health consequences, consumer's nutritional habits and changes in their tastes. These factors require the industry to maintain technological innovation, responsiveness to the requirements of customers, the ability to meet high quality standards, alongside proving the effectiveness of the marketed products. The industry is also characterized by increasing regulations in some of the markets. For these reasons, this industry is characterized by consolidation, and the reduced competitiveness of small companies. Nevertheless, companies with unique products and reputations, such as Lycored, have managed to solidify their position despite these trends.

The dietary supplements industry is characterized by competition that has increased considerably in recent years from manufacturers marketing raw materials and formulated products. In addition, Lycored's products in the dietary supplements field compete with other products that are based on natural ingredients with health properties. Other competitors are the natural lutein producers such as Omniactive and Kemin Industries Inc., and formulators such as DSM Nutritional Products. Recently, the competition from companies primarily from China and India, that market basic natural lycopene products, such as Vidya and Katra, intensified in a way that requires Lycored to further improve its market positioning and formulations. Currently, Lycored's market share within the overall dietary supplement market is not material.

Changes in Volume and Profitability

In 2025 Lycored's sales to customers outside the Group totaled approximately USD 77 million, a slight decline compared to approximately USD 80 million in 2024. Despite the lower revenue, the Company's profitability improved, driven primarily by cost reductions and operational efficiencies.

Barriers to Entry

As a company active in the dietary supplements and the food coloring arena, Lycored is required to obtain and maintain various permits and licenses, as well as to meet many standards, including quality standards, required by customers and regulators in the field in various countries. In addition, companies who operate in this field require knowledge and specialized technologies together with vast experience. In turn, these require strong brand equity and adequate financial resources.

Customers

Lycored's customers are primarily industrial companies, including those producing and selling end products to food chains and stores, and industrial companies who formulate and package formulated ingredients supplied by Lycored for dietary supplements and private label products.

Marketing and Distribution

Currently, Lycored sells its products primarily in North America, Europe, Japan, India, Australia and other countries in the Far East, mostly through either frame contracts or specific current orders received shortly before the required supply date. Lycored's sales estimates are based on non-binding forecasts of annual order volumes from key customers. Over the years, Lycored has developed its own marketing and distribution channels, including direct sales and channel partners, as well as customer and technical support services in the markets where it is active.

R&D

Lycored’s research activities focus on the cultivation of strains of tomatoes, advanced formulation capabilities, the isolation of active ingredients, food coloring and clinical research to support and evolve Lycored’s innovative products portfolio.

Regulatory Restrictions, Registrations and Permits

Production and marketing of dietary supplements and food additive ingredients are generally subject to the supervision of national health agencies and their regulatory and quality requirements. Lycored has received US FDA and European Commission approvals for the use of natural lycopene as a food coloring and food ingredient for the USA and European food industries, in addition to permits to distribute the product in Japan.

In Israel, activities in this field are subject to the Public Health (Food) (Dietary Supplements)-1997 regulations and the Food Additive List subject to the Public Health (Food) (Food Additives)-2001 regulations, which establish permitted supplements and additives, their measures and amounts. The majority of the vitamins and minerals imported by Lycored require import licenses from the Israeli Ministry of Health.

Raw Materials and Suppliers

The raw materials used in Lycored's products are mainly tomatoes, carotenoids made of marigold flowers and algae, vitamins, minerals and amino acids. Consequently, its primary suppliers in this field are farmers and industrial companies, and as such, its supply is also dependent on factors affecting the agricultural industry. Moreover, Lycored has contracted with seed companies for the supply of special tomato strains, as well as with growers in Israel to whom it supplies the seeds and growing instructions for the tomatoes. In addition, Lycored purchases active ingredients, vitamins and minerals.

Intellectual Property

All Lycored's products are the result of original independent development. Lycored holds 21 patent families claiming production processes, formulation processes, compositions and methods of use thereof, related to products Lycored develops. Lycored also owns several brands that are registered as trademarks.

19. AROMA PRODUCTS FOR THE COSMETICS AND FLAVORS & FRAGRANCES ("F&F") INDUSTRIES

The Company indirectly holds 100% of the shares of Agan Aroma and Fine Chemicals Ltd. ("**Agan Aroma**"), a company which is primarily involved in the development, manufacture and marketing of chemicals and synthetic fragrances for the detergent industry (soaps, washing powders, laundry softeners, cleaning agents, etc.), for the cosmetics and body care industry (lotions, shampoos and deodorants) and for the fine fragrances industry (perfumes etc.). The great majority of fragrance products are designated for export. Agan Aroma has several aromatic products which are utilized as raw materials for aromatic essences. Agan Aroma's products are the raw materials included in the final product.

Agan Aroma's activity focuses on the synthetic manufacture of chemicals, based on the organic synthesis of fragrances for the fragrance industry in its dedicated facilities in Ashdod and through partnerships and subcontractors in China and India. Most of the raw materials of the fragrance products are chemicals with a high-level cleaning rating. The Company also cooperates with a European company to manufacture and market fragrance and flavor materials from its ADAMA Agan plant.

Market Structure and Recent Developments

The fragrance chemicals market has developed considerably over the past few years in view of rising standards of living and changing preferences of end consumers.

The F&F market has been showing great sensitivity to the consequences following the Covid-19 pandemic, including a global economic crisis, a deep recession in some strategic territories which was reflected by a decrease in demand. During 2025, demand decreased and Agan Aroma was impacted by price and volume pressure due to increased competition from Asia and overall market volatility. In addition, uncertainty around U.S. tariff policies created an unpredictable trade environment, further affecting demand and pricing decisions. As a result, growth remained below the prior year.

During 2025, there has been a mild decrease in the cost of some key raw materials used by Agan Aroma. With the decrease in raw material prices, there was also a significant decrease in sales prices as competition increased, resulting in moderate profitability improvements. However, raw material prices largely stabilized by the end of 2025. Despite this, sales prices have remained low

due to heightened competition in the market.

Activity in this area requires innovation, expertise and advanced R&D processes, as well as the technological knowledge required for sophisticated production, low-cost manufacturing capabilities, optimal deployment and management of an international sales network, and initial capital for investment in complex production facilities.

Changes in Volume and Profitability

The sales of Agan Aroma's products to customers outside the Group amounted to approximately USD 39 million in 2025 compared to approximately USD 45 million in 2024.

Customers

Approximately 20% of Agan Aroma's customers are multinational companies that are responsible for approximately 75% of its sales volumes. Agan Aroma supplies most of the leading companies in the fragrance industry, companies who between them have an aggregate market share of approximately 75% of the global fragrance activity. Its major customers in this area include multinational corporations such as DSM-Firmenich, Procter & Gamble, Givaudan, Symrise, Takasago, Mane and Robertet. Fragrance-compounds are usually developed in accordance with customer requirements, requiring long-term strategic relationships with the client, as well as collaboration in development and individual product customization.

Marketing

The majority of Agan Aroma's sales are based on short term contracts and orders, with the remainder mainly coming from spot orders.

Competition

The fragrance products industry is characterized by intense competition. Agan Aroma's primary competitors include leading F&F multinationals with production capabilities in this field, such as IFF, as well as other leading chemical companies and other companies in India and China. The entry of manufacturers from China and India into the market with products of improved quality has led to a significant reduction in prices in the past years, and more intensely during 2023. Due to these developments, Agan Aroma is operating to create opportunities to enter new markets in which its competitive advantages may be leveraged, and which may yield growth and improved margins.

Regulatory Restrictions, Registrations and Permits

Agan Aroma’s products are subject to strict health and safety standards.

Raw Materials and Suppliers

In order to maintain high quality and availability in the sector, manufacturers such as Agan Aroma require long-term relationships with suppliers. Agan Aroma's primary raw material suppliers are chemical suppliers based outside Israel. Currently, Agan Aroma is not dependent on any single

supplier. Finished products in the F&F sphere are usually stored for an average period of six weeks.

20. INDUSTRIAL PRODUCTS

The Company manufactures and markets industrial products, which are primarily by-products of its crop protection production processes, and on occasion raw materials, as follows:

- Hydrogen peroxide, used primarily in the production of detergents for the paper and chemical industries.
- Electrolysis products, sold by the Company to industrial companies, primarily in Israel.
- CO_2 and hydrogen for industrial uses, primarily in the food industry.

The Company's industrial products operations include the manufacturing of chemicals, as well as the import and marketing of industrial chemicals in Israel. Industrial products sales to customers outside the Group in 2025 totaled approximately USD 52 million, compared to approximately USD 51 million in 2024.

Customers

Since this area of activity involves basic chemicals, the variety and type of customers requiring these products are broad. These primarily include industrial companies, including in fields such as food, water supply, energy, textiles, plastics, construction and chemistry. The majority of the Company's customers in this field are in Israel, as well as in Cyprus, Portugal and Jordan. The Company’s industrial chemical products are marketed by means of dedicated distribution agreements or on an order basis, as the case may be.

Competition

The Company is one of the largest players in the Israeli industrial chemicals market. Its primary competitors in Israel include importers and local manufactures, such as Fertilizers and Chemicals Ltd., Maxima Air Separation Center Ltd., Depotchem, Ltd., Chimcol Chemicals Ltd. and Sha'ar Chemicals Ltd.

Raw Materials and Suppliers

Most of the raw material inputs in this field are derived as by-products from the Company's manufacture of crop protection products. Inventory periods are short, usually no more than a number of weeks.

B. ISSUES RELEVANT TO THE ENTIRE GROUP

The following items are presented with respect to the entire Company, since they are common to its overall activities.

21. FIXED ASSETS, REAL ESTATE AND FACILITIES

Company's Plants and Facilities

The Company's fixed assets are primarily the plants in which the Company conducts the manufacture, research, development, formulation and packaging of its products as further described in this section. Below is a description of the Company's material plants and facilities:

Location	Owned / Lease	Purpose	Remarks
Airport City, Israel	Leased	Offices	The Company engaged in a rental agreement for a total area of approximately 6,100 m^2 (at a cost immaterial to the Company) in a building located at Airport City, wherein the Group's head offices are located, including the Company's management and headquarters.
Neot Hovav, Israel	Long-term lease	Manufacturing, packaging, research and development	Plant for production of active ingredients and formulations used in the manufacture of insecticides and fungicides, and R&D center. The plant is also used for the production of industrial products (see Section 20 above). For further information regarding the land, also see Note 9B to the Financial Statements.
Be'er-Sheva, Israel	Long-term lease	Formulation, packaging, research and development	Formulation and packaging of insecticides and fungicides which the majority thereof are manufactured in the Neot Hovav plant; formulation and packaging of products manufactured by third parties sold by the Company. Lycored's facilities are located on part of the land, which Lycored partially purchased the long-term lease rights thereof from ADAMA Makhteshim. For further information regarding the land, also see Note 9B to the Financial Statements.
Ashdod, Israel	Owned/ Long-term lease	Manufacturing, formulation, packaging, research and development	Manufacturing of the active ingredients, formulation and packaging used in the production of herbicides, as well as R&D activity. A manufacturing facility for a product in the fragrance field is located on the land (see Section 19 above). The Company owns a logistics center[38] and a biological wastewater treatment plant, which are located nearby the plant. For further information regarding the land, also see Note 9B to the Financial Statements.
Londrina, Brazil	Owned	Manufacturing, formulation, packaging, research and development, offices	Real estate of approximately 410 dunam (constructed area of approximately 36,000 m^2). Plant for the manufacturing of insecticides, fungicides and herbicides formulations, as well as an R&D center for formulations supported by global R&D. Brazil local management is also located in this site.
Taquari,	Owned	Production	Real estate of approximately 510 dunam (constructed area of

[38] On December 30, 2025, ADAMA Agan engaged in an agreement to sell and lease back of the logistics center. Subsequent to the date of this Report, on March 19, 2026, the closing was completed.

Location	Owned / Lease	Purpose	Remarks
Brazil			approximately 68,000 m^2). Plant for the manufacturing of active ingredients as well as a number of formulations used for the manufacturing of insecticides, fungicides and herbicides.
Brzeg Dolni Poland	Long-term lease	Manufacturing, formulation, packaging	Manufacturing of active ingredients, as well as formulation and packaging of herbicides.

The Company owns additional manufacturing facilities in USA and Colombia. These facilities are designed primarily for the formulation and packaging of products and ingredients produced at the plants in Israel. The Company also owns additional facilities in other regions in which it operates worldwide, including in Spain, Italy, Korea, Mexico and India, which currently produce a limited range of products in a small volume relative to the Group's overall operational capacity. Similarly, the Group has agreements with various companies worldwide for the provision of external synthesis formulation and packaging services at their facilities.

Investments in Production Facilities

The Company acts continuously to expand its manufacturing capacity, primarily by expanding existing synthesis, formulation and packaging facilities, by establishing new manufacturing facilities, operating manufacturing facilities owned by acquired companies, expanding its R&D infrastructures and extensive investments in various environmental projects.

In 2025, the Company invested a total sum of approximately USD 58 million in facilities and equipment. The Company intends to continue expanding its manufacturing capacities by investing in manufacturing facilities, as and to the extent required, subject to various applicable legal restrictions and requirements.[39]

The balance of the depreciated cost of fixed assets in the Company's consolidated Financial Statements, less investment grants, totals approximately USD 1,220 million (for further information see Note 9 to the Financial Statements).

22. PRODUCTION CAPACITY

The Company's production capacity is primarily affected by the location of the manufacturing, formulation and packaging facilities in several sites in Israel and abroad, their output and individual area and time allocation at full capacity.

[39] For an enumeration of the Company's investments in environmental facilities within the three years prior to the Report date, see Section 27 of this chapter. For further details regarding investment grants as a result of the purchase of fixed assets serving as the Company's plants as per the Law for the Encouragement of Capital Investments, 1959, see Notes 19b and 17a to the Financial Statements.

Generally, the Company's manufacturing plants operate 24 hours a day, in shifts, aside from self-initiated stops for periodic maintenance work, during which the Company sells primarily inventoried products. The average production stoppages due to such maintenance work, as well as malfunctions, holidays and other such events is thirty days a year.

The Company's manufacturing sites house two types of facilities: (1) dedicated facilities designed to produce a single product or product family; and (2) multi-purpose facilities - comprising the majority of the Company's facilities where several kinds of products may be manufactured. The latter provide the Company with manufacturing flexibility and enable it to prepare for the manufacturing of new products, subject to maintaining and ensuring quality standards. The Company believes that its existing sites have sufficient facilities and land areas to expand its production capacity, if necessary.

In general, the Company's average output rate is at approximately 65%-70% of total capacity. Nevertheless, the majority of its formulation facilities operate on a seasonal basis, and therefore periodically the facilities operate at higher outputs (exceeding 90% of total capacity) on pick seasons.

The Company estimates that expanding a manufacturing facility may require between six to eighteen months following regulatory approval.

In addition, the Company has engaged in contract manufacturing relationships with select third parties in various countries to manufacture certain intermediates and active ingredients on its behalf. Typically, the Company supplies the process technology and the third-party manufactures on an exclusive basis with full transparency as to performance and clear improvement targets. The additional resources provided by these third parties allows the Company to pursue more projects and deliver process improvements faster.

This Section includes forward-looking statements, as defined in the Securities law, based on subjective Company estimates as to the ability of the Company to expend its production capacity, if necessary. Such estimates may not necessarily materialize due to, inter alia, the risk factors described in Section 34 of this chapter as well as to failure to complete facility expansion on schedule owing to dependence on subcontractors, and machinery and equipment wear and tear.

23. HUMAN RESOURCES

On December 31, 2025, the Group employed 5,070 employees.[40]

	December 31, 2025	December 31, 2024
Manufacturing	2,083	2,064
R&D	231	245
Sales and Registration	2,011	2,185
Management & Administration	745	729
TOTAL	**5,070**	**5,223**

	December 31, 2025	December 31, 2024
Europe, Africa & Middle East (EAME)	2,189	2,245
of which, Israel	*1,310*	*1,297*
Latin America	1,165	1,193
North America	532	521
Asia Pacific	1,184	1,264
TOTAL	**5,070**	**5,223**

As also mentioned in Chapter B of this Report, in early 2024 ADAMA launched its Fight Forward transformation plan, which included, among others, organizational changes that also involved adjusting the workforce in order to support the Company in achieving its business goals.

The decrease in the number of employees during 2025 compared to 2024 is primarily due to the said organizational changes conducted in 2024 and 2025.

The Company's assessments with respect to the success of the Fight Forward plan, contain forward looking statements, as defined in the Securities Law.

At the Report date, approximately 24% of Group's total workforce is employed under collective agreements.

[40] Excluding employees of companies which are treated according to the book value method.

Labor Relations and Employment Agreements:[41]

ADAMA Makhteshim

From time to time, ADAMA Makhteshim enters into special collective agreements for fixed periods with the Company's Workers Council (on behalf of employees who are not employed under personal contracts) and with the New General Federation of Labor - Negev - Be'er-Sheva District, that regulate, *inter alia*, the terms and salary increases as well as associated benefits.

Currently, and for more than a decade, work relations between ADAMA Makhteshim's management and the employees have been in good order.

ADAMA Agan

From time to time, ADAMA Agan enters into special collective agreements for fixed periods with the Company's Workers Council (on behalf of employees who are not employed under personal contracts) and with the New General Federation of Labor - Ashdod District, that regulate, inter alia, the terms and salary increases as well as associated benefits.

Currently, and for more than a decade, work relations between ADAMA Agan's management and the employees have been in good order.

ADAMA Brazil

The employment conditions of the Group's employees in Brazil, employed by ADAMA Brasil S.A. ("**ADAMA Brazil**"), are subject to federal legislation relating to employment (CLT), which include demands regarding labor relations that all private companies in Brazil are obligated to meet.

The employment terms of the employees of ADAMA Brazil, including its senior management, are governed also by a collective agreement which is reviewed and renewed on a regular basis, between ADAMA Brazil and the labor union. ADAMA Brazil's General Manager is employed in accordance with the Brazilian Corporation Act.

Currently, ADAMA Brazil complies with all these regulations and its labor relations are in order. To the best of the Company's knowledge, no significant labor disputes have arisen in ADAMA Brazil in recent years.

ADAMA India

The employment terms of the employees of ADAMA India comply with the labor and welfare laws in India, and the regulations prescribed by the relevant authorities.

ADAMA India does not have a labor union and currently its labor relations are in order.

[41] The description is given regarding the Company's key subsidiaries, in which the majority of the Company's employees are employed.

Officers and Senior Management of the Company

The Company's senior management team operates from the Company's offices in Israel and abroad, while the President and CEO, as well as the CFO of the Company also serve as executives in ADAMA Ltd. in the same roles.

For details regarding the remuneration policy of the Company, as extended, see the immediate report dated December 18, 2023 (ref: 2023-01-114217) which is brought here by way of reference.

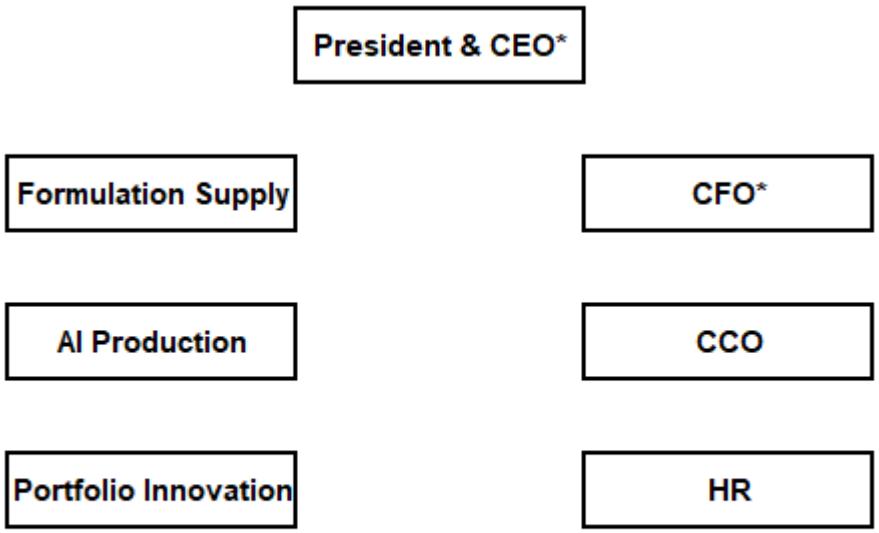
For details regarding long term remuneration plans which have been adopted by the Company and are in effect as of the date of the Report, see Notes 21d and 28 of the Financial Statements and details according to regulation 21 for 2025 in chapter D of this Report.

For details regarding terms of officers' insurance and letters of indemnification and release see Notes 19A(1)-(2) of the Financial Statements.

Currently, the Company believes that it is not dependent on any one individual employee.

For information regarding the Company's obligations on the termination of employment, see Note 18 to the Financial Statements.

The ADAMA Group's Organizational Structure:[42]



* Preside concurrently as senior executives in ADAMA Ltd.

[42] The structure relates to the executive team of the Company - the Global ADAMA Leadership Team. For details regarding the Company's senior officers, see Chapter D of this Report.

Provision of Management Services to ADAMA Ltd.

In order to facilitate the business integration and the operational alignment between the Company and ADAMA Ltd. (including its subsidiaries), the authorized organs of the Company approved the engagement of the Company in various services agreements with ADAMA Ltd. (as a transaction with a controlling shareholder), whereby the Company provides ADAMA Ltd. senior management services, to be performed by certain officers of the Company[43], to an extent of 20% of a full-time office; headquarters services, including operational, administrative, legal, commercial, finance and other services with respect to the activities of ADAMA Ltd., including due to its being a listed company; and a grant of a license to ADAMA Ltd. for the use of the brand "ADAMA".[44] The initial three-year term of the aforesaid agreements was renewed, and the total consideration with respect thereto is not material.

For the fulfilment of the business combination, the competent organs of the Company approved the adjustment to the scope of the aforementioned officers' employment as well as the grant of indemnification for the provision of the services to ADAMA Ltd. and for double-tax exposure, should such eventuate.

24. WORKING CAPITAL

The Company's 2025 Working Capital:

Working capital balance (Million USD)	Current ratio	Quick ratio
383	1.13	0.63

Customer Credit

Generally, the Company follows customer credit control procedures which establish conditions for providing customer credit limits, as well as the procedures for collection follow-up. The Company generally offers its customers credit of between several months and one year, such that a separate liability is managed for each customer by individual profile, its specific requirements and the type of business relationship. For additional information regarding this procedure see Note 30B to the Financial Statements.

The credit term extended to customers varies and is a function of the competition in each of the Company's markets, the types of crops in the region in question, the number of parties involved in the supply chain, and other such factors that may affect the credit period at any given time. In certain regions, primarily Latin America, the credit term is long (compared, for example, to that for west European customers), and sometimes, *inter alia*, due to difficult crop seasons or the economic conditions in the respective country, the Company may find it difficult to collect its debts, possibly

[43] Currently relates to the Chief Financial Officer of the Company.
[44] As of the date of the Report, the license for the use of the brand was granted without consideration.

prolonging the collection term for up to several months. This risk also exists in emerging countries where the Company may be less familiar with its customers, their collaterals may be of questionable quality and there may be no certainty as to the existence of customer insurance coverage.[45]

The Company extends credit terms to its customers according to the credit terms common in each respective market. Accordingly, the increase in the Company's sales in emerging countries where the average length of credit periods is greater, has led to, and may continue to involve, an increase in the aggregate credit term extended by the Company. Furthermore, in view of the challenging agricultural market conditions in recent years, the large RBCs have begun increasing the credit terms offered to customers, which have compelled and will continue to compel the Company to also increase the credit terms it extends to its customers in certain regions.

The average customer credit days extended in the three years preceding the Report date is as follows:[46]

	2025	2024	2023
Average customer credit days	129	131	123

Crop protection sales are directly dependent on the agricultural seasons and crop cycles. As such, the Company's sales are not split equally over the year, and accordingly there are variations between the first and second halves of the year in customer characteristics and the average credit terms. Countries in the Northern Hemisphere are characterized by similar generally timing of agricultural seasons, with these countries usually having their highest sales in the first half of the calendar year, whereas the agricultural season is the opposite in the Southern Hemisphere (except to some extent in Australia), where most sales occur in the second half of the year.

The customer credit period in northern hemisphere countries is generally lower than the Company average, while the customer credit period in southern hemisphere countries is generally higher than the Company average. Sales in Brazil, which accounted for approximately 19% of the Company's sales in 2025, occur mainly in the second half of the year, and collections are made primarily in the second quarter of the subsequent year.

The Company's trade receivables balance on December 31, 2025, totaled approximately USD 1,045 million. For additional information see Note 4 to the Financial Statements.

The Company's estimated credit loss expense totaled approximately USD 16 million in 2025, mainly due to the Brazilian account receivables.

[45] For information in this regard see also Note 30B(2) to the Financial Statements in reference to provisions for estimated credit losses.

[46] The data refer to the annual average (rather than the number of credit days as of the end of the reporting period). The average calculation includes current and non-current customers. The average customer credit days include the effect of both the Company's customer financing programs and exchange rates.

Receivables Financing Facilities

The Company engages in ongoing customer debt securitization whereby a foreign company (not owned by the Company) which is funded by international financial institutions purchases certain of the Company subsidiaries' customer debts (the "**Receivables Financing Facility**"). In addition, the Company's subsidiary in Brazil engaged in additional receivables financing facilities for its customer debt securitization.[47]

Inventory and Raw Materials

Due to the seasonal nature of the Company's sales, the relative distance of the production plants from its various markets and the high importance the Company ascribes to the quality of its customer service, the Company usually follows a flexible inventory policy with regard to raw materials and finished goods.

The Company's production plan is based on a forecast of periodic (seasonal) orders, which is updated on a continual basis, predominantly according to updated forecasts as well as actual orders. Under this plan, the Company generally orders its raw materials from suppliers in view of their expected future availability and logistical considerations, and subject to the various production limits, if any. However, in order to reduce funding requirements and maximize efficiency, the Company endeavors, to the extent possible, to take delivery of the raw materials in close proximity to the planned production deadlines. The Company usually stores an inventory of raw materials in line with such forecasts in its plants. The shelf lives of most of the raw materials are several years as they remain stable over the years and may even be extended by simple treatments.

The Company has a dedicated inventory policy for each finished product, based on its profitability as well as production deadlines and expected orders. In addition, the Company ascribes great importance to managing its current inventory efficiently and to curtailing its global supply chain. Since the Company's customer sales are based on orders submitted on short notice, its inventory policy enables it to maintain product availability throughout each season and its different phases.

Average inventory and inventory periods in the three years prior to the Report date are as follows:[48]

	2025	2024	2023
Average inventory (USD million)	1,547	1,642	2,159
Inventory days (relative to historical sales)	216	215	244

At every period, the Company evaluates the need for recording inventory impairment provisions. Total current inventory as of December 31, 2025, was approximately USD 1,508 million, an increase

[47] For information regarding the Receivables Financing Facility, including the credit thereof, its general terms, period, and maximum limit of the credit facility, see Note 4 to the Financial Statements, and also see Notes 20D to the Financial Statements regarding the restrictions applicable to the Company resulting from the Receivables Financing Facility.

[48] The average inventory calculation includes current and non-current inventory.

of approximately USD 88 million compared to approximately USD 1,421 million in 2024.

Supplier Credit

Generally, the Company receives credit from suppliers of 30 to 180 days. The Company continuously endeavors to increase the credit terms it receives from various suppliers.

The average trade payables and average supplier credit days in the three years prior to the Report date are as follows:[49]

	2025	2024	2023
Average trade payables (USD millions)	909	835	976
Supplier credit days	136	130	148

25. FINANCING AND CREDIT

The Company finances its business activities by means of its equity as well as credit from external sources. The primary external financing is by means of long-term bonds issued by the Company, the balance of which as of December 31, 2025, was approximately USD 766 million.

The Company has additional sources of external funding from: (1) long-term credit from banks and related parties, the balance of which as of December 31, 2025 (including current maturities) was approximately USD 537 million, and under the terms such that the Company has undertaken to comply with certain financial covenants vis-à-vis such banks; (2) short-term credit from banks and related parties, the balance of which as of December 31, 2025 (excluding current maturities) was approximately USD 815 million, including a series of commercial securities (non-tradable) that the Company issued, the balance of which as of December 31, 2025, was USD 40 million; and (3) supplier credit. The debt total of the Receivables Financing agreements of approximately USD 337 million as of the end of 2025 is not included in the balance sheets.

As of December 31, 2025, the Company has cash liquidity and cash-equivalent balances amounting to approximately USD 423 million. In addition, as of December 31, 2025, the Company has unused committed credit lines from banks and others of approximately USD 530 million and of approximately USD 260 million from related parties.

Long-Term Loans

The average long-term loans of the Company in 2025 amounted to approximately USD 259 million. The following includes average interest rates and long-term loan amounts, broken down by the primary financing currency, for 2025:

[49] Excluding suppliers of fixed assets.

	Weighted interest rate on 31.12.2025 (%)	Effective interest rate (%)	December 31, 2025 (USD thousand)
Long-term loans from Banks			
USD	3.53%	3.57%	201,700
Total			**201,700**
Other long-term Loans			
USD	2.70%	2.73%	50,000
RMB	2.40%	2.42%	285,760
Total			**335,760**

In the period commencing January 1, 2025, until the publication date of the Report, the Company did not take out any new long-term loans.

Short-Term Loans and Variable Interest Credit

The average short-term loans of the Company in 2025 amounted to approximately USD 864 million. The average interest rate and extent of short-term loans broken down by the primary financing currency, for 2025:

	Weighted interest rate on 31.12.2025 (%)	Effective interest rate (%)	December 31, 2025 (USD thousand)
Short-term loans and credit from Banks			
Short-term credit:			
USD	5.59%	5.74%	225,463
INR	7.21%	7.47%	13,680
UAH	12.40%	13.20%	4,011
ARS	22.50%	25.22%	1,904
Total			**245,070**
Short-term loans and credit from Others			
Short-term credit:			
USD	5.63%	5.79%	530,000
Total			**530,000**

In the period commencing January 1, 2026, until the publication date of the Report, the Company was extended with approximately USD 130 million new short-term loans.

Bonds issued by the Company

The Company's primary external source of financing is the long-term bonds it has issued. The Company does not have commitments to meet financial covenants with respect to such bonds. For information regarding the bonds issued by the Company, see Note 15 to the Financial Statements and the appendix to the Board of Directors' Report.

Financing Restrictions

Restrictions by virtue of long-term bank credit documents

The financing documents for the long-term bank credit assumed by the Company and its consolidated subsidiaries ("**Finance Documents**") include undertakings by the Company to maintain certain financial ratios ("**Financial Covenants**"), and restrictions relating to changes in control. For further details regarding the restrictions which apply to the Company by virtue of Finance Documents see Note 20 of the Financial Statements.

Restrictions by virtue of the Receivables Financing Facilities

The Receivables Financing Facilities, as amended, include undertakings by the Company to comply with Financial Covenants. For details regarding the Company's Receivables Financing Facility plan and the undertakings to comply with financial covenants thereunder see Notes 4 and 20 of the Financial Statements. In addition to the above, the Company has undertaken, within the framework of the Finance Documents, to meet further terms that, in the opinion of the Company, do not significantly restrict its operations.

As per the Finance Documents and Receivables Financing Facilities, the Company's compliance with the various Financial Covenants is assessed on a quarterly basis, and across the four quarters preceding the assessment date, as the case may be.

As of December 31, 2025, and to the best of the Company's knowledge, the Company complies with all its Financial Covenants and restrictions stipulated by the Finance Documents, and the Receivables Financing Facilities (as amended). Notwithstanding the aforesaid, a deterioration in the Company's results due to the occurrence of an unforeseen event beyond the Company's control or non-materialization of the Company's forecasts may cause the Company to be in non-compliance with the Financial Covenants prescribed in the Finance Documents, or Receivables Financing Facilities.

The Company's Bonds and Credit Rating

See the appendix to the Board of Directors' Report.

Variable Interest Credit

The following includes the range of (stated) interest rates in 2025, and the interest rate for variable-interest loans proximate to the publication date of the Report:

Type of Credit	Currency	Credit amount at December 31, 2025 (in USD thousand)	Variation Mechanism	Interest Rates proximate to Report publication date (%)	Interest Range in 2025 (%)
Long Term Loan	CNY	285,760	CNY PRIME	3.0000	3.00-3.10
Short Term Credit	USD	40	3 M SOFER	3.6500	3.65-4.33
Short Term Credit	INR	13,680	INR	6.0700	5.95-7.34
Short Term Credit	UHA	4,011	KIEUAH3MD	26.4368	24.75-102.76
Short Term Credit	ARS	1,904	ARS	26.6875	24.94-59.06

26. TAXATION

Tax Laws Applicable to the Company

The Group develops, purchases, manufactures and markets its products through many companies worldwide. Approximately 97% of the Group's sales in 2025 occurred in global markets outside of Israel. As such, the Group operates in dozens of countries globally, with direct presence in all top 20 markets, with each of the Group companies being independent and fulfilling a different role and making a different contribution to the Group's operations and being assessed according to the tax laws in their specific localities, as described below. The Group's effective tax rate could be affected by a significantly different classification or attribution of the proceeds arising from the proportional value of the components of each of the companies in the Group in the various countries, as is recognized in each tax jurisdiction.

The Company is assessed according to the Israeli tax law in accordance with the Income Tax Ordinance (New Version), 5721-1961 (the "**Ordinance**" or the "**Income Tax Ordinance**") and its regulations. The Israeli tax base is territorial and personal, thus applicable to companies defined as Israeli residents as per the provisions of the Income Tax Ordinance and to non-Israeli residents who have income in Israel.

To the best of the Company's knowledge, the foreign subsidiaries held by the Company are controlled and governed outside Israel, and therefore, and pursuant to Section 1 of the Income Tax Ordinance, are not deemed to be Israeli residents for income tax purposes. *Note that the Israeli and/or foreign tax authorities may not accept the taxation results as generally described in this Section.*

For information regarding the corporate tax rates applicable to the Company in Israel and regarding the tax environment in which the Company operates in Israel, see Note 17 to the Financial Statements.

Israeli taxation of foreign income

Dividends, royalties and interest paid by a foreign company to an Israeli company are generally taxable in Israel. Subject to the provisions of the Ordinance, Israeli taxpayers may be eligible for a

foreign tax credit for taxes paid outside of Israel on such income, up to the amount of taxable income.

Transfer prices

As per Sections 85a, Section 85b and 85c of the Income Tax Ordinance and the Income Tax Regulations (Market Terms Determination), 5767-2006, ("**Transfer Price Regulations**"), a cross-border transaction (in which one of the parties involved is not an Israeli resident), in which the two parties have a "special relationship" as defined therein, is required to be reported in accordance with market conditions and to be taxed accordingly. The Transfer Price Regulations apply to various cross-border transactions, including the various stages of product manufacture to its sale. Sections 85b and 85c of the Income Tax Ordinance outline the documentation and disclosure obligations of multinational enterprises (MNEs) in Israel. This includes requirements for a Local File, Master File, and a Country-by-Country (CbC) report, where applicable.

Section 85a and the Transfer Price Regulations adopt the "market conditions" pricing principle by stating that price appropriateness and the terms of cross-border transactions between parties who have a special relationship will be evaluated by comparing them to similar transactions between parties with no such relationship.

Company services or products are priced based on transfer pricing studies conducted to reflect the market price that would have been determined for these services or products were they to be provided to non-group members.

Due to the Group’s international activities, taxable income is distributed among many countries with varying tax rates. At the Report date, the various double taxation treaties provide certain benefits on different cross-border income streams amongst the various group members. Different classification or categorization of the proceeds for the value elements of each Group member in the various countries, or of their characteristics, affect the amounts of income accrued and assessed for taxation purposes in each country, and this may indeed have a material effect on the Group’s taxation and results. See also the Group Risk Factors in Section 34 of this chapter.

According to the tax laws in countries wherein deferred taxes are recognized, there is, generally, no time limit on the utilization of tax loss carryforwards and of the temporary differences that may be deducted. However, in certain countries there is a time limit on utilization of tax loss carryforwards, while in other jurisdictions, there is a limit on the level of tax loss carry forwards that may be offset each year (e.g., Brazil, which limits the annual utilization to 30% of taxable income).

Tax Rate

As per the Financial Statements as of December 31, 2025 and Note 17 thereto, in 2025, the Company's pre-tax loss amounted to approximately USD 93 million. For details regarding the theoretical tax expenses considering the statutory tax rate compared to the actual tax expenses see Note 17D of the Financial Statements.

To the best of the Company's knowledge, the statutory corporate tax rates in effect on December 31, 2025 were approximately 28% in Italy; approximately 25% in Spain; approximately 26% in France; approximately 24% in the US; approximately 32% in Germany; approximately 34% in Brazil; and approximately 25% in India. In other countries where the Group operates, the tax rates range between 15% and 38%.

Tax losses which may be used (carried forward) in the following years totaling approximately USD 1,063 million as of the balance sheet date, can be realized over a period of several years. The Company’s deferred tax asset for accrued losses totals approximately USD 64 million, according to the Company's estimate of a high likelihood for the realization in the upcoming years of the losses regarding which has a deferred tax asset. The (consolidated) effective tax rate in 2025 was (-51)%. Despite reaching losses before tax, the Company recorded tax expenses in 2025 mainly because of the losses that were primarily incurred by subsidiaries with relatively lower tax rates, while some of them did not create deferred tax assets on the losses. On the other hand, the subsidiaries that generated profit have a higher tax rate.

A portion of the Company's surpluses result from income of Israeli Approved Enterprises and of its foreign subsidiaries. The Group may be required to pay additional taxation in the case of distribution of dividends sourced from these surpluses by the Group companies. As stated in Note 3J to the Financial Statements, when calculating the deferred taxes, those taxes that may be levied if investments in the consolidated companies are realized were not taken into account, since the Group's policy is to primarily use operational surpluses to expand the Group’s operations. As of the date of this Report, the Company generally intends to hold these investments and reinvest surpluses rather than realize them. For further details, see Note 17 to the Financial Statements.

Tax Assessments

See Note 17F to the Financial Statements.

International Taxation - Pillar 2 Income Taxes

The OECD has published Global Anti-Base Erosion (GloBE) Model Rules (Pillar Two) which aim to ensure that large multinational enterprises pay a minimum level of tax on the income arising in each of the jurisdictions where they operate. The Model Rules provide for a template that jurisdictions can translate into domestic law as part of a common approach to applying top-up taxes on profits arising in a jurisdiction whenever the effective tax rate, determined on a jurisdictional basis in accordance with the Model Rules, is below the minimum rate of 15%. The Group is within the scope of the OECD Pillar Two model rules.

Various countries intend to enact or have enacted tax legislation to either fully or partially comply with Pillar Two, from January 1, 2024. China has not implemented any part of Pillar 2 as of December 31, 2025 and does not expect to implement the Pillar 2 rules with effect before January 1, 2027.

Israel partially implemented the Pillar 2 rules with effect from January 1, 2026. The Group is in the process of assessing its exposure to Pillar Two and is closely monitoring the legislative developments in each jurisdiction in which it operates. Pillar two had no material impact on the Group's 2025 financial results.

The Group applies the exception under IAS 12 to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

27. ENVIRONMENTAL RISKS AND REGULATION

The Company is exposed to various environmental and climate change risks as a result of its activities, including with regard to air emissions, storage and use of hazardous materials, soil groundwater and water contamination, discharge of industrial effluents, and others. As such, the Company's activities are subject to extensive environmental regulation in the different countries in which it has operations. In recent years, the requirements of the environmental laws enforced (or being advanced in the legislative process) have become more stringent, as has the supervision and enforcement of these requirements. The Company expects this trend to continue in the coming years.

The Company holds, as required by laws and regulations, various permits and licenses, such as business licenses, toxins permits, air emissions permits and permits to discharge treated effluents into the sea and rivers. To the best of the Company's knowledge, the Company's environmental permits and licenses are currently valid and in force.

For additional information regarding the risks related to environmental regulation imposed on the Company, see Section 34, "Legislation, standards, regulation and environmental, health and safety exposure" of this chapter.

The Company sees great importance in environmental performance and compliance and invests time and effort to promote various initiatives in this regard. In addition, the Company has set long-term goals to reduce its carbon footprint, water consumption and hazardous waste including by voluntarily reporting to ECOVADIS and Greeneye, and by publishing an ESG report as detailed below.[50]

As of the date of the Report, there are no material legal and/or administrative proceedings against the Company regarding environmental matters.

Israel

Among the primary environmental laws governing the Company's activities are, *inter alia*, the Abatement of Nuisances Law, 5721-1961; Business Licensing Law, 5728-1968; Water Law, 5719-1959, Prevention of Sea Pollution from Land-Based Sources Law, 5748-1988 ("**Prevention of Sea Pollution**

[50] For further information regarding the Company's sustainability activities see Section 31 below.

from Land-Based Sources Law"); Hazardous Materials Law, 5753-1993; Clean Air Law, 5768-2008 ("**Clean Air Law**"), and their respective regulations.

The Company continually examines the implications of environmental laws, taking actions to prevent or mitigate the environmental risks and to reduce the environmental impact that may result from its activities, and investing extensive resources to fulfill those legal provisions that currently, and are further anticipated to, affect it.

Air quality

The Company's plants are subject to air emissions regulations, whether by virtue of the stipulations provided in the business licenses or in the air emissions permits under the Clean Air Law. The Company's plants, which are required to hold air emissions permits, hold valid permits, in force until January 2031.

Discharge of treated effluents into the sea

The Prevention of Sea Pollution from Land-Based Sources Law requires obtaining a permit from the Ministry of Environmental Protection to discharge waste or effluents into the sea from land-based sources. The ADAMA Agan plant holds such a permit, valid until June 2027. The terms of this permit are more stringent than the previous permit, as part of the generally more rigorous trend adopted by the Ministry of Environmental Protection in the issuance and terms of permits for discharging into the sea.

Soil and ground water

Hazardous materials are stored and utilized in the Company's plants, together with infrastructures and facilities containing fuels and hazardous materials. The Company takes actions to prevent soil, groundwater and water pollution by these materials and treats such pollution, if discovered.

The Company's Israeli plants conduct various soil and groundwater testing, monitoring and remediation activities, according to the instructions of the Ministry of Environmental Protection and the Water Authority.

As part of the future planning of the Company, the Company is considering relocating the formulation activities carried out in the Be'er-Sheva plant to the Neot-Hovav plant in the coming years. As such, ADAMA Makhteshim submitted a soil remediation plan to the Ministry of Environmental Protection ("**B-S Plan**"). The B-S Plan guides the cleanup and remediation requirements. As of the date of this Report, the soil remediation actions are managed in alignment with the authorities.

Environmental Investments (in Million USD)

	2025	2024	2023
Total investment in environmental facilities, approx.	17	40	34
Current costs (before depreciation), approx.	43	42	47

The Company intends to continue investing in environmental protection, to the extent required and beyond, whether of its own volition or in compliance with contractual commitments, regulatory or legal standards relating to environmental protection, so as to realize its best available policy and comply with any legal requirements. The Company currently expects environmental costs in the years 2026-2028 to total approximately USD 189 million (this is solely an estimation that assumes investment in new facilities, and ongoing maintenance, monitoring and other expenses).

According to the Company's analysis, the primary use of the environmental costs that it incurred in the period of this Report was for the investment in the prevention and mitigation of environmental damage. For more information regarding the Company's approach to sustainability, see also Section 31 below.

The Company's estimates concerning the amount of environmental-related investments constitutes forward-looking statements based on the Company's budget and operating plans. The Company's estimates regarding the amount of projected environmental investment may not materialize, whether in whole or in part, due to factors that are beyond the Company's control, including changes to the regulatory requirements applicable to the Company and other events including those resulting from realization of the Company's risk assessments, as described in Section 34 of this Report.

Brazil

ADAMA Brazil - the Group's subsidiary in Brazil - operates two main plants: the larger one, is near Taquari, and the other is in Londrina, both in southern Brazil. To the best of the Company's knowledge, as of the Report date, no environmental permits or licenses held by ADAMA Brazil have been revoked.

ADAMA Brazil invests in safety and ecological facilities in its two plants, further conducting independent environmental tests to ensure its compliance with its licenses, testing of the surrounding groundwater and monitoring atmospheric emissions through advanced technological means. Periodic testing of the atmospheric emissions and water sources are performed to prove that the facilities meet the requirements set forth by the state Ministry of Environment.

As part of its policy of ecological process improvement, ADAMA Brazil also invests in remediation, changes in production processes, establishment of effluents facility, as well as in byproduct storage and recycling. ADAMA Brazil is also a member of an organization comprised of a group of companies that take action to treat and dispose of empty used crop protection packaging.

Corporate Policy

The Company attributes great importance to protecting the environment, out of a sense of responsibility to society and the environment, and strives to meet the relevant regulatory requirements and to even go beyond mere compliance, engaging in constant dialogue with stakeholders, including the authorities and the community. ADAMA Makhteshim, ADAMA Agan and

ADAMA Brazil are certified under Environmental Management Regulations (ISO 14001) and Industrial Safety and Hygiene Management (ISO 45001).

The Company has significantly enlarged its safety and environmental teams in order to meet the enhanced regulatory and sustainability requirements, while corporate, regional and site levels employees have been appointed as responsible for these matters. The Company has an HSE (Health, Safety and Environment) policy, covering occupational safety process safety and environmental guidelines. In addition, the Company holds a sustainable procurement policy with a suppliers' code of conduct, extending the Company's responsibility for environmental impact along with the products' life cycle. The Company monitors energy and water consumption and has established a reduction goal for each one. The Company further voluntarily reports environmental and sustainability performance to local and global rating agencies, e.g., ECOVADIS and Greeneye.

The Company is insured against sudden, unexpected events of environmental pollution in Israel and overseas. The Company believes, based on the advice of its insurance consultants, that the scope of insurance coverage for such events is appropriate.

The information concerning expected environmental-related investments, future requirements of authorities, implications of legislation, completion and relocation of facilities (including the considered relocation of the formulation activities carried out in the Be'er-Sheva plant to the Neot-Hovav plant) and deadlines expected to be met as detailed in this section constitutes forward-looking statements as defined in the Securities Law, and thus may not materialize, whether in whole or in part, or may materialize in a manner different than expected by the Company, as it essentially relies on Company estimates and expectations, based on past experience and subjective assessments. These assessments may change, in whole or in part, from time to time, inter alia due to developments in the Company's area of operations and regulatory changes regarding environmental matters. There is, therefore, no certainty that the Company's intentions will be realized, or its strategy implemented.

28. RESTRICTIONS AND REGULATORY ARRANGEMENTS

As an integral part of the Company's business activities, it is subject to certain legal and regulatory controls. The following is a summary of the main legal and regulatory restrictions and arrangements relevant to the Company's operations:

- **Registration of active ingredients, formulated products and dietary supplements -** The Company's operations involve the production and marketing of active ingredients and crop protection chemical substances. Producing and marketing these products and materials requires undergoing a statutory registration and/or approval process. See Section 15 above for details.
- **Environmental laws and related quality standards -** The Company's operations involve chemical-industrial processes and are therefore subject to certain environmental laws and related quality standards. See Section 27 above for details.

- **Crop protection laws -** The Company's products manufactured or sold in Israel must be registered according to the Crop Protection Law, 5716-1956, and its related regulations. The purpose of the registration requirement of the Company's products is to protect public health and the environment from potential adverse effects of certain substances contained in crop protection products.
- **Business licenses -** All Company plants require business licenses in their respective locations.
- **Quality control -** ADAMA Makhteshim, ADAMA Agan and ADAMA Brazil qualify for the ISO 9002 quality control standard, which specifies uniform production process standards, as well as overseeing all ancillary processes. Moreover, ADAMA Makhteshim, ADAMA Agan and ADAMA Brazil qualify for the Occupational Health and Safety Standard (ISO 45001).
- **The Law for the Encouragement of Capital Investments -** The provisions of the Law for the Encouragement of Capital Investments and its related regulations, as well as approvals granted for the Company's various investments. For further information, see Note 17 of the Financial Statements.
- **The Israel Land Authority -** Approximately 90% of the land in Israel is state or quasi-state owned and administered by the Israel Land Authority ("**ILA**"). Most of the lands on which the Company's Israeli plants are located are leased from the ILA on a long-term basis. Hence, the rights to these lands and related transactions are subject to contractual provisions and regulations regarding change of land designation and land usage rights. Accordingly, the Group may be required to bear certain payments to the ILA.

29. MATERIAL AGREEMENTS

- See Section 24 of this chapter for information regarding the Receivables Financing Facility for the securitization of customer receivables.
- See Section 25 of this chapter for information regarding the Company's debentures.

30. COLLABORATION AGREEMENTS

- The Company has a large number of collaboration agreements with leading multinational companies for the development of product registration data and their submission to relevant regulatory authorities, none of which is material to the Company.
- For details regarding the collaboration of the Company with the Syngenta Group Companies, see Sections 1 and 33.

31. SUSTAINABILITY

ADAMA Group has been engaged for more than a decade in an ongoing commitment to accountability and transparency regarding its operations and business, which was, as of 2025 led by Head of Corporate Strategy and Communication, embedding the Company's sustainability strategy through a Company-wide Sustainability Network that promotes sustainability throughout the Company's operation regions.

During 2025, the Company published its ESG report for 2024 on a designated website, reflecting its activities and improvements that are the outcome of a long-term investment. The ESG report provides meaningful insights into the challenges and opportunities the Company faces in being not only a global supplier of crop protection products, solutions, and services, but one that aims to bolster food security in a world where populations are rising, resources are dwindling, and energy demands are increasing.

In the report, the Company shares how it integrates sustainability into its business and operations to create long-term value for all the Company's stakeholders: customers, people, communities, shareholders, and society at large.

In addition, the Company adheres to corporate governance principals to ensure checks and balances in the conduct of its affairs, among others, the Company enforces a code of conduct that applies to its people and stakeholders and has adopted internal enforcement programs in several relevant fields of activity.

32. LEGAL PROCEEDINGS

For information about the pending material legal proceedings and material legal proceedings which have concluded as of the date of the Report, see Note 19D to the Financial Statements.

33. THE COMPANY'S GROWTH STRATEGY

The Company strives to be a global leader in the Crop Protection industry, and intends to achieve this aim by execution of the following strategies:

- **Utilize the Company's Differentiated Offering to Strengthen and Grow its Market Position.** The Company aims to drive the growth of its business through effective commercialization of differentiated, high quality products that meet farmers' needs efficiently. To that end, the Company leverages its extensive R&D and registration capabilities to provide unique yet simple solutions to farmers. In addition, the Company adds value by enhancing the functionality and efficacy of the industry's most successful and commercially proven molecules, by developing new and unique mixtures and formulations. These new products are designed to provide farmers with better solutions to the challenges they face, including weeds, insects and disease, increasing resistance and insufficient pest control related to the use of genetically modified seeds.

Such solutions include higher-margin, higher-value and more complex off-patent products, unique mixtures and formulations as well as innovative, novel products that are protected by patents and other intellectual property rights. As evidence of this effort, the Company has significantly increased the proportion of unique mixtures and formulations in its R&D pipeline over the last several years. Over the coming years, as this shift towards more differentiated and innovative solutions starts to be reflected in the Company's commercial offering especially in key strategic market segments, it is expected to be a significant driver of growth in profitability.

- **Collaboration with Syngenta Group Companies.** The Company has engaged with Syngenta Group Companies in collaboration agreements for the sale and distribution of finished products, raw materials supply, joint ventures in the fields of procurement, logistics, production and supply chain as well as in the R&D and products' registration fields, in order to reduce costs, to improve processes and to increase the Company's sales. Such collaborations have and are expected to continue to generate meaningful additional benefits for the Company as well as Syngenta Group. For further details regarding Syngenta Group, see Sections 1 and 13 above.
- **Continue to Strengthen Position in Emerging Markets**. In addition to developing its China commercial and operational platform, the Company enjoys strong and leading positions in key emerging agricultural markets in Latin America, India, Asia and Eastern Europe, with over half of its global sales deriving from these markets. Over the last several years, in order to establish and strengthen direct market access and distribution capabilities in these markets, the Company has made acquisitions in Chile, France, Greece, Paraguay, Peru, Romania, New Zealand, China and the US. Similarly, the Company has a direct go-to-market strategy in many high-growth markets around the world, leveraging a direct sales force and driving demand at the retail and farmer level. The Company intends to continue to invest in its growth in the key emerging markets where it believes there is high growth potential. The Company's strong global platform and leading commercial infrastructure in such markets should allow it to capitalize on worldwide growth opportunities and continue to drive its profitable growth.
- **Grow Revenues and Increase Profitability.** The Company believes that it has the capacity and operational leverage to increase profitability through the focused execution of its strategy within the framework of prudent working capital management. The Company is aiming to increase its revenues and margins consistently over time as it shifts to a more differentiated, higher-margin product portfolio and continues to strengthen its product pipeline with a significant number of higher added-value products, based on AIs with recently expired patents, unique mixtures and formulations, as well as innovative and patent protected products. The Company believes that its unique connection to manufacturing sources in China will, over time, lower costs and improve manufacturing efficiency and distribution logistics and reduce inventory requirements in many markets worldwide.

In recent years, the Company has focused on growing and improving its business, infrastructure and brand. Other than investments with respect to the ongoing development of its China and Israel operations, the Company believes that its existing global infrastructure is largely of sufficient scale to support higher revenues, allowing it to enjoy economies of scale and continually improve profitability over time.

- **Continue to Capitalize on the Global Portfolio Integration and Rebranding Initiative.** In 2014 the ADAMA brand was launched, integrating dozens of legacy brands across the globe to form a single, streamlined sales and distribution entity under a unified brand name. In 2019, following extensive farmer and customer research in 13 major markets, the Company further evolved its brand, creating a unique and compelling brand story that elevates ADAMA's distinct entrepreneurial and agile culture; increases its relevance to its customers (channel partners and growers); and further differentiates the Company from key competitors. The evolved brand positioning, known as "Listen, Learn, Deliver", focuses on a process of listening to customer needs, bringing insights from the field and combining them with the extensive know-how and experience of the Company; and delivering solutions that meet local farmer and customer pain points. With this new brand positioning the Company is investing in platforms to ensure ongoing and intimate farmer and customer interactions which will provide the source for future product and solution ideation.
- **Opportunistically Pursue Acquisitions to Enhance Market Access and Strengthen the Product Portfolio.** The Company has a history of successfully completing and integrating add-on acquisitions across the globe. The Company may selectively consider bolt-on acquisitions, in-licensing agreements and joint ventures that present attractive opportunities to enhance its market access and strengthen its product portfolio.

The strategy and objectives detailed in this section include forward-looking statements as defined in the Securities Law, and are based on the Company management's assessments and rely on its accumulated experience with economic (global, local and industry-specific), technological, social and other developments, as well as estimates of the effects of each development on the others. Hence, these aforementioned developments may change or not materialize, in whole or in part, or materialize in a manner different than anticipated by the Company, from time to time, inter alia, due to developments in the markets where the Company operates, its area of operations and the demand for its products. There is therefore no certainty that the Company's intentions will be realized or that its strategy will be successfully implemented. In such eventualities, the Company's management will review the strategy detailed above and its main objectives and assess its compatibility with future developments.

34. RISK FACTORS

The Company believes that it is exposed to several major risk factors, resulting from its economic environment, the industry and the Company's unique characteristics, as described below (the order below does not indicate priority):

Macroeconomic Risk Factors

Exchange rate fluctuations

The Company reports its consolidated financial statements in USD, which is its functional currency, while its operations, sales and purchases of raw materials are carried out in various currencies. Therefore, fluctuations in the exchange rates of the selling currencies against the purchasing currencies impact the Company's results. In the Company's assessment, the Group's most significant currency exposures are to the Euro, the Israeli Shekel and the Brazilian Real. The Company has lower exposures to other currencies. The strengthening of the US dollar against the other currencies in which the Company operates reduces the dollar value of the Company's sales and vice versa.

On an annual basis, approximately 25% of the Company's sales are to the European market and therefore the impact of long-term trends on the Euro may affect the Company's results and profitability in US dollar terms.

Analyses of currency exposure from foreign currency exchange rate fluctuations against assets, liabilities and cash flow denominated in foreign currencies are performed constantly. High volatility in the exchange rates of these currencies could increase the costs of transactions to hedge against currency exposure, thereby increasing the Company's financing costs.

The Company uses commonly accepted financial instruments to hedge most of its substantial net balance sheet exposure to any particular currency. However, since the Company hedges against most of its balance sheet exposure but only against part of its economic exposure, exchange rate volatility might impact the Company's results and profitability. As of the date of publication of this Report, the Company has hedged most of its balance sheet exposure.

In addition, as the Company's product sales depend directly on the cyclical nature of the agricultural seasons, the Company's income and its exposure to the various currencies is not evenly distributed over the year. Countries in the northern hemisphere generally have similar agricultural seasons and therefore, in these countries, the highest sales are usually during the first half of the calendar year. During this period, the Company is most exposed to the Euro. In the southern hemisphere, the seasons are generally the opposite and most of the local sales are carried out during the second half of the year. During these months, most of the Company's exposure pertains to the Brazilian Real.

Exposure to interest rate, CPI and NIS exchange rate fluctuations

The debentures issued by the Company are denominated in Israeli Shekel and linked to the Israel Consumer Price Index ("**CPI**"). As such, an increase in the CPI and/or an appreciation of the shekel exchange rate against the dollar might lead to an increase in the Company's financing expenses. In addition, high volatility of the exchange rate of USD/NIS and expectations of material changes in the inflation rate, may increase the costs of hedging transactions on currency exposure, and as a result, may lead to a further increase in the company's financing costs. As of the date of approval of the financial statements, the Company has hedged most of its exposure to these risks on an ongoing basis, through CPI hedging, and dollar-shekel exchange rate hedging transactions. For further details regarding the Company's hedging policy, see Note 3 of the Financial Statements.

In addition, inflation in several global markets has a cross effect on the business results of the Company, since on one hand, it contributes to the Company's ability to increase the sale price of its products, but on the other hand, it may increase the Company's production costs and operating expenses. As of the date of the Report, the Company is unable to isolate the influence of inflation on its sale prices and its costs. The Company estimates that the cumulative cross influence of inflation does not have a material effect on its financial results.

The Company have had dollar-denominated liabilities bearing variable interest rates previously based on LIBOR (which was replaced by SOFR (USD), ESTR (EUR) and SONIA (GBP), as of January 1, 2022), exposing it to interest rate fluctuations. Following the global transition away from LIBOR, the Company monitors its exposure and periodically evaluates hedging strategies. As of the date of approval of the financial statements, the Company has not carried out hedging for such exposure, since the majority of the Company's outstanding long-term loans are with fixed rate.

In addition, the effect of interest changes on the debt that serves the Company's working capital is seasonal, bears a variable interest, and without material effect on the financing expenses. Thus, the net effect of such increase of interest is not material to the Company’s activity.

The Company maintains internal documentation regarding the designation of financial instruments for exposures, reflecting the link between the instruments and the exposure. At least once every quarter, the Company's Financial Statements Review Committee discuss the Company's exposure to market risks and the actions taken by the Company's management in this regard. The Company's management examines the control procedures on an ongoing basis and updates them according to the scope of operations and the risk arising from these operations.

Business operations in emerging markets

The Company conducts business - primarily product sales and raw material procurement - *inter alia*, in emerging markets such as Latin America, particularly in Brazil which is the largest single country market in which the Company operates, Eastern Europe, Southeast Asia and Africa. The Company's activity in emerging markets is exposed to risks typical of those markets, including: political and

regulatory instability; volatile exchange rates; economic and fiscal instability and frequent revisions of economic legislation; relatively high inflation and interest rates; terrorism or war; restrictions on import and trade; differing business cultures; uncertainty as to the ability to enforce contractual and intellectual property rights; foreign currency controls; governmental price controls; restrictions on the withdrawal and free transfer of money from the country; barter deals, potential entry of international competitors and accelerated consolidations led by large competitors in these markets. Developments in these regions may have a significant effect on the Company's operations. Distress to the economies of these markets could impair the ability of the Company's customers to purchase its products or the ability to market them at international market prices, as well as harm the Company's ability to collect customer debts, in a way that could have a significant adverse effect on the Company's operating results.

The Group’s operations in multiple regions allows for the diversification of such risks and for the reduction of its dependency on any particular country. In addition, changes in regulatory requirements or customers' preferences in developed western countries, which may limit the use of raw materials purchased from emerging economies, may require adaptations by of the Company's procurement organization, which might negatively affect its profitability for a certain period.

Industry Risk Factors

Operating in a competitive market

The crop protection industry is highly competitive. Currently, seven multinational companies, including the Company, lead the global industry. Five of these - Bayer, Syngenta, Corteva, BASF and FMC, are RBCs, which develop, manufacture and market both patent-protected as well as off-patent products. The Company competes with the original products with the aim of maintaining and increasing its market share. For details regarding the Company’s competitive advantages see Section 13 of this chapter.

The RBCs possess resources enabling them to compete aggressively, in the short-to-medium term, on price and profit margins, so as to protect their market share. Loss of market share or inability to acquire additional market share from the RBCs can affect the Company's position in the market and adversely affect its financial results.

Similarly, the Company also competes in the more decentralized off-patent segment of the market, against other off-patent companies and smaller-scale RBCs, which have significantly grown in number in recent years and are materially changing the face of the crop protection industry, the majority of whom have not yet deployed global distribution networks and are only active locally. These companies often price their products aggressively and at times have lower profit margins than the Company, which may adversely impact the Company's sales and product prices. The Company's ability to maintain its revenues and profitability from a specific product in the long term is affected by the number of companies producing and selling comparable off-patent products and the timing of

their entrance to the relevant market.

Any delay in developing or obtaining registrations for products and/or delayed penetration into markets and/or growth of competitors that focus on off-patent active ingredients (whether by the expansion of their product portfolio, granting registrations to other manufacturers (including manufacturers in China and India) to operate in additional markets, transforming their distribution network to a global scale or increasing the competition for distribution access), and/or difficulty in purchasing low cost raw materials, may harm the Company's sales, affect its global position and lead to price erosion. For further information about competition in the Company's main area of activity, see Section 13 of this chapter.

Decline in scope of agricultural activities; Climate change and exceptional changes in weather conditions

The scope of general agricultural activities worldwide may be negatively affected by many exogenous factors, some resulting from climate change, including but not limited to extreme weather conditions, natural disasters, a decrease in agricultural commodity prices, government policies and the economic condition of farmers. A material decline in the scope of agricultural activities would by necessary implication cause a decline in the demand for the Company's products, erosion of its prices and collection difficulties, which may have a significant adverse effect on the Company's results. Extreme weather conditions, both chronic and acute, as well as other damages caused by nature may have an impact on the demand for the Company's products, as well as to price thereof. For example, drought may reduce the need for fungicides, which could result in fewer sales and greater unsold inventories in the market, whereas excessive rain could lead to increased plant disease or weed growth requiring growers to purchase and use more crop protection products. Drought and/or increased temperatures may change insect pest pressures, requiring growers to use more, less, or different insecticides. Climate change may increase the frequency or intensity of extreme weather such as storms, floods, heat waves, droughts and other events that could affect the demand for the Company's products. The Company believes that should extreme weather conditions or a number of such bad seasons occur in succession, without favorable seasons in the interim, its results may sustain significant harm.

Environmental, health and safety legislation, standards, regulation and exposure

Many aspects of the Company's operations are strictly regulated, including in relation to production and trading, and particularly in relation to the storage, treatment, manufacturing, transport, usage and disposal of its products, their ingredients and byproducts, some of which are considered hazardous. The Company's activities involve hazardous materials. Defective storage or handling of hazardous materials may cause harm to human life or to the environment in which the Company operates. The regulatory requirements regarding the environment, health and safety could, *inter alia*, include soil and groundwater clean-up requirements; as well as restrictions on the volume of the hazardous materials permitted to be stored in the Company's facilities and type of emissions the

Company is permitted to discharge into the air and water.

The regulatory requirements applicable to the Company vary from product to product and from market to market and tend to become stricter with time. In recent years, both government authorities and environmental protection organizations have been applying increasing pressure, including through investigations and indictments as well as increasingly stricter legislative proposals and class action suits related to companies and products that may potentially pollute the environment. Compliance with these legislative and regulatory requirements and protection against such legal actions requires the Company to commit considerable human and financial resources (both in terms of substantial ongoing costs and in terms of material one-time investments) to meet mandatory environmental standards. In some instances, this may result in delaying the introduction of products into new markets or in adverse effects on the Company's profitability.

In addition, the toughening, material alteration or revocation of environmental licenses or permits, or their stipulations, or the inability to obtain such licenses and permits, may significantly affect the Company's ability to operate its production plants, which in turn may have a material adverse effect on the financial and business results of the Company. The Company may be required to bear significant civil liabilities (including due to class actions) or criminal liabilities (including high penalties and/or high compensation payments and/or costs of environmental monitoring and rehabilitation), resulting from violation of environmental, health and safety regulations, while some of the existing legislation may impose "strict liability" regime on the Company, *i.e.* the Company will be held liable regardless of proof of negligence or malice.

While the Company invests material sums in adapting its facilities and in constructing special facilities in accordance with environmental requirements, it is currently unable to assess with any certainty whether these investments (current and future) and their outcomes may satisfy current or future requirements, should these be significantly increased or changed. In addition, the Company is unable to predict with any certainty the extent of future costs and investments it may incur in order to meet the requirements of the environmental authorities in Israel or in other countries in which it operates since, *inter alia*, the Company is unable to estimate the extent of potential pollutions, their duration, the extent of the measures required to be taken by the Company in handling them, the division of responsibility among other parties and the amounts recoverable from third parties.

Furthermore, the Company may be the target of bodily injury claims and property damage claims caused by exposure to hazardous materials, which are largely covered under the Company's insurance policies.

The Company is evaluating both transition and physical risks related to climate change. Physical chronic and acute risks to ADAMA production assets, activities and products are being evaluated with the PCRAM methodology. In 2025, the evaluation of the physical risks of all production plants continued. All ADAMA Production sites were first assessed to identify relevant risks by geographic

location. The analysis identified major acute risks including heavy precipitation, droughts, high velocity winds, and wildfires. The Company is preparing to implement protective measures for many identified climate risks at its sites. The Company has been assessing the transition risks, including the new Israeli carbon tax, and the upcoming EU border carbon tax. Additional transition risks include the adaptation of novel technologies aimed at reducing carbon emissions. ADAMA Makhteshim and ADAMA Agan are entitled to be reimbursed for most (above 90%) of the Israeli carbon tax over the next five years and have submitted applications for such reimbursement accordingly.

In addition, regarding products that are exported to Europe, the Company may be subject to the EU Carbon Border Adjustment Mechanism (CBAM). As of this date, the Company's products are not subject to the first phase of the CBAM.

Legislative standard and regulatory changes in product registration

Most of the substances and products marketed by the Company require registration at various stages of their development, production, import, utilization and marketing, and are also subject to strict regulatory supervision by the regulatory authorities in each country. Compliance with the regulatory requirements that vary from country to country, and which are becoming more stringent with time, involves significant time and costs, and rigorous compliance with individual registration requirements for each product. Noncompliance with these regulatory requirements might materially adversely affect the Company's expenses, cost structure and profit margins, as well as penetration of its products in the relevant market, and may even lead to suspension of sales of the relevant product, and recall of those products already sold, or to legal action. Moreover, to the extent new regulatory requirements are imposed on existing registered products (requiring additional investment or leading to the existing registration's revocation) and/or the Company is required to compensate another company for its use of the latter's product registration data, these might amount to significant sums, considerably increasing the Company's costs and adversely affecting its results and reputation. In recent years the industry has been suffering from revocation of registration for many products around the world. This trend is particularly evident in European countries as well as in many other countries worldwide.

Nevertheless, the Company believes that, in countries where the Company maintains a competitive edge, any toughening of registration requirements may actually increase this edge, since this will make it difficult for its competitors to penetrate the same market, whereas in countries in which the Company possesses a small market share, if any, such toughening may make further penetration of the Company's products into that market more difficult. See Section 15 of this chapter for further information on product registration.

Product liability

Product and producer liability are a risk for the Company. Regardless of their prospects or actual results, product liability lawsuits might involve considerable costs as well as tarnish the Company's

reputation, thus potentially impacting its profits. The Company has a third-party and defective product liability insurance cover of up to USD 300 million in aggregate annual damages. However, there is no certainty that the scope of insurance cover is sufficient. Any future product liability lawsuit or series of lawsuits could materially affect the Company's operations and results, should the Company lose the lawsuit, or should its insurance cover not suffice or apply in a particular instance. In addition, while the Company has not currently encountered any difficulty renewing such insurance policy, it is possible that it will encounter future difficulties in renewing an insurance policy for third party liability and defective products on terms acceptable to the Company.

Successful market penetration and product diversification

The Company's growth and profit margins are affected, *inter alia*, by the extent of its success in developing differentiated products and obtaining registrations for them, so as to enable it to gain market share prior to its competitors. Generally, being the first to launch a certain product based on off-patent active ingredients affords the Company continuing advantage, even after other competitors penetrate the same market. As such, the Company's revenues and profit margins from a certain new product could be materially affected by its ability to launch such product ahead of the launch of a comparable product by its competitors.

Should new products fail to meet registration requirements in the different countries or should it take a long period of time to obtain such registrations, the Company's ability to successfully introduce a new product to the relevant market in the future may be affected, since entry into the market prior to other competitors is important for successful market penetration. Furthermore, successful market penetration involves, *inter alia*, product diversification in order to suit each market's changing needs. Therefore, if the Company fails to adapt its product mix by developing new products and obtaining the required regulatory approvals, its future ability to penetrate that market and to maintain its existing market share could be affected. Failure to introduce new products to given markets and meet Company objectives (given the considerable time and resources invested in their development and registration) might affect the sales in the given market segment, the Company's results and margins.

Intellectual property rights of the Company and of third parties

The Company's ability to develop off-patent products is dependent, *inter alia*, on its ability to oppose patents or patent applications of RBCs or other third parties, or to develop products that do not otherwise infringe intellectual property rights (in a manner that may involve significant legal and other costs). RBCs tend to vigorously defend their products and may attempt to delay the launch of competing off-patent products by registering patents on slightly different versions of products for which the original patent protection is about to expire or has expired, with the aim of competing against the off-patent versions of the original product. The RBCs may also change the branding and marketing of their products. Such actions may increase the Company's costs and the risk it entails,

and harm or even prevent its ability to launch new products.

The Company is also exposed to legal claims that its products or production processes infringe on third-party intellectual property rights. Such claims may involve time, costs, substantial damages and management resources, impair the value of the Company's brands and its sales and adversely affect its results. Such lawsuits that were concluded involved non-material amounts.

Furthermore, although the Company protects its brands and trade secrets with patents, trademarks and other methods of intellectual property protection, these protective means may not be sufficient for fully safeguarding its intellectual property. Any unlawful or other unauthorized use of the Company's intellectual property rights could adversely affect the value of its intellectual property and reputation. In addition, the Company may be required to take legal action involving financial costs and resources to safeguard its intellectual property rights.

Fluctuations in raw material inputs and prices, and cost of sales

Significant percentage of the Company’s cost of sales derives from raw material costs. Hence, significant increases or decreases in raw material costs affect the cost of goods sold, and are, due to the length of the Company’s inventory cycle, generally reflected in the Company’s financials a number of months following such cost fluctuation. Most of the Company's raw materials are distant derivatives of oil prices and therefore, extreme changes in oil prices may affect the costs of raw materials, although only partially. [51]

To reduce exposure to fluctuations in the prices of raw materials, the Company customarily engages in long-term purchase contracts for key raw materials, wherever possible. Similarly, the Company acts to adjust its sales prices, wherever possible, to reflect the changes in the costs of raw materials.

As of the date of approval of the financial statements, the Company has not engaged in any hedging transactions against increases in oil and other raw material costs.

Exposure due to developing crop protection technologies

Any significant development in the market of genetically modified seeds for agricultural crops, including as a result of regulatory changes in certain countries currently prohibiting the use of genetically modified seeds, and/or any significant increase in the sales of genetically modified seeds and/or to the extent new crop protection products are developed for further crops that would be widely used (substituting for traditional products), will affect demand for crop protection products, requiring the Company to respond by adapting its product portfolio to the new demand structure. Consequently, to the extent that the Company fails to adapt its product mix accordingly, this may reduce demand for its products, erode their sales price and by implication affect the Company’s results and market share.

Nevertheless, the fact that the Company itself markets some of the products for which herbicide

[51] See footnote 35.

tolerance traits have been developed, acts to mitigate this exposure (albeit only in terms of marketing margins).

In addition, natural and/or biological substances that attack weeds, pests and diseases are potential alternatives for the Company's products, though as of the date of the Report, their efficiency is relatively limited, and they are commercialized in relatively small volumes.

While the market for biological crop protection solutions is growing faster than the overall crop protection market, it still represents a relatively small share of total crop protection spending and is not expected in the medium term to replace conventional products on a broad scale.

In addition, AI-enabled tools are increasingly being adopted across the crop protection value chain, supporting product development as well as related commercial and operational processes. While these technologies have the potential over time to influence how new crop protection solutions are designed, brought to market and managed, it is still too early to assess their overall impact.

Operational risks

The Company's operations, including its manufacturing activities, rely, *inter alia*, on state-of-the-art computer systems. The Company continually invests in upgrading and protecting these systems from malfunctions and attacks. Any unexpected failure of these systems, as well as the integration of new systems, could involve substantial costs and adversely affect the Company's operations until completion of the repair or integration. The potential occurrence of a substantial failure that cannot be repaired within a reasonable time frame may also affect the Company's operations and its results. Currently, the Company has a property and loss-of-profit insurance policy in the scope of approximately USD 2 billion in aggregate annual damages.

As detailed in Section 22 above, the Company's production capacity is affected, among others, by its facilities' output and individual area and time allocation at full capacity. The Company's Multi-purpose facilities provide manufacturing flexibility and enable the Company to prepare for the manufacturing of new products. Although the Company believes that its existing sites have sufficient facilities and land areas to expand its production capacity, if necessary, in the case of immediate or short-term increases in demand for new products supply may be delayed due to lack of capacity to meet demand for such new products.

Data protection and cyber security

During its activity, the Group may be exposed to risks and threats, related to the stability of its information technologies systems, data protection and cyber security, which could appear in many different forms (such as service denial, misleading employees, malfunction, encryption or data erasing and other cyber-attacks via E-mail or malicious software). An attack on such computerized systems, mainly network based systems, may cause the Group material damages and expenses and even partial suspension and disruption of their proper functioning. In order to minimize the

abovementioned risks, the Group invests resources in its technological resilience and in proper protection of its systems. The Company maintains cyber security insurance policy, which is subject to certain loss limits, deductions and exclusions. Therefore, the Company can provide no assurance that all losses related to a cyber security incident will be covered under its policy.

Unique Risk Factors

Raw material supply and/or shipping, port service disruptions and inventory

Lack of raw materials or other inputs utilized in the manufacture of the Company's products may prevent the Company from supplying its products or significantly increase production costs. Moreover, the Company imports raw materials to its production facilities in Israel and/or abroad, from where it then exports the technical or formulated products to its subsidiaries around the world for formulation and/or commercialization purposes. Disruptions in the supply of raw materials from regular suppliers may adversely affect operations until an alternative supplier is engaged. If any of the Company's suppliers are unable to supply raw materials for a prolonged period, including due to ongoing disruptions and/or prolonged strikes and/or infrastructure defects in the operating of a relevant port, and if the Company is unable to engage with an alternative supplier at similar terms and in accordance with the relevant product registration requirements, this may adversely affect the Company's results, significantly affect its ability to obtain raw materials in general, or obtain them at reasonable prices, as well as limit its ability to supply the products and/or meet customer supply deadlines. These might negatively affect the Company, its finances and operating results. In order to reduce this risk, it is the Company's practice to occasionally adjust the volume of its product inventories, or in certain scenarios, to increase the levels of inventory held by the Company to overcome possible supply shortages, logistic challenges and increases in cost of inventory, as mentioned above, in order to support expected future sales. Additionally, in the case of fluctuations in the market prices for inventory held by the Company, this may affect its finances and operating results. In addition, war, regional conflicts, acts of terror and/or governmental instability around the world may negatively impact the Company's operations. This may result, among others, in the suspension of operations or the shutdown of affected facilities, hence causing production and distribution delays, loss of property, injury to employees, and increased insurance premiums.

Failed mergers and acquisitions; difficulties in integrating acquired operations

The Company's strategy may include selective mergers, acquisitions, investments and collaborations to enhance and strengthen its presence in certain markets.

When pursuing such opportunities, effective integration with market conditions, profitability forecasts and competition are key considerations.

Challenges in implementation or deviations from forecasts may impact the expected value, customer retention, liability exposure and the valuation of intangible assets related to a merger or acquisition, as well as affect the retention of skilled personnel resources.

Production concentration in limited plants

A large portion of the Company's production operations is concentrated in a relatively small number of locations. Natural disasters, hostilities, labor disputes, substantial operational malfunction or any other material damage might significantly affect Company operations, as a result of the difficulty, the time and investment required for relocating the production operation or any other activity.

International taxation

Approximately 97% of the Company's sales are in markets outside Israel, through several subsidiaries worldwide. These individual companies are assessed in accordance with the tax laws effective in each respective location. The Group's effective tax rate could be affected by a significantly different classification or attribution of the proceeds arising from the proportional value of the components of each of the companies in the Group in the various countries, as is recognized in each tax jurisdiction; changes in the characteristics (including regarding the location of control and management) of these companies; changes in the breakdown of the Company's profits into regions where differing tax rates apply; changes in statutory tax rates and other legislative changes; changes in assessment of the Company's deferred tax assets or deferred tax liabilities; changes in determining the areas in which the Company is taxed; and potential changes in the Company's organizational structure.

Changes in tax regulations and the manner of their implementation, including with regard to the implementation of BEPS (specifically Pillar 2, as defined above), may lead to a substantial increase in the Company's applicable tax rates and have a material adverse effect on its financial position, results and cash flows.

For further information and for listing of the tax laws applicable to the Company, see Section 26 of this chapter.

Risks arising from the Company's debt

The Company finances its business operations by means of its own equity and loans from external sources (primarily traded debentures, bank credit and credit from related parties). The Company's main source for servicing the debt and its operating expenses is by means of the profits from the Group companies' operations. Restrictions applying to the Group companies regarding distribution of dividends to the Company, or the tax rate applicable on these dividends, may affect the Company's ability to finance its operations and service its debt.

In addition, the Company's Finance Documents, as contained in the bank credit agreements, require meeting certain Financial Covenants, as detailed in Note 20 of the Financial Statements. Failure to meet these covenants due to an exogenous event or non-materialization of Company forecasts, and insofar as the financing parties refuse to extend or update these Financial Covenants as per the Company's capabilities, may lead the financing parties to demand immediate payment of these liabilities (or part thereof).

Exposure to customer credit risks

The Company's sales to customers worldwide usually involve customer credit as is customary in each market. A portion of these credit lines is insured, while the remainder is exposed to risk, particularly during economic slowdowns in the relevant markets. The Group's aggregate credit, however, is diversified among many customers in dozens of countries, mitigating this risk. In addition, in certain regions, particularly in South America, credit days are particularly long (compared to those extended to customers in regions such as Europe), and on occasion, *inter alia*, owing to agricultural seasons or economic downturns in those countries, the Company may encounter difficulty in timely collection of customer debts, with the collection period being extended over several years.

Generally, such issues arise more often in developing countries where the Company may be less familiar with its customers, the collaterals are of doubtful value and the insurance cover of these customers is likely to be limited. For additional information, see the explanations of the Board of Directors Report and the Company Financial Statements. Credit default by any of the customers may negatively impact the Company's cash flow and financial results.

The Company's working capital and cash flow needs

Similar to other companies operating in the crop protection industry, the Company has substantial cash flow and working capital requirements in the ordinary course of operations. In view of the Company's growth and considering its primary growth regions, the Company's broad product portfolio and the Company's investments in manufacturing infrastructures, the Company has significant financing and investment needs. The Company acts continually to improve the state and management of its working capital. While currently the Company is in compliance with all its Financial Covenants, significant deterioration of its operating results may in the future lead the Company to fail to comply with its Financial Covenants and fail to meet its financial needs. As a result, the Company's ability to meet its goals and growth plans, as well as its ability to meet its financial obligations, may be harmed.

Risks of the business integration and operations in China

The Company believes that it may be exposed to several unique risks relating to the business combination and operations in China, the primary of these being:

- **The Chinese economic, political and social environment and governmental policies** - the business environment in China is impacted by government intervention, growth rates, foreign currency controls and the manner of resource allocation which may have an impact on the Company`s business. The Chinese government adopts various measures for the encouragement of economic growth and the allocation of resources, some of which may in the future adversely affect the results of the Company's operations in China.
- **Legislation, standards and regulations changes in China** - Companies in China are subject to extensive regulation, including with regard to registration, production, distribution, pricing,

taxation, import and export, environmental matters, health and safety. Historically, the chemical industry in China has been subject to preferential government treatment, however it is not certain that this policy will persist unchanged, or that the legal and economic environment (including with regard to required registrations and permits) that affects the Company's operations in China and the industry, will persist.

- **Foreign currency controls** - the Company may be required, for the purposes of its operations, to convert income received from its operations in China from RMB to other currencies. According to the law in China, certain foreign currency transactions, including payment of foreign currency denominated liabilities, are subject to the requirements of the State Administration for Foreign Exchange.

Contagious disease outbreak

Outbreak of a contagious disease and pandemics, or other adverse public health developments, in territories where significant production activity is taking place or from which raw materials are supplied to a significant extent, may have a material adverse effect on the Company's activity, such that the Company may encounter difficulties with procurement of raw materials and intermediates, experience a certain decrease of activity within its production facilities due to governmental instructions, and be constrained with respect to its logistics and supply lines. In addition, the Company sales could be potentially impacted by a temporary decrease in demand for its products, as well as by temporary disruption of the Company's ability to sell and distribute products as mentioned above.

The Company's assessment of risk factors and the degree of their influence (should they be realized) on the Company's operations:

Risk Factor	Extent of impact on Company overall operations
Macroeconomic risks	
Exchange rate fluctuations	High
Exposure to Interest rate, CPI and NIS exchange rate fluctuations	Medium
Business operations in emerging markets	Medium
Industry risks	
Operating in a competitive market	Medium
Decline in scope of agricultural activities; Climate change and exceptional changes in weather conditions	Medium
Environment, health and safety legislation, standards, regulation and exposure	High
Legislative standards and regulatory changes in product registration	Medium
Product liability	High
Successful market penetration and product diversification	Medium
Intellectual property rights of the Company and of third parties	Low
Fluctuations in raw material inputs and prices, and in sales' costs	High
Developments in the genetically modified seeds market	Medium
Operational risks	Medium
Data protection and Cyber security	Medium
Unique risks	
Raw material supply and/or shipping, port service disruptions and inventory	Medium
Failed mergers and acquisitions; difficulties in integrating acquired operations	Medium
Production concentrated in limited plants	Medium
International taxation	Medium
Risks arising from the Company's debt	High
Exposure to customer credit risks	Medium
The Company's working capital and cash flow needs	High
Risks of the business integration and operations in China	Medium
Contagious disease outbreak	Medium

Chapter B

Board of Directors' Report



ADAMA Agricultural Solutions Ltd.

Board of Directors' Report for the Quarter and the Year Ended December 31, 2025

Performance in Context of General Crop Protection (CP) Market Environment[1]

Through 2025, channel inventory returned to pre-pandemic levels in most countries, following crop protection demand recovery. Pricing pressures remain high, driven by production over-capacity of active ingredients (AI). Crop commodity prices remain stably low, while farmer profitability remains tight leading to just-in-time purchasing patterns.

Geopolitical Situation

ADAMA is headquartered and has three manufacturing sites in Israel. Regional tensions escalated on October 7, 2023, and more recently widened on February 28, 2026. The Company's Israeli production sites and supply chain, including ports, continue to operate without significant delays. As of this publication date, the events have not had nor are expected to have material impact on the Company's ability to support its markets, its ongoing activities, or its consolidated financial results.

ADAMA is a global company with manufacturing and formulation facilities in several locations around the world, principally in Israel, China and Brazil. The Company's management appointed a dedicated task force to analyze implications of global tariff policies on ADAMA and its sector, and to closely monitor and manage the situation and the potential impact on ADAMA's global network. Despite the uncertainty regarding changes to trade and tariff policies around the world, the Company currently expects that the impact on its operations and business results will continue to be immaterial.

ADAMA's Strategy Execution

In early 2024, ADAMA launched its Fight Forward transformation plan to strengthen the Company's foundations and improve profit and cash performance. The plan sharpened ADAMA's focus on priority countries and products, enhanced cost competitiveness, and established a more agile and streamlined operating model. These actions contributed to meaningful improvements in the Company's financial metrics and operational discipline.

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The Company's assessments with regard to changes in demand for crop protection products, the impact of the geopolitical situation on the Company's ability to support its markets or on the Company's business results, potential impacts of tariff policies on the Company's operations, and the Company's Strategy Execution are forward looking statements, as defined in the Securities Law, 1968. Such assessments are based on the information available to the Company as of the date hereof and may not be realized or be realized in a different manner than the Company estimates, inter alia, due to factors that are not in the Company's control.

[1] Sources: AgbioInvestor Quarterly Briefing Service Q4 2025 (December 2025), peer quarterly financial results, internal sources

Results of Operations - Income Statement

Income Statement for the Quarter

In USD Million

	Q4 2025 As Reported	Q4 2024 As Reported	% Change *2025 vs. 2024* As Reported	Q4 2023 As Reported	Q4 2025 Adjustments	Q4 2024 Adjustments	Q4 2023 Adjustments	Q4 2025 Adjusted	Q4 2024 Adjusted	% Change in USD *2025 vs. 2024* Adjusted	% Change CER[2] *2025 vs. 2024* Adjusted	Q4 2023 Adjusted
Revenues	**962**	**1,018**	**-5%**	**1,043**	**-**	**-**	**-**	**962**	**1,018**	**-5%**	**-8%**	**1,043**
Gross profit	272	265	3%	227	26	2	2	298	267	11%	3%	228
% of revenue	*28.3%*	*26.0%*		*21.8%*				*31.0%*	*26.3%*			*21.9%*
Operating expenses	233	275	-15%	**216**	-31	-85	-13	202	190	6%	10%	204
Operating income (loss) (EBIT)	39	-10		**11**	57	87	14	95	77	24%	4%	25
% of revenue	*4.0%*	*-1.0%*		*1.0%*				*9.9%*	*7.6%*			*2.4%*
Finance expenses, net	53	62	-14%	82	0	3	-	53	65	-18%		82
Profit (loss) before taxes	-14	-72		-71	57	84	14	43	12			-57
Net income (loss)	**-64**	**-128**		-96	**70**	**71**	**12**	**6**	**-58**			**-84**
% of revenue	*-6.7%*	*-12.6%*		*-9.2%*				*0.6%*	*-5.7%*			*-8.0%*
EBITDA	**132**	**106**	**24%**	**75**	**14**	**18**	**5**	**146**	**124**	**17%**	**5%**	**80**
% of revenue	*13.7%*	*10.4%*		*7.2%*				*15.1%*	*12.2%*			*7.7 %*

[2] CER - Constant Exchange Rates

Income Statement for the Year

In USD Million

	2025 As Reported	2024 As Reported	% Change 2025 vs. 2024 As Reported	2023 As Reported	2025 Adjustments	2024 Adjustments	2023 Adjustments	2025 Adjusted	2024 Adjusted	% Change in USD 2025 vs. 2024 Adjusted	% Change CER[3] 2025 vs. 2024 Adjusted	2023 Adjusted
Revenues	**3,660**	**3,736**	**-2%**	**4,192**	**-**	**-**	**-**	**3,660**	**3,736**	**-2%**	**-2%**	**4,192**
Gross profit	1,051	953	10%	966	34	24	2	1,085	977	11%	11%	968
% of revenue	*28.7%*	*25.5%*		*23.0%*				*29.7%*	*26.2%*			*23.1%*
Operating expenses	887	973	-9%	870	-90	-192	-30	797	781	2%	3%	839
Operating income (loss) (EBIT)	165	-20		97	124	216	33	288	196	47%	48%	129
% of revenue	*4.5%*	*-0.5%*		*2.3%*				*7.9%*	*5.3%*			*3.1%*
Finance expenses, net	259	288	-10%	329	-9	-9	-	249	279	-11%		329
Profit (loss) before taxes	-93	-307	-70%	-231	133	225	33	41	-82			-198
Net income (loss)	**-140**	**-407**	-65%	**-242**	**145**	**207**	**30**	**5**	**-200**			**-212**
% of revenue	*-3.8%*	*-10.9%*		*-5.8%*				*0.1%*	*-5.3%*			*-5.1%*
EBITDA	**431**	**293**	**47%**	**335**	**55**	**95**	**-**	**486**	**388**	**25%**	**26%**	**335**
% of revenue	*11.8%*	*7.8%*		*8.0%*				*13.3%*	*10.4%*			*8.0%*

Relevant income statement items contained in this report are also presented on an "adjusted" basis, which exclude items that are of a transitory or non-cash/non-operational nature that do not impact the ongoing performance of the business, and reflect the way the Company's management and the Board of Directors view the performance of the Company internally. The Company believes that excluding the effects of these items from its operating results allows management and bondholders to effectively compare the true underlying financial performance of its business from period to period and against its global peers. A detailed summary of these adjustments appears in Appendix A below.

Analysis of the Company's Results

Revenues

Revenues in the fourth quarter declined by approximately 5% (-8% in CER) to $962 million, reflecting a decrease of 6% in volumes and a decrease of 2% in prices, partially offset by positive foreign exchange impacts. In the fourth quarter, lower volumes were recorded, mainly reflecting the Company's strategic decisions to pivot away from selling some basic chemical products as well as phasing and the channel's just-in-time purchasing patterns. Prices remained weak in most regions mainly due to low prices of active ingredients in light of overcapacity, as well as low commodity prices, which put pressure on farmers.

These results brought the revenues in the full year of 2025 to $3,660 million, a decline of approximately 2% (-2% in CER), reflecting a decrease of 2% in prices attributable to the reasons stated above. Volumes in the full year were stable, as demand recovery due to inventory improvement in several regions was offset by the impacts of extreme weather conditions in some key countries, the Company's strategic decisions to optimize its portfolio and geographical presence and reduce selling some basic chemical products, and significant declines in Turkey in Q1 2025.

Revenue distribution by region

Fourth quarter sales distribution:

Region	Q4 2025 In Million USD	Q4 2024 In Million USD	% Change in USD	% Change in CER[3]
Europe, Africa & Middle East (EAME)[3]	229	255	-10.3%	-15.9%
of which, Israel	*28*	*25*	*10.5%*	*-2.8%*
North America	282	277	2.0%	2.0%
Latin America	331	348	-4.9%	-8.8%
Asia-Pacific[3]	120	137	-12.8%	-11.5%
Total	**962**	**1,018**	**-5%**	**-8.0%**

Full year sales distribution:

Region	2025 In Million USD	2024 In Million USD	% Change in USD	% Change in CER[3]
Europe, Africa & Middle East (EAME)[3]	1,122	1,154	-2.8%	-5.3%
of which, Israel	*116*	*113*	*2.9%*	*-3.7%*
North America	934	841	10.9%	11.4%
Latin America	1,006	1,036	-2.8%	-2.0%
Asia-Pacific[3]	598	705	-15.2%	-13.2%
Total	**3,660**	**3,736**	**-2%**	**-2.1%**

In these tables above, numbers may not sum due to rounding.

[3] As part of ADAMA's business optimization program, on January 1, 2025, South Africa was reclassified from the APAC region to EAME. To enable meaningful comparisons, the 2024 data presented here includes South Africa under EAME.

Noteworthy trends and developments in the various geographies affecting the Company's activities

Europe, Africa & Middle East (EAME)

Volumes decreased in the fourth quarter compared to Q4 2024 mainly due to the impacts of phasing and just-in-time purchasing by customers in Europe, though prices stabilized. For the full year, significant Q1 2025 declines in Turkey impacted results. Excluding Turkey, volumes increased. Intense competition and farmer pressures continued. Foreign exchange rates had positive impact.

North America

In the **North America Ag** market, volumes were up on the year with new product launch well received by the market. Prices were slightly higher both for Q4 and the full year, while Q4 volumes were stable as demand adjusted to just-in-time purchasing. **Consumer & Professional Solutions** experienced flat prices and increased volumes following improved market penetration for both the fourth quarter and full year.

Latin America

Brazil experienced lower volumes and prices in Q4 compared to Q4 2024 due to phasing and climate effects. However, revenues were up for the full year on the back of higher volumes in light of demand improvement, and supported by new product introductions, though partially offset by lower prices. In the **rest of LATAM** lower volumes and prices were reported for the year, particularly in Argentina and Mexico. Market decline was mainly driven by channel partners focused on working capital and inventory discipline in light of high interest rates. However, fourth quarter volumes improved compared to Q4 2024 as the channel adapted to just-in-time purchasing.

Asia Pacific

India experienced significant declines throughout the year primarily due to lower volumes driven by extreme weather conditions. Similarly, the **rest of APAC** experienced lower sales and volumes on the year, mainly attributable to unfavorable weather conditions in parts of Australia.

During the year, the Company continued to advance the development of its differentiated product portfolio, obtaining multiple new product registrations and launching several new products.

Gross profit

Reported gross profit in the fourth quarter increased by 3%, despite a decline in sales, and reached $272 million (gross margin of 28.3%) compared to $265 million (gross margin of 26.0%) in the same quarter last year, and reached $1,051 million (gross margin of 28.7%) in the full-year period, compared to $953 million (gross margin of 25.5%) last year.

Despite a decline in sales, adjusted gross profit in the fourth quarter increased by 11% and reached $298 million (gross margin of 31.0%) compared to $267 million (gross margin of 26.3%) in the same quarter last year, and reached $1,085 million (gross margin of 29.7%) in the full-year period, compared to $977 million (gross margin of 26.2%) last year.

The Company improved the gross profit and its margin in both the fourth quarter and the full year, mainly reflecting the positive impacts of lower costs due to improved operational efficiency and lower costs of inventory sold, more than compensating for lower volumes and prices. It also benefited from positive foreign exchange rates in the fourth quarter.

Gross profit distribution by region

Fourth quarter gross profit regional distribution*:

Region	Q4 2025 In Million USD *and % of revenue*	Q4 2024 In Million USD *and % of revenue*	% Change in USD
Europe, Africa & Middle East (EAME)	99 *43.0%*	91 *35.5%*	8.8%
of which, Israel	8 *29.4%*	7 *27.8%*	17.0%
North America	107 *37.8%*	107 *38.6%*	-0.1%
Latin America	95 *28.7%*	79 *22.8%*	19.9%
Asia-Pacific	40 *33.6%*	47 *34.0%*	-13.7%
Unallocated costs	-43	-56	
Total (Adjusted)	298	267	
Adjustments for unallocated costs	-26	-2	
Total (Reported)	**272**	**265**	**2.7%**

Full-Year gross profit regional distribution*:

Region	2025 In Million USD *and % of revenue*	2024 In Million USD *and % of revenue*	% Change in USD
Europe, Africa & Middle East (EAME)	458 *40.8%*	439 *38.0%*	4.4%
of which, Israel	36 *31.2%*	34 *30.0%*	6.9%
North America	348 *37.3%*	309 *36.7%*	12.7%
Latin America	283 *28.2%*	254 *24.5%*	11.5%
Asia-Pacific[3]	178 *29.8%*	199 *28.2%*	-10.5%
Unallocated costs	-182	-224	
Total (Adjusted)	1,085	977	
Adjustments for unallocated costs	-34	-24	
Total (Reported)	**1,051**	**953**	**10.3%**

In these tables above, numbers may not sum due to rounding.

The increase in gross profit in Q4 2025 compared to Q4 2024 was primarily driven by lower cost of goods sold (COGS) across nearly all regions, complemented by favorable exchange rate effects in EAME and Latin America. However, pricing pressure on crop protection products persisted across most regions during the quarter.

For the full year 2025, the improvement in gross profit and gross margin was similarly driven by lower COGS, partially offset by softer pricing conditions in most regions.

For further information, see the Gross Profit section above.

Unallocated costs include various costs that cannot be attributed to a specific regional geography and relate to the Company's overall business. These include, among others, costs such as idleness, which reflect unutilized manufacturing capacity and other items related to the Company's manufacturing operations which cannot be allocated to a specific product.

** The information provided in the tables hereinabove includes **managerial information** related to the Company's geographical regions' gross profit, reflecting the Company's management viewpoint, which has not and will not be reviewed or audited by the Company's auditors.*

Operating expenses

Total reported operating expenses in the fourth quarter were $233 million (24.2% of sales) and $887 million (24.2% of sales) in the full-year period, compared to $275 million (27.0% of sales) and $973 million (26.0% of sales) in the corresponding periods last year, respectively.

Adjustments to reported results: The Company recorded certain non-operational items within its reported operating expenses, amounting to $31 million in the fourth quarter in comparison to $85 million in the fourth quarter of 2024, and $90 million in the full-year period in comparison to $192 million in 2024. These include mainly i. non-cash amortization charges in respect of transfer assets received from Syngenta related to the 2017 ChemChina-Syngenta acquisition; ii. non-cash amortization net charges related to intangible assets created as part of the Purchase Price Allocation (PPA) on acquisitions, with no impact on the ongoing performance of the companies acquired; iii. restructuring and advisory costs incurred as part of the implementation of the Fight Forward transformation plan; iv. Fixed asset impairments related to improvement of operational efficiency, as part of the Fight Forward plan; and v. compensation related to product liability. For further details on these non-operational items, please see Appendix A to this report.

Excluding the impact of the abovementioned non-operational charges, adjusted operating expenses in the fourth quarter were $202 million (21.0% of sales), and $797 million (21.8% of sales) in the full-year period, compared to $190 million (18.7% of sales), and $781 million (20.9% of sales) in the corresponding periods last year, respectively.

The adjusted operating expenses were higher in the fourth quarter and the full year, reflecting an increase in Company performance-based employee compensation, and the negative impact of exchange rates. In the full year, the increase is also attributed to credit losses provisions due to liquidity issues of some local distributors in LATAM, but compensated by positive impacts of the Fight Forward plan.

Financing expenses

Total reported net financial expenses were $53 million in the fourth quarter, and $259 million in the full-year period, compared to $62 million and $288 million in the corresponding periods last year, respectively.

Total adjusted net financial expenses were $53 million in the fourth quarter, and $249 million in the full-year period, compared to $65 million and $279 million in the corresponding periods last year, respectively.

The lower adjusted financial expenses in both the fourth quarter and the full year were primarily positively impacted by a bond buyback that was executed in late Q2 2025 and the lower hedging costs related to the Israeli Shekel and lower exposure to the Turkish Lira. The net impact of the Israeli CPI on the ILS-denominated, CPI-linked bonds, amounted to an

income of $1.4 million in the fourth quarter, and expenses of $23.4 million in 2025 (net of hedging)[4].

Taxation

The Company reported net tax expenses of $50 million in the fourth quarter, and $48 million in the full-year period, compared to net tax expenses of $56 million and $100 million in the corresponding periods last year, respectively.

The adjusted net tax expenses were $37 million in the fourth quarter, and $36 million in the full-year period, compared to net tax expenses of $70 million and $118 million in the corresponding periods last year, respectively.

The Company recorded tax expenses mainly due to losses incurred by subsidiaries for which no deferred tax asset was created. On the other hand, the subsidiaries that generated profit have a higher tax rate.

The tax expenses in the full year of 2025 are lower compared to the full year of 2024 due mainly to (1) lower losses (improved profit allocation) in subsidiaries that did not create deferred tax assets; (2) tax income raised by the accounting method of calculation of tax assets related to unrealized profits; and (3) foreign exchange impact of the stronger BRL in 2025 compared with tax expenses due to the weakness of the BRL in the full year of 2024.

Revenue distribution by operating segment

Fourth quarter

Operating Segment	Q4 2025 in Million USD	%	Q4 2024 in Million USD	%	Change in Million USD	Change %
Crop protection	919	95.6%	973	95.6%	-54	-5.5%
Intermediates and Ingredients	43	4.4%	44	4.4%	-2	-3.9%
Total	**962**	**100%**	**1,018**	**100%**	**-56**	**-5%**

Full year

Operating Segment	2025 in Million USD	%	2024 in Million USD	%	Change in Million USD	Change %
Crop protection	3,492	95.4%	3,559	95.3%	-67	-1.9%
Intermediates and Ingredients	168	4.6%	177	4.7%	-9	-5.1%
Total	**3,660**	**100%**	**3,736**	**100%**	**-76**	**-2%**

In these tables above, numbers may not sum due to rounding.

[4] For details, see Section 25 “Financing and Credit” of Chapter A to the 2025 Periodic Report. For information concerning CPI and foreign currency exposure, see Note 30 to the Company’s financial statements included in the 2025 Periodic Report.

Income Statement distribution by Quarters

In USD Million

	Q4 2025 As Reported	Q3 2025 As Reported	Q2 2025 As Reported	Q1 2025 As Reported	Q4 2025 Adjusted	Q3 2025 Adjusted	Q2 2025 Adjusted	Q1 2025 Adjusted
Revenues	**962**	**853**	**968**	**877**	**962**	**853**	**968**	**877**
Gross profit	272	242	274	264	298	242	281	265
% of revenue	*28.3%*	*28.3%*	*28.3%*	*30.1%*	*31.0%*	*28.3%*	*29.0%*	*30.2%*
Operating expenses	233	214	233	207	202	194	213	188
Operating income (loss) (EBIT)	39	28	41	57	95	48	68	77
% of revenue	*4.0%*	*3.2%*	*4.3%*	*6.5%*	*9.9%*	*5.6%*	*7.0%*	*8.8%*
Finance expenses, net	53	64	90	52	53	64	80	52
Profit (loss) before taxes	-14	-36	-48	5	43	-16	-12	26
Net loss	**-64**	**-42**	**-43**	9	**6**	**-22**	**-8**	29
% of revenue	*-6.7%*	*-4.9%*	*-4.5%*	*1.0%*	*0.6%*	*-2.6%*	*-0.8%*	*3.3%*
EBITDA	**132**	**86**	**99**	**115**	**146**	**96**	**118**	**127**
% of revenue	*13.7%*	*10.0%*	*10.3%*	*13.1%*	*15.1%*	*11.3%*	*12.2%*	*14.5%*

In general, the Company's gross profitability in the first half of the year is higher than the Company's gross profitability in the second half of the year. The main reason for this is the Company's geographic sales' mix, which differs substantially between the medians. As detailed in Note 1A(2) of the Company's financial statements and in Section 14 of Chapter A of this Report, countries in the Northern Hemisphere are characterized by similar generally timing of agricultural seasons, with these countries usually having their highest sales in the first half of the calendar year, whereas the agricultural season is the opposite in the Southern Hemisphere (except to some extent in Australia), where most sales occur in the second half of the year.

On the other hand, in the Southern Hemisphere, the seasonal trends are the opposite, and most of the local sales, with relatively low profitability, occur in the second half of the year. Seasonality has no significant effect on the Company's operating expenses and financing expenses.

Financial Condition and Liquidity

Trade working capital

Trade working capital on December 31, 2025, was $1,747 million, compared to $1,877 million at the same point last year. The decrease in working capital was due to both lower receivables, which reflected intensive collections, and higher payables as a result of improved payable terms and increase in procurement. Inventory levels increased to $1,569 million by end of 2025, compared to $1,458 million by end of 2024, as the Company procured more in preparation to capture momentum as the market recovers and to secure business continuity during merging of entities in Israel as part of the Fight Forward plan.

Cash flow and investment in fixed assets

Operating cash flow of $193 million was generated in the quarter, and $350 million generated in the full-year period, compared to $59 million generated in the corresponding quarter last year and $313 million generated in the last year. The higher operating cash flow generated in both the fourth quarter and the full year was mainly due to improvement in collections, which offset higher outflow reflecting increased procurement payments.

Net cash used in investing activities was $36 million in the quarter, and $119 million in the full-year period, compared to $40 million and $156 million used in the corresponding periods last year, respectively. In the full year, the Company strengthened execution of its strategic decision to prioritize the most critical investments in infrastructure while optimizing existing assets to enable new growth projects. The decline in cash used in investing activities was offset by proceeds received in Q3 2024 by the Company from the sale of a real estate asset.

Investments in fixed assets, net of investment grants, amounted to $24 million in the fourth quarter, and $85 million in the full-year period, compared to $23 million and $120 million in the corresponding periods last year, respectively.

Free cash flow of $157 million was generated in the fourth quarter and $231 million was generated in the full-year period, compared to $19 million generated in the corresponding quarter last year and $157 million generated in 2024, reflecting the aforementioned operating and investing cash flow dynamics.

Current assets

Total current assets as of December 31, 2025, amounted to $3,408 million compared to $3,427 million as of December 31, 2024.

Cash, current liabilities and long-term loans

The Company's total financial liabilities include credit from banks and others, as well as the series B debentures (in this report: "**Financial Liabilities**"), were $2,118 million as of December 31, 2025 (of which 62.5% was short-term), compared to $2,218 million as of December 31, 2024 (of which 35.8% was short-term).

	December 31, 2025 in Million USD	December 31, 2024 in Million USD	Effective Interest Rate as of December 31, 2025
Short-term loans and credit from banks and commercial papers	325	226	5.08%
Short-term loans from related parties[5]	490	380	4.95%
Long-term loans from banks (including current maturities)	202	329	3.04%
Long-term loans from related parties[7] (including current maturities)	336	324	2.40%
Debentures (ILS denominated) (including current maturities)	766	959	5.15%+CPI [6]
Total	**2,118**	**2,218**	

In these tables above, numbers may not sum due to rounding.

As of December 31, 2025, the Company has unused committed credit lines from banks of approximately $530 million, and $260 million from related parties.

The Company's balances of cash and short-term investments as of December 31, 2025, were $446 million, compared to $470 million as of December 31, 2024.

The Company's net debt, including credit, the impact of hedging transactions attributed to debt, and net of cash and short-term investments, was $1,639 million as of December 31, 2025, compared to $1,718 million as of December 31, 2024.

Shareholders' equity

The Company's shareholders' equity was $1,656 million as of December 31, 2025, compared to $1,790 million as of December 31, 2024. Equity as a proportion of total assets was 28.8% as of December 31, 2025, compared to 30.7% as of December 31, 2024.

The Company's issued and paid-up share capital for December 31, 2025, is 137,990,881 ordinary shares of NIS 3.12 par value each.

Financial ratios

As of:	2025 December 31	2024 December 31
Ratio of current assets to current liabilities (current ratio)	1.13	1.45
Ratio of current assets, excluding inventory, to current liabilities (quick ratio)	0.63	0.85
Ratio of Financial Liabilities to total balance sheet, gross	36.9%	38.1%
Ratio of Financial Liabilities to total equity, gross	128.0%	123.9%

Financing sources

The Company finances its business operations from its own equity and external funding sources.[7]

Warning signs

The Company has an ongoing positive cash flow from operating activities, and therefore, as of the date of this report, the Company has no warning signs.

5 The credit facilities and loans from related parties are subordinated to other liabilities of the Company.
6 Not including hedging costs.
7 For details, see Section 25, “Financing and Credit”, and Section 24 “Working Capital” of Chapter A of the 2025 Periodic Report.

Corporate governance

Directors with accounting and financial expertise

As of the date of publication of this report, six directors were approved by the Board of Directors as having accounting and financial expertise:[8] Mr. Hengde Qin (Chairman of the Board of Directors), Mr. Gael Hili (Director, CEO and President), Ms. Alexandra Brand, Mr. Ron Hyman (external director), Ms. Haining Auperin (external director) and Ms. Jiahong Wu (Independent director).

Independent directors

The Company's Articles of Association do not contain provisions concerning the number of independent directors.

Internal Auditor

- On March 25, 2024, Ms. Dana Gottesman-Erlich (BDO Consulting firm) was appointed as the Company's internal auditor (the "**Internal Auditor**"), rendering services through BDO Consulting firm[9].
- Ms. Gottesman-Erlich was appointed as Internal Auditor subsequent to the recommendation of the Company's Audit Committee and the approval of the Board of Directors, following examination of her qualifications and experience. Ms. Gottesman-Erlich was found suitable to serve as the Company's Internal Auditor, inter alia considering the scope and complexity of the Company's operations.
- Apart from her position as Internal Auditor of the Company and its subsidiaries in Israel, as detailed below, the Internal Auditor is not employed by the Company, nor does she perform any other role that creates or may create a conflict of interest with the position as Internal Auditor. In addition, to best of the Company's knowledge and based on the declaration of the Internal Auditor, she does not have any material business ties or other material relations with the Company, nor does she hold any securities of the Company or of an affiliate thereof.
- To the best of the Company's knowledge and based on her declaration, the Internal Auditor complies with the applicable legal requirements.[10]
- The individual within the organization supervising the Internal Auditor in 2025 is the Company's CEO.
- The Internal Auditor's audit plan is an annual work plan that is derived from a multi-year work plan based, inter alia, on a risk assessment survey. The plan is prepared by the Internal Auditor, in coordination with, and approval of, the Board of Directors (including amendments thereto), under the supervision of both the Chairman of the Board of Directors and the CEO, following recommendation of the Company's Audit Committee.

  The guiding considerations in preparation of the plan are based on the risk level, in order to identify deficiencies, streamline systems, ensure protection of the Company's assets, and compliance with its procedures and the laws of the countries in which it operates.

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8 In accordance with the Board of Director's decision, according to Section 92(a)(12) of the Companies Law, the minimum number of directors with accounting and financial expertise in the Company is two. This, following consideration of the nature of the Company, its size, scope and complexity of the Company's operations. For additional details with regard to the aforementioned directors, see Regulation 26 of Chapter D to this Report.

9 Replacing Mr. Yehoshua Hazenfratz, CPA, of Shiff Hazenfratz & Co. as Internal Auditor of the Company, effective April 15, 2024. The replacement of the Internal Auditor of the Company mainly resulted due the Company's desire to consolidate the entire internal auditing operations of the Company and its subsidiaries under one advisory firm, in order to have a wider and holistic view of the Group's internal audit, bearing in mind, as detailed above, that the auditing of the Group's companies outside Israel is carried out by BDO.

10 The Internal Auditor complies with the provisions of Section 146 to the Companies Law and with the provisions of Section 8 to the Internal Audit Law - 1992 ("Internal Audit Law").

The primary purpose of internal audit is to evaluate the effectiveness of internal controls to prevent fraud, errors and inefficiencies. The Audit plan is adapted to the developments and findings discovered during the Audit. Should the need arise, the Internal Auditor may exercise discretion and deviate from the Audit plan.

- The Internal Audit work plan also includes auditing the implementation of the recommendations of the Internal Auditor and the Audit Committee by the Company's management, or by the Internal Auditor. In addition, the Internal Auditor participates in the review process and discussions of the Audit Committee in connection with material transactions.[11]
- The Internal Auditor also serves as the internal auditor of the Group companies in Israel, ADAMA Makhteshim and ADAMA Agan. The auditing of the Group companies outside Israel is carried out by BDO Risk and Assurance Services, a unit of BDO Advisory BV ("**BDO**").
- Material investees of the Company are audited according to a multi-year audit plan that includes a range of auditing topics, once every several years for each investee.
- The scope of the Internal Auditor's service is determined by the Audit Committee based on the audit work plan approved by the Board of Directors. In 2025, the number of internal audit hours at the Company and its subsidiaries totaled approximately 4,106 hours. The scope of the work is set according to the needs of the audit work plan and is not limited by the Company.

	Work hours
Internal audit in the Company and its investees	4,106
Internal audit in the Company's investees	3,056
Internal audit of operations in Israel	2,200
Internal audit of operations outside of Israel	1,906

The hourly scope of the audit work in the Company and its investees is set based on the audit work plan proposed by the Internal Auditor in conjunction with the management and approved by the Audit Committees of the various boards of directors.

- The Internal Auditor and the team of employees under her are required to carry out the audit while strictly complying with the criteria prescribed for conducting a professional, reliable, independent audit that is not dependent on the audited body. As stated by the Internal Auditor, she performs the internal audit in accordance with common professional standards stipulated by law[12]. The Board of Directors relied on the Internal Auditor's declaration and report concerning her compliance with the applicable provisions of the law and professional standards according to which the audit is carried out.
- The Internal Auditor was given free access[13], including constant and unmediated access to relevant information systems of the Company and of the subsidiaries, including financial information. With regard to the subsidiaries outside Israel, the Internal Auditor examines whether audits have been conducted in each subsidiary and whether there is an annual audit work plan, based on reports from the auditors of the relevant companies.

[11] As the term is defined in Section 5 to the fourth amendment to the Securities Regulations (Periodic and Immediate Reports) - 1970.
[12] Including in accordance with common audit standards of the Institute of Internal Auditors in Israel (IIA).
[13] As specified in section 9 of the Internal Audit Law.

- At the meetings of the Audit Committee held during 2025 and up to the date of this report, several internal audit reports submitted to the Chairman of the Audit Committee and to the Company's Chairman of the Board of Directors and CEO were discussed.[14]
- In the opinion of the Company's Board of Directors, the scope, nature and continuity of the Internal Auditor's activities and work plan are reasonable and fulfill the Company's internal audit goals.
- The remuneration paid to the Internal Auditor is based on working hours in accordance with the work plan approved by the Board of Directors. At the beginning of each year, the Internal Auditor submits a proposal for the annual audit work plan which includes the planned number of work hours. The Board of Directors determines the audit work plan and the number of work hours, based upon the recommendations of the Audit Committee. The Internal Auditor does not exceed the number of work hours without the consent of the Board of Directors. In the event that additional tasks are allocated to the Internal Auditor during the course of the audit year, the Board of Directors determines the number of work hours for the additional tasks. In 2025, the Internal Auditor's remuneration for her work in Israel amounted to approximately $147 thousand. The total payment for audit activities outside of Israel amounted to approximately $270 thousand. The Company estimates that since the remuneration is based on working hours, such remuneration does not affect the professional considerations of the Internal Auditor.

Donations

The Company sees contribution and assistance to communities in Israel and in other countries in which it operates as a component of its sustainability strategy. Supporting these communities is integral to the Company's vision and reflects that business leadership goes together with social-value leadership.

Community involvement and social responsibility are embedded in the Company's strategic work plan, supported by dedicated annual budgets and active employee participation that strengthens a culture of social responsibility and environmental stewardship.

The Company focuses on initiatives in education, excellence programs, and activities aimed at reducing social gaps and supporting at-risk populations, in line with the Sustainable Development Goals (SDGs) defined by the UN. Special emphasis is placed on advancing education in chemistry, agriculture, and sustainability, fields closely aligned with the Company's core business, as well as on supporting initiatives in health, culture, sports, heritage, and welfare.

In 2025, the Company made aggregate donations of approximately $1,516 thousand, of which approximately $1,095 thousand was in Israel.

Company's Auditor

As of August 15, 2017 and until October 31, 2025, the primary auditors of the Company and its investee companies were the accounting firm Brightman, Almagor, Zohar & Co. from the Deloitte Group ("**Deloitte**").

On March 12, 2025, the Company's General Meeting of the shareholders resolved (following the recommendation of the Financial Statements Review Committee and the Board of Directors) to approve the appointment of Somekh Chaikin & Co. from the KPMG Group ("**KPMG**") as the Company's auditors, effective November 1, 2025.[15]

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[14] On February 19, 2025, the Audit Committee discussed three reports issued in February 2025; on July 30, 2025 the Audit Committee discussed two reports issued in July 2025. After the date of the report, on January 14, 2026, the Audit Committee discussed three reports issued in January 2026, and on March 9, 2026, the Audit Committee discussed two reports issued in March 2026.

[15] See the Company's immediate reports dated March 13, 2025 (ref. number: 2025-01-016921 and 2025-01-016924).

Fees paid to Deloitte in 2025 for auditing services, services connected to the audit, including tax consultancy services connected to the audit, in Israel, amounted to approximately $449 thousand (said fees amounted in 2024 to approximately $931 thousand). Fees paid to Deloitte in 2025 for other services in Israel, amounted to approximately $347 thousand (Deloitte did not provide other services to the Company in Israel during 2024).

Fees paid to Deloitte in 2025 for auditing services outside of Israel amounted to approximately $952 thousand (said fees amounted in 2024 to approximately $2,637 thousand). Fees paid to Deloitte in 2025 for other services outside of Israel, amounted to approximately $38 thousand (Deloitte did not provide other services to the Company outside of during 2024).

Fees paid to KPMG in 2025 for auditing services, services connected to the audit, including tax consultancy services connected to the audit, in Israel, amounted to approximately $649 thousand. Fees paid to KPMG in 2025 for other services in Israel, amounted to approximately $368 thousand.

Fees paid to KPMG in 2025 for auditing services outside of Israel amounted to approximately $2,164 thousand. Fees paid to KPMG in 2025 for other services outside of Israel, amounted to approximately $574 thousand.

The fees for auditing services constitute more than half of the total paid to the auditors by the Company in the reporting year. The audit fees are a fixed amount paid on the basis of expected annual work hours. The Company's Board of Directors approves the auditors' fees.

For information about the Company's goodwill impairment assessment as of December 31, 2025, see Note 10B of the Company's financial statements.

For information about the debentures held by the public at the reporting date, see Appendix B.

The Company has elected not to include the Separate Financial Data Report of the Company as of the period ending December 31, 2022, in accordance with Regulation 9C and 38D of the Securities Regulations (Periodic and Immediate Reports), 1970, since according to the Company’s assessment, the Separate Financial Data Report does not contain any material information to that included in the annual or the quarterly Consolidated Financial Statements Report.

The Company's Board of Directors and management express their gratitude to the Company's management and employees, and thank them for their significant contribution, willingness and ability to successfully cope with the goals and challenges the Company faced in 2025.

Hengde Qin
Chairman of the Board of Directors

Gael Hili
Director, President & CEO

March 26, 2026

Appendixes

Appendix A - Income Statement Adjustments

Fourth quarter

In Million USD

Adjustments Period	Q4 2025	Q4 2024
Net loss (as Reported)	**-64.3**	**-128.3**
Adjustments to COGS & Operating Expenses:		
1. Amortization of transfer assets received and written-up due to 2017 ChemChina-Syngenta transaction (non-cash)	5.5	5.2
2. Incentive plans (non-cash)	-0.3	1.5
3. Amortization of acquisition-related PPA (non-cash), other acquisition-related costs	2.5	4.0
4. Restructuring and advisory costs	12.1	13.4
5. Fixed Assets and inventory impairment	53.2	60.7
6. Cleanup and remediation costs	7.6	1.4
7. Compensation related to product liabilities	-25.2	-
8. Registration impairment and update of registration depreciation	1.2	-
9. Other	0.2	1.0
Total Adjustments to Operating Income (EBIT)	**56.8**	**87.2**
Total Adjustments to EBITDA	**14.0**	**18.0**
10. Other financing expenses	0.0	-3.0
Total Adjustments to Income before taxes	**56.8**	**84.2**
Adjustments to Taxes	13.4	-13.5
Total adjustments to Net loss	**70.2**	**70.7**
Net loss (Adjusted)	**5.8**	**-57.5**

Full year

In Million USD

Adjustments Period	2025	2024
Net loss (as Reported)	**-140.4**	**-406.6**
Adjustments to COGS & Operating Expenses:		
1. Amortization of transfer assets received and written-up due to 2017 ChemChina-Syngenta transaction (non-cash)	21.9	20.6
2. Incentive plans	-2.0	-0.6
3. Amortization of acquisition-related PPA (non-cash), other acquisition-related costs	10.1	14.3
4. Restructuring and advisory costs	47.6	36.4
5. Fixed Assets and inventory impairment	53.2	60.7
6. Cleanup and remediation costs	14.3	18.4
7. Compensation related to product liabilities	-25.2	35.9
8. Registration impairment and update of registration depreciation	2.5	27.6
9. Other	1.6	2.9
Total Adjustments to Operating Income (EBIT)	**124.0**	**216.2**
Total Adjustments to EBITDA	**55.4**	**95.3**
10. Other financing expenses	9.5	8.9
Total Adjustments to Income before taxes	**133.4**	**225.1**
Adjustments to Taxes	12.0	-18.4
Total adjustments to Net loss	**145.4**	**206.7**
Net loss (Adjusted)	**5.0**	**-199.9**

In these tables above, numbers may not sum due to rounding.

Notes:

1. **Amortization of transfer assets received and written-up due to the 2017 ChemChina-Syngenta transaction (non-cash):** The proceeds from the divestment of crop protection products in connection with the approval by the EU Commission of the acquisition of Syngenta by ChemChina, net of taxes and transaction expenses, were paid to Syngenta in return for the transfer of a portfolio of products in Europe of similar nature and economic value. Since the products acquired from Syngenta are of the same nature and with the same net economic value as those divested, and since in 2018 the Company adjusted for the one-time gain that it made on the divested products, the additional amortization charge incurred due to the written-up of the acquired assets is also adjusted to present a consistent view of divestment and transfer transactions, which had no net impact on the underlying economic performance of the Company. These additional amortization charges will continue until 2032 but at a reducing rate, yet will still be at a meaningful level until 2028.
2. **Incentive plans (non-cash):** The Company granted its employees a long-term incentive (LTI) in the form of 'phantom' options, based on the mother company's share, due to the complexity of granting Chinese-listed, equity-settled options to non-Chinese employees. As such, the Company records an expense, or recognizes income, depending on the fluctuation in the Parent Company's share price, even though the Company will not incur any cash impact prior to exercise of the phantom options. To neutralize the impact of such share price movements on the measurement of the Company's performance and expected employee compensation and to reflect the existing phantom options, in the Company's adjusted financial performance, the LTI is presented on an equity-settled basis in accordance with the value of the existing plan at the grant date.
3. **Amortization of acquisition-related PPA (non-cash), other acquisition-related costs:** Related mainly to the non-cash amortization of intangible assets created as part of the Purchase Price Allocation (PPA) on acquisitions with no impact on the ongoing performance of the company acquired, while the related tax expense is also adjusted for, as well as other M&A-related costs.
4. **Restructuring and advisory costs:** The Company initiated its Fight Forward transformation plan in early 2024. Part of the plan includes restructuring its organizational structure, workforce and managerial processes, and as a result thereof, the Company recorded restructuring and advisory costs.
5. **Fixed assets and inventory impairment:** As part of the Company's strategic direction to enhance operational efficiency, the Company decided to focus on high-performing facilities. Consequently, after evaluating their net book value and recoverable amount, the Company recorded impairments for certain facilities with lower operational efficiency. Related to the closing of these facilities, the Company recorded inventory impairments as some of the defective inventories could no longer be reprocessed.
6. **Cleanup and remediation costs**: a wholly-owned subsidiary of the Company recorded remediation costs for its plants in Israel in 2025 and in Israel and Brazil in 2024.
7. **Compensation related to product liabilities**.
8. **Registration impairment and update of registration depreciation**: This is mainly related to the management's strategic decision to increase focus on products in line with the optimization of the Company's portfolio, and hence to focus on the quality of business to achieve a better sales mix of higher margin products.
9. **Other**: Mainly attributable to accelerated depreciation associated with facilities upgrade.
10. **Other financing expenses**: As part of strengthening its debt structure, during the second quarter of 2025 the Company repurchased a significant part of its bond principal for the purpose of improving its long-term financing structure and efficiency. A loss was recorded due to the premium between the buyback price and its issuance price. For 2024, other financing expenses mainly relates to expenses deriving from tax claims' surcharges and inflation.

Appendix B - Details of the Company's Debentures (Series B) as of the end of the reported Year

Date of issue	Total par value on date of issue (in NIS millions)	Rating at December 31, 2025	Total par value on date of issue (in NIS millions)	Type of interest	Nominal interest rate	Effective interest rate at reporting date	Market value on December 31, 2025 (in NIS millions)	Dates of interest payments	Dates of principal payments	Linkage basis	Nominal par value at December 31, 2025 (in NIS millions)	CPI-linked nominal par value at December 31, 2025 (in NIS millions)	Carrying value of debenture balances at December 31, 2025 (in USD millions)	Carrying value of interest payable on December 31, 2025 (in USD millions)	Fair value at December 31, 2025 (in USD millions)
Dec. 2006	1,650	ilAA-[d]	3,810	CPI-linked annual interest	5.15%	3.37%	2,679 [e]	Twice a year on May 31 and on Nov. 30 in each of the years 2006-2036	Nov. 30 of each of the years 2020-2036	CPI for October 2006	1,715 [e]	2,439 [e]	766 [e]	3.3 [e]	840 [e]
Jan. 2012	514														
Jan. 2013	600														
Feb. 2015	533														
Feb-May 2015	267														
May 2020	246														

Notes:

(a) The trustee for debentures (Series B) is Mishmeret Trust Company Ltd., 48 Menachem Begin Road, Tel Aviv (Tel: 03-6374351; Fax: 03-6374344). Contact person: Rami Sebti, C.P.A. VP, E-mail: Ramis@mtrust.co.il.

(b) **Series B is considered a material liability of the Company.**

(c) At the date of the report, the Company was in compliance with all the terms and undertakings under the Deed of Trust, and no conditions existed giving rise to a cause of action for immediate repayment of the debentures.

(d) On March 27, 2024, S&P Maalot affirmed the ilAA- rating of the debentures (Series B), and revised the outlook to Negative (reference: 2024-01-027478). S&P Maalot affirmed the ilAA- rating of the debentures (Series B) on June 17, 2024 (reference: 2024-01-061446), on February 25, 2025 (reference: 2025-01-012886) and on July 3, 2025 (reference: 2025-15-048499).

(e) Net of debentures purchased by a wholly-owned subsidiary, which, as of the end of the reported period, holds 43,941,686 par value debentures (Series B), accounting for 2.50% of total issued debentures (Series B).

(f) On August 5, 2024, the Company's Board of Directors approved a buyback plan for the Company's debentures (Series B) in the amount of up to USD 50 million. On September 1, 2024, the Company purchased NIS 129,081,000 par value of Bonds for a total consideration of approximately USD 50 million (NIS 183 million), fully utilizing the buyback plan. For further information, see the Company's immediate report dated September 2, 2024 (reference: 2024-01-600101).

(g) On May 26, 2025, the Company's Board of Directors approved a buyback plan for the Company's debentures (Series B) in the amount of up to USD 300 million. On May 29, 2025, the Company purchased NIS 642,448,000 par value of Bonds for a total consideration of approximately USD 268 million (NIS 941,828,768 million). For further information, see the Company's immediate report dated May 27, 2025 (reference: 2025-01-037477).

Appendix C - Exchange Rate Data for the Company's Principal Functional Currencies

Principal Functional Currencies	**2025** December 31	**2024** December 31	**Change** December 31	**2025** Q4 Average	**2024** Q4 Average	**Change** Q4 Average	**2025** Annual Average	**2024** Annual Average	**Change** Annual Average
EUR/USD	1.174	1.041	12.8%	1.164	1.067	9.1%	1.127	1.082	4.2%
USD/BRL	5.502	6.192	11.1%	5.395	5.843	7.7%	5.588	5.390	(3.7%)
USD/PLN	3.602	4.101	12.2%	3.642	4.037	9.8%	3.761	3.981	5.5%
USD/ZAR	16.611	18.762	11.5%	17.131	17.858	4.1%	17.884	18.326	2.4%
AUD/USD	0.668	0.621	7.6%	0.656	0.652	0.6%	0.644	0.660	(2.3%)
GBP/USD	1.345	1.254	7.2%	1.329	1.282	3.7%	1.317	1.278	3.1%
USD/ILS	3.190	3.647	12.5%	3.251	3.698	12.1%	3.453	3.701	6.7%
USD L 3M	3.65%	4.31%	-66 bps	3.82%	4.50%	-68 bps	4.15%	5.06%	-91 bps

Chapter C

Financial Statements as of December 31, 2025

Adama Agricultural Solutions Ltd.

Consolidated Financial Statements
As of December 31, 2025

in US Dollars

Adama Agricultural Solutions Ltd.

Consolidated Financial Statements
As Of December 31, 2025

in US Dollars

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Auditors' Report to the Shareholders of Adama Agricultural Solutions Ltd.

Regarding the Audit of Internal Control Components over Financial Reporting in accordance with paragraph 9b(c) of the Israeli Securities Regulations (Periodic and Immediate Reports), 1970

We have audited internal control components over financial reporting of Adama Agricultural Solutions Ltd. and its subsidiaries (hereinafter - "the Company") as of December 31, 2025. These control components were determined as explained in the following paragraph. The Company's Board of Directors and Management are responsible for maintaining effective internal control over financial reporting and for their assessment of the effectiveness of the Company's internal control components over financial reporting accompanying the periodic report as of the above date. Our responsibility is to express an opinion on the Company's internal control components over financial reporting based on our audit.

Audited internal control components over financial reporting were determined in accordance with Auditing Standard (Israel) 911 of the Institute of Certified Public Accountants in Israel "Audit of Internal Control Components over Financial Reporting" (hereinafter "Auditing Standard (Israel) 911"). These components are: (1) Entity level controls, including controls over the preparation and closure of the financial reporting process and general information technology controls; (2) controls over sales; (3) controls over purchase; (4) controls over inventory; and (5) controls over treasury (all these hereinafter are named together "audited control components").

We conducted our audit in accordance with Auditing Standard (Israel) 911. This standard requires us to plan and perform the audit to identify the audited control components and to obtain reasonable assurance about whether these control components were effective in all material respects. Our audit included obtaining an understanding of internal control over financial reporting, identifying the audited control components, assessing the risk that a material weakness exists in the audited control components, and testing and evaluating the design and operating effectiveness of those control components based on the assessed risk. Our audit, regarding those control components, also included performing such other procedures as we considered necessary in the circumstances. Our audit referred only to the audited control components, as opposed to internal control over all significant processes related to financial reporting, therefore our opinion refers to the audited control components only. Our audit also did not refer to mutual effects between audited control components and non audited control components, therefore our opinion does not take into account these possible effects. We believe that our audit provides a reasonable basis for our opinion in the context described above.

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Because of its inherent limitations, internal control over financial reporting as a whole, and internal control components in particular, may not prevent or detect misstatements. Also, projections of any current evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

In our opinion, the Company maintained, in all material respects, effective audited control components as of December 31, 2025.

We have also audited, in accordance with generally accepted auditing standards in Israel, the Company's consolidated financial statements as of December 31, 2025 and for the year then ended and our report thereon, dated March 26, 2026, expressed an unmodified opinion on those financial statements.

Somekh Chaikin
Certified Public Accountants (Isr.)

Haifa, March 26, 2026

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INDEPENDENT AUDITORS' REPORT
To the Shareholders of Adama Agricultural Solutions Ltd

Opinion

We have audited the consolidated financial statements of Adama Agricultural Solutions Ltd. ("the Company"), which comprise the consolidated statements of financial position as of December 31, 2025, and the consolidated statements of income, comprehensive income, changes in equity and cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Company as at December 31, 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with IFRS Accounting Standards and with the provisions of the Securities Regulations (Annual Financial Statements), 2010.

Basis for Opinion

We conducted our audit in accordance with generally accepted auditing standards in Israel, including standards prescribed by the Auditor's Regulations (Auditor's Mode of Performance), 1973. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Company and its subsidiaries, in accordance with the applicable legal provisions in Israel regarding independence and conflict of interest of auditors. Additionally, we have fulfilled our other ethical responsibilities in accordance with the Auditors' Law, 1955 and the regulations thereunder. We believe that the audit evidence we have obtained is appropriate and sufficient to provide a basis for our opinion.

Key Audit Matters

The key audit matters described below are those matters that were communicated, or were required to be communicated, to the board of directors of the Company, and that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period. These matters include, among others, any matter that (1) relates, or may relate, to significant accounts or disclosures in the consolidated financial statements; and (2) involved our professional judgment that was challenging, subjective or especially complex. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon. The communication of these matters below does not change our opinion on the consolidated financial statements as a whole, nor do we provide through such communication a separate opinion on these matters or on the accounts or disclosures to which they relate.

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Revenue recognition – Cut-off:

Why was this matter determined to be a Key Audit Matter in the audit

The Company provides crop protection solutions to farmers for the control of weeds, insects, and plant diseases and operates in numerous countries across developed and emerging markets. Due to the global nature of its operations, the Company applies a variety of commercial terms and distribution models that differ by geography. Revenue is a key performance indicator for the Company and amounted to US$ 3,660 million for the year ended December 31, 2025, primarily relating to the sale of goods. As disclosed in Note 3(I) to the financial statements, revenue is recognized when control of goods is transferred to the customer. The point at which control is transferred varies depending on the relevant commercial terms, which are not consistent across the jurisdictions in which the Company operates.

Due to the significance of revenue to the financial statements and the degree of judgment involved in determining the appropriate timing of revenue recognition across the Company's diverse trading and distribution arrangements, we considered Revenue recognition - Cut-off to be a key audit matter.

The Response to the Key Matter in the Audit

Our audit procedures related to revenue recognition - cut-off included, among others:

- Obtaining an understanding of the Company's revenue recognition policies and assessing their compliance with IFRS 15, including the identification of indicators for the transfer of control under different commercial terms.
- Evaluating the design and testing the operating effectiveness of key controls over revenue recognition - cut-off.
- Testing samples of revenue transactions recorded close to year-end by inspecting relevant supporting documentation to assess whether revenue was recognized in the appropriate accounting period.
- For selected subsidiaries, performing analytical procedures to identify unusual trends or fluctuations in revenue around the year-end reporting date.
- Reviewing the sales records after the reporting date for significant sales returns and reviewing supporting documents to evaluate whether the relevant revenue was recorded in the appropriate accounting period.
- Select journal entries of revenue that meet specific risk criteria and review relevant supporting documents.

Impairment test of goodwill allocated to the crop protection (Agro) CGU:

Why was this matter determined to be a Key Audit Matter in the audit

As disclosed in Note 10(A) and Note 10(B), the carrying amount of goodwill allocated to the crop protection (Agro) cash-generating unit ("CGU") is US$ 284 million as of December 31, 2025. As disclosed in Notes 2(C), 3(E)1 and 10(B), in performing the impairment test for the CGU of crop protection products which include goodwill, the management uses discounted cash flows ("DCF") model to determine the value in use of the CGU. The determination of the present value of expected future cash flows in DCF model involves significant management judgments, specifically, estimates of the expected sales growth rate, gross profit margin, perpetual growth rate and discount rate used.

Due to the significance of the goodwill, the fact that goodwill impairment test requires significant management estimates and judgements, we considered Impairment test of the goodwill allocated to the crop protection (Agro) CGU to be a key audit matter.

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The Response to the Key Matter in the Audit

Our audit procedures related to the impairment test of the goodwill allocated to the crop protection (Agro) CGU included the following, among others:

- Understanding and evaluating the design and testing the operating effectiveness of key controls in relation to goodwill impairment testing.
- Evaluating the reasonableness of the key assumptions applied in the cash flow projections, such as projected revenue growth rate and gross margin to determine whether it conforms with historical data, approved financial budgets, operating plans and external industry data.
- Comparing key assumptions used by management in previous year with the current year and evaluating reasonableness of the changes.
- Using the work of our internal valuation specialist to evaluate the appropriateness of the valuation method used by management to determine the value in use and the reasonableness of the discount rate and the perpetual growth rate.
- Performing sensitivity analysis for possible adverse changes in key assumptions in the impairment test model to evaluate the impact of these changes on the results of the impairment test.
- Assessing the adequacy of the related disclosures provided in Note 10(B)of the consolidated financial statements in accordance with IAS 36.

Other Matter

The financial statements of the Company for the years ended December 31, 2024, and 2023 were audited by another auditor who expressed an unmodified opinion on those statements on March 12, 2025.

Responsibilities of Board of Directors and Management for the Consolidated Financial Statements

The board of directors and management are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards and with the provisions of the Securities Regulations (Annual Financial Statements), 2010, and for such internal control as the board of directors and management determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the board of directors and management are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the board of directors and management either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with generally accepted auditing standards in Israel will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements

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As part of an audit in accordance with generally accepted auditing standards in Israel, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is appropriate and sufficient to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the board of directors and management.
- Conclude on the appropriateness of the use by the board of directors and management of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the board of directors and management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the board of directors and management with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, the safeguards applied to eliminate identified threats to our independence.

From the matters communicated or required to be communicated to the board of directors and management, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter.

Reference Paragraph
We have also audited, in accordance with Auditing Standard (Israel) 911 of the Institute of Certified Public Accountants in Israel "An Audit of Components of Internal Control over Financial Reporting", the Company's components of internal control over financial reporting as of December 31, 2025, and our report dated March 26, 2026 included an unqualified opinion on the effective maintenance of those components.

The engagement partner on the audit resulting in this independent auditors' report is Herve Berdah.

Somekh Chaikin
Certified Public Accountants (Isr.)

Haifa, March 26, 2026

Adama Agricultural Solutions Ltd.

Consolidated Statements of Financial Position

($ thousands)

Item:	Note	December 31, 2025	December 31, 2024
Current assets:			
Cash and cash equivalents		423,418	460,099
Short-term investments		22,248	10,261
Trade receivables	4	1,007,249	1,088,349
Trade receivables as part of securitization transactions not yet eliminated	4	21,080	19,124
Subordinated note in respect of sale of trade receivables	4	110,617	124,846
Prepaid expenses		22,970	23,935
Financial and other assets, including derivatives	5	248,397	243,580
Tax deposits less provision for taxes	17	43,616	36,430
Inventories	6	1,508,180	1,420,571
Total current assets		3,407,775	3,427,195
Long-term investments, loans and receivables:			
Investments in equity-accounted investee companies		5,592	4,205
Other financial investments and receivables	7	68,964	71,574
Non-financial assets, including non-current inventory	8	68,930	38,890
Total long-term investments, loans and receivables		143,486	114,669
Fixed assets:			
Cost	9	2,858,153	2,878,746
Less - accumulated depreciation		1,638,110	1,608,210
Total fixed assets		1,220,043	1,270,536
Deferred tax assets	17	171,383	166,707
Intangible assets			
Cost	10	2,825,084	2,810,106
Less - accumulated amortization		2,028,803	1,967,308
Total intangible assets		796,281	842,798
Total non-current assets		2,331,193	2,394,710
Total assets		5,738,968	5,821,905

The accompanying notes are an integral part of these consolidated financial statements

Adama Agricultural Solutions Ltd.

Consolidated Statements of Financial Position

($ thousands)

Item:	Note	December 31, 2025	December 31, 2024
Current liabilities			
Loans and credit from banks and other lenders	11	1,277,279	735,607
Current maturities of debentures	15	69,627	79,929
Trade payables	12	977,537	835,810
Other payables	13	631,746	608,791
Current tax liabilities	17	45,939	38,217
Put options to holders of non-controlling interests		22,491	67,961
Total current liabilities		3,024,619	2,366,315
Long-term liabilities			
Long-term loans from banks	14	97,200	221,700
Debentures	15	696,289	879,216
Other long-term liabilities	16	181,716	470,393
Deferred tax liabilities	17	21,360	28,077
Employee benefits	18	62,241	60,796
Put options of holders of non-controlling interests		-	5,735
Total long-term liabilities		1,058,806	1,665,917
Total liabilities		4,083,425	4,032,232
Equity			
Share capital		125,595	125,595
Share premium		623,829	623,829
Capital reserves		(357,104)	(377,591)
Retained earnings		1,263,223	1,417,840
Total equity attributable to the owners of the Company	21	1,655,543	1,789,673
Total liabilities and equity		5,738,968	5,821,905

Hengde Qin **Chairman of the Board of Directors**	**Gael Hili** **President, CEO and Director**	**Efrat Nagar** **Chief Financial Officer**

Date of approval of the financial statements: March, 26, 2026

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statements of Income

($ thousands)

Item:	Note	For the year ended December 31, 2025	2024	2023
Revenues	22	3,660,125	3,736,245	4,191,837
Cost of sales	23	2,608,665	2,782,858	3,225,691
Gross profit		1,051,460	953,387	966,146
Other income		(8,723)	(12,918)	(11,902)
Selling and marketing expenses	24	628,343	714,391	699,560
General and administrative expenses	25	173,994	136,357	109,781
Research and development expenses	26	46,575	46,125	53,858
Other expenses	27	46,760	89,204	18,210
Operating expenses, net		886,949	973,159	869,507
Operating income (loss)		164,511	(19,772)	96,639
Financing expenses		418,499	328,172	489,999
Financing income		(159,978)	(40,117)	(161,478)
Financing expenses, net	28	258,521	288,055	328,521
Share of income of equity-accounted investee companies		1,349	1,152	908
Loss before taxes on income		(92,661)	(306,675)	(230,974)
Income taxes	17	47,707	99,881	11,027
Loss for the year attributable to the owners of the Company		(140,368)	(406,556)	(242,001)

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statements of Comprehensive Income

($ thousands)

Item:	For the year ended December 31, 2025	2024	2023
Loss for the year	(140,368)	(406,556)	(242,001)
Items that may be reclassified subsequent to profit or loss:			
Foreign currency translation differences for foreign operations	34,228	(39,637)	34,144
Effective portion of changes in fair value of cash flow hedges	(9,589)	7,564	(2,916)
Net change in fair value of cash flow hedges transferred to profit or loss	7,302	(3,593)	9,342
Taxes related to items that may subsequently be reclassified to profit or loss	318	(507)	(718)
Total items that may be reclassified subsequent to profit or loss:	32,259	(36,173)	39,852
Items that will not be reclassified subsequent to profit or loss:			
Re-measurement of defined benefit plan	(230)	1,549	1,831
Taxes related to items that will not be reclassified subsequently to profit or loss	83	(96)	(151)
Total items that will not be reclassified subsequent to profit or loss:	(147)	1,453	1,680
Total comprehensive loss for the year attributable to the owners of the Company	(108,256)	(441,276)	(200,469)

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statement of Changes in Equity

($ thousands)

Item:	For the year ended December 31, 2025				
	Share capital	Share premium	Capital reserves (1)	Retained earnings	Total equity attributable to the owners of the Company
Balance as of January 1, 2025	125,595	623,829	(377,591)	1,417,840	1,789,673
Total comprehensive income for the year:					
Loss for the year	-	-	-	(140,368)	(140,368)
Components of other comprehensive income:					
Foreign currency translation differences for foreign operations	-	-	34,228	-	34,228
Effective portion of change in fair value of cash flow hedges	-	-	(9,589)	-	(9,589)
Net change in fair value of cash flow hedges transferred to statement of income	-	-	7,302	-	7,302
Re-measurement of defined benefit plan	-	-	-	(230)	(230)
Taxes on other comprehensive income	-	-	318	83	401
Other comprehensive income (loss) for the year, net of tax			32,259	(147)	32,112
Total comprehensive income (loss) for the year	-	-	32,259	(140,515)	(108,256)
Dividends to non-controlling interests holders holding a put option	-	-	-	(14,102)	(14,102)
Transactions with holders of non-controlling interest	-	-	(11,772)	-	(11,772)
Balance as of December 31, 2025	125,595	623,829	(357,104)	1,263,223	1,655,543

(1) Including treasury shares that were cancelled in the amount of $245,548 thousand. See Note 21E.

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statement of Changes in Equity

($ thousands)

Item:	For the year ended December 31, 2024				
	Share capital	Share premium	Capital reserves (1)	Retained earnings	Total equity attributable to the owners of the Company
Balance as of January 1, 2024	125,595	623,829	(341,418)	1,828,420	2,236,426
Total comprehensive income for the year:					
Loss for the year	-	-	-	(406,556)	(406,556)
Components of other comprehensive income:					
Foreign currency translation differences for foreign operations	-	-	(39,637)	-	(39,637)
Effective portion of change in fair value of cash flow hedges	-	-	7,564	-	7,564
Net change in fair value of cash flow hedges transferred to statement of income	-	-	(3,593)	-	(3,593)
Re-measurement of defined benefit plan	-	-	-	1,549	1,549
Taxes on other comprehensive income	-	-	(507)	(96)	(603)
Other comprehensive income (loss) for the year, net of tax	-	-	(36,173)	1,453	(34,720)
Total comprehensive loss for the year	-	-	(36,173)	(405,103)	(441,276)
Dividends to non-controlling interests holders holding a put option	-	-	-	(5,477)	(5,477)
Balance as of December 31, 2024	125,595	623,829	(377,591)	1,417,840	1,789,673

(1) Including treasury shares that were cancelled in the amount of $245,548 thousand. See Note 21E.

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statement of Changes in Equity

($ thousands)

Item:	For the year ended December 31, 2023				
	Share capital	Share premium	Capital reserves (1)	Retained earnings	Total equity attributable to the owners of the Company
Balance as of January 1, 2023	125,595	623,829	(375,997)	2,077,937	2,451,364
Total comprehensive income for the year:					
Loss for the year	-	-	-	(242,001)	(242,001)
Components of other comprehensive income:					
Foreign currency translation differences for foreign operations	-	-	34,144	-	34,144
Effective portion of change in fair value of cash flow hedges	-	-	(2,916)	-	(2,916)
Net change in fair value of cash flow hedges transferred to statement of income	-	-	9,342	-	9,342
Re-measurement of defined benefit plan	-	-	-	1,831	1,831
Taxes on other comprehensive income	-	-	(718)	(151)	(869)
Other comprehensive income for the year, net of tax	-	-	39,852	1,680	41,532
Total comprehensive loss for the year	-	-	39,852	(240,321)	(200,469)
Transactions with holders of non controlling interest	-	-	(5,273)	-	(5,273)
Dividends to non-controlling interests holders holding a put option	-	-	-	(9,196)	(9,196)
Balance as of December 31, 2023	125,595	623,829	(341,418)	1,828,420	2,236,426

(1) Including treasury shares that were cancelled in the amount of $245,548 thousand. See Note 21E.

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statement of Cash Flows

($ thousands)

Item:	For the year ended December 31, 2025	2024	2023
Cash flows from operating activities			
Loss for the year	(140,368)	(406,556)	(242,001)
Adjustments:			
Depreciation and amortization	230,140	232,287	230,402
Loss (gain) from realization of fixed and intangible assets, net	2,264	(5,015)	(149)
Amortization of discount/premium and debt issuance costs	(448)	(518)	(584)
Impairment of assets	36,343	80,701	8,179
Share of income of equity-accounted investee companies	(1,349)	(1,152)	(908)
Share-based payments	(1,958)	(624)	(8,471)
Revaluation of put options related to acquired subsidiaries	(4,359)	(1,970)	7,531
Revaluation of long-term liabilities	150,623	17,510	2,824
Loss (gain) in respect of hedging transactions on debentures	(98,917)	20,812	55,871
Loss from bond purchase (buyback)	9,451	783	-
Change in provision for income tax and tax advances, net	(1,775)	2,811	(4,892)
Decrease (increase) in deferred taxes, net	(10,092)	37,413	(52,296)
Changes in assets and liabilities:			
Decrease in trade and other receivables	119,854	45,306	112,810
Decrease (increase) in inventories	(82,107)	274,058	613,027
Increase (decrease) in trade and other payables	139,773	32,120	(498,691)
Change in employee benefits	3,125	(15,180)	(14,979)
Net cash from operating activities	350,200	312,786	207,673
Cash flows from investing activities			
Acquisition of fixed assets	(85,434)	(119,505)	(188,592)
Additions to intangible assets	(75,261)	(69,434)	(105,631)
Short-term investments, net	(5,051)	11,730	2,202
Long-term investments, net	3,663	(12,929)	5,460
Investment grant received	-	-	5,076
Proceeds from disposal of fixed and intangible assets	4,917	33,903	2,242
Investment in an equity instrument held at FVTOCI	-	-	(402)
Dividends received from equity-accounted investees	463	378	658
Proceeds from disposal of subsidiaries	37,368		
Acquisition of subsidiaries excluding cash acquired	-	-	(21,699)
Net cash used in investing activities	(119,335)	(155,857)	(300,686)

The accompanying notes are an integral part of these consolidated financial statements.

Adama Agricultural Solutions Ltd.

Consolidated Statement of Cash Flows

($ thousands)

Item:	For the year ended December 31, 2025	2024	2023
Cash flows from financing activities			
Repayment of debentures	(68,287)	(79,575)	(80,424)
Repayment of long-term loans and liabilities from banks and others	(126,972)	(140,103)	(119,364)
Increase (decrease) in short-term liabilities to banks and others, net	208,225	(124,197)	298,899
Repayment of lease liabilities	(25,457)	(25,730)	(24,968)
Debentures buyback	(268,753)	(50,095)	-
Proceeds (payment) in respect of hedging transactions on debentures	95,390	18,729	(130,711)
Dividends paid to holders of non-controlling interests	(14,102)	(5,477)	(9,196)
Realization of call option in a subsidiary	(59,765)	-	(17,000)
Payment of contingent consideration in respect of business combination	(7,825)	-	-
Receipt of long-term loans from banks and others	-	100,000	278,147
Other	-	-	645
Net cash from (used in) financing activities	(267,546)	(306,448)	196,028
Net increase (decrease) in cash and cash equivalents	(36,681)	(149,519)	103,015
Cash and cash equivalents at the beginning of the year	460,099	609,618	506,603
Cash and cash equivalents at the end of the year	423,418	460,099	609,618
Additional information for cash flows from operating activities:			
Interest paid in cash	(124,830)	(148,757)	(154,519)
Interest received in cash	8,118	14,654	34,954
Taxes paid in cash, net	(62,604)	(64,507)	(68,590)

The accompanying notes are an integral part of these consolidated financial statements.

Note 1 - General

A. Description of the Company and its Activities:

(1) Adama Agricultural Solutions Ltd. (hereinafter - "the Company") is an Israel-resident company incorporated in Israel located at Golan Street in Airport City Park. The consolidated financial statements of the Company as at December 31, 2025 include those of the Company and its subsidiaries (hereinafter together - "the Group") as well as the Company's rights in an associated company and in joint ventures. The Group operates in Israel and abroad and is engaged in the development, manufacture and commercialization of crop protection products, as well as intermediate materials for other industries, food additives and synthetic aromatic products, primarily for export.

As of December 31, 2025, the Company is 100% held by ADAMA Ltd. The Company is a reporting entity.

(2) Sales of crop protection products are directly dependent on the agricultural seasons and crop cycles. Therefore, the Company's income is not split equally over the year, and accordingly there are variations between the first and second halves of the year. Countries in the Northern Hemisphere are characterized by similar generally timing of agricultural seasons, with these countries usually having their highest sales in the first half of the calendar year, whereas the agricultural season is the opposite in the Southern Hemisphere (except to some extent in Australia), where most sales occur in the second half of the year. The Company believes that the Group's global activity and the diversification across the markets in which it operates mitigates to a large extent the inherent seasonality in the business.

(3) ADAMA is headquartered and has three manufacturing sites in Israel. Regional tensions escalated on October 7, 2023, and more recently widened on February 28, 2026. The Company's Israeli production sites and supply chain, including ports, continue to operate without significant delays. As of this publication date, the events have not had nor are expected to have material impact on the Company's ability to support its markets, its ongoing activities, or its consolidated financial results.

Note 1 - General (Cont'd)

B. Definitions:

In these financial statements:

The Company	-	Adama Agricultural Solutions Ltd.
The Group	-	Adama Agricultural Solutions Ltd. and its investee companies.
Subsidiaries	-	Companies of which the financial statements are fully consolidated, directly or indirectly, with the financial statements of the Company.
Investee Companies	-	Subsidiaries and associated companies or joint arrangements wherein the Company's investment is stated, directly or indirectly, by means of the equity method of accounting.
Related Party	-	As defined in IAS 24 (2009) "Relating Party Disclosures".
Interested Parties	-	As defined in Paragraph (1) of the definition of an "Interested Party" in Section 1 of the Israeli Securities Law, 1968.
CPI	-	The Consumer Price Index in Israel as published by the Central Bureau of Statistics.
Dollar or $	-	The United States Dollar.
NIS	-	The New Israeli Shekel.

Note 2 - Basis for Preparation of Financial Statements

A. Declaration of Compliance with the IFRS Accounting Standards:

The consolidated financial statements have been prepared in accordance with the IFRS Accounting Standards and in accordance with the Israeli Securities Regulations (Annual Financial Statements), 2010.

The consolidated financial statements were authorized for issue by the Company's Board of Directors on March 26, 2026.

B. Basis of Measurement:

The consolidated financial statements have been prepared on the historical cost basis except for the following assets and liabilities:

- Financial instruments, derivative and other assets and liabilities measured at fair value.
- Deferred tax assets and liabilities, measured at undiscounted amounts.
- Provisions.
- Assets and liabilities relating to employee benefits.

For additional information regarding the measurement of these assets and liabilities see Note 3 - Significant Accounting Policies.

C. Use of Estimates and Judgment:

The preparation of financial statements in accordance with IFRS requires management to use judgments, estimates and assumptions that affect the implementation of the accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

The preparation of accounting estimates used in the preparation of the Group's financial statements requires the Company's management to make assumptions regarding circumstances and events that involve considerable uncertainty. Management of the Company prepares the estimates on the basis of past experience, various facts, external circumstances, and reasonable assumptions according to the pertinent circumstances to each estimate.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected thereby.

Information regarding assumptions made by the Group with respect to the future and other significant reasons for uncertainty with regard the estimates, which possess a significant risk that they may result in a material adjustment to the carrying amounts of assets and liabilities in the coming years, is included in the following notes:

- **Contingent liabilities** - when assessing the possible outcomes of legal claims filed against the Company and its investee companies, the companies relied on the opinions of their legal advisors. These assessments by the legal advisors are based on their professional judgment, considering the stage of the proceedings and the legal experience accumulated regarding the respective matters. Since the results of the claims may be determined by the courts, the outcomes could be different from the assessments.

Note 2 - Basis for Preparation of Financial Statements (Cont'd)

C. Use of Estimates and Judgment: (Cont'd)

- **Contingent Liabilities: (Cont'd)**

  In addition to said claims, the Group is exposed to unasserted claims, inter alia, where there is doubt as to interpretation of the respective agreement and/or legal provision and/or manner of implementation. This exposure is brought to the Company's attention in several ways, among others, by means of contact made to Company personnel. In assessing the risk deriving from the unasserted claims, the Company relies on internal assessments by the parties dealing with these matters and by management, who assess the probability of a claim being filed, and the chances of its success, if filed. The assessment is based on experience gained with respect to the filing of claims and the analysis of the allegations on their merits. Naturally, in view of the preliminary stage of the clarification of the legal claim, the actual outcome could be different from the assessment made before the claim was filed. For further information regarding the Company's exposure to claims - see Note 19 regarding contingent liabilities.

- **Impairment of assets** - the Company evaluates the need for goodwill impairment at least once a year, on a fixed date. In addition, at each reporting date the Company evaluates whether events have occurred or there have been changes in circumstances that indicate that impairment has occurred in one or more of the other non-monetary assets. If there are signs of impairment, an examination is executed as to whether the amount at which the investment in the asset is stated can be recovered from the discounted cash flows expected from that asset and, if necessary, an impairment provision is recorded up to the recoverable amount. The discounted cash flows are calculated using a pre-tax discount rate that represents the market's assessment of the time value of money and the specific risks attributed to the asset. Determination of the estimated cash flows is based on the past experience of this asset or similar assets, and the Company's best assessment of the economic conditions that will prevail during the remaining estimated useful life of the asset. Changes in the Company's assessments, as noted, could lead to material changes in the book value of the assets and the operating results.

- **Estimated useful life of intangible assets** - intangible assets that have a defined useful life are amortized systematically over their estimated useful life. The amortization period reflects the best estimate of the period in which future economic benefits are expected to accrue to the Company. Use of other assumptions could lead to a different assessment of the estimated period in which future economic benefits are expected to be received.

- **Expected credit losses** - the Company's trade receivables are stated net of expected credit losses. The expected credit losses are examined regularly by the Company's management and are determined primarily by the familiarity with the customer, its quality and the collateral amount the customer provides. Changes in the assumptions used to calculate the allowance could lead to material changes in the allowance required.
  For additional information regarding expected credit losses - see Note 4.

- **Income taxes** - the Company and Group companies are assessed for income tax purposes in a large number of jurisdictions and, therefore, the Company's management is required to use considerable judgment in determining the total provision for taxes and attribution of income, calculated according to the best estimate of the amounts expected to be paid to the relevant tax authorities in each jurisdiction. Deferred taxes are calculated at the tax rates expected to be in effect when they are realized. Some of the Group companies create deferred tax assets in respect of losses carried forward for tax purposes in instances where it is expected to utilize these losses in the foreseeable future.

  Changes in these assumptions could lead to material changes in the book values of the tax assets and tax liabilities and in the operating results.

  For additional information regarding deferred taxes and taxes on income - see Note 17.

Note 2 - Basis for Preparation of Financial Statements (Cont'd)

C. Use of Estimates and Judgment: (Cont'd)

- **Employee benefits** - the Group's liabilities for long-term post-employment and other benefits are calculated according to the estimated future amount of the benefit to which the employee will be entitled in consideration for his services during the current and prior periods. The benefit is stated at present value net of the fair value of the plan's assets, based on actuarial assumptions. Changes in the actuarial assumptions could lead to material changes in the book value of the liabilities and in the operating results.
  For additional information regarding employee benefits - see Note 18.

- **Derivative financial instruments** - the Group enters into transactions in derivative financial instruments for the purpose of hedging risks related to foreign currency and inflation. The derivatives are recorded at their fair value. The fair value of derivative financial instruments is based on quotes from financial institutions. The reasonableness of the quotes is examined by discounting the future cash flows, based on the terms and time to maturity of each contract, while using market interest rates of a similar instrument as of the measurement date. Changes in the assumptions and the calculation model could lead to material changes in the fair value of the assets and liabilities and in the operating results.

- **Inventories** - inventories are measured in the financial statements at the lower of cost or net realizable value. Net realizable value is an estimate of the selling price in the ordinary course of business, net of the estimated cost to completion and the costs required for executing the sale. The selling price is estimated on the basis of the expected selling price at the time of realization of inventories. A reduction in the expected selling price could lead to an impairment of the inventories and operating results accordingly.

Note 3 - Significant Accounting Policies

The accounting policies set out below have been applied consistently for all periods presented in these consolidated financial statements and have been applied consistently by the Group entities. In this note, matters have been marked in bold with respect to which the Group has chosen accounting alternatives permitted in the accounting standards.

A. Basis for Consolidation:

(1) Business combinations:

The Group applies the acquisition method with respect to all business combinations. The acquisition date is the date on which the acquirer obtains control over the acquiree.

The identifiable assets acquired and liabilities assumed are measured at fair value, except for certain assets and liabilities measured according to other standards (such as deferred taxes, measured according to IAS 12). Goodwill is recognized as the difference between the fair value of the consideration transferred and the net amount attributed to the identifiable assets acquired and the liabilities assumed.

The consideration transferred includes the fair value of any contingent consideration (such as earnout arrangements with the former shareholders). After the acquisition date, the Group recognizes changes in the fair value of contingent consideration classified as a financial liability at fair value through profit or loss.

2) Structured entities which are not consolidated:

The Group operates with structured entities for purposes of securitization trade receivables. For details see Note 4.

Note 3 - Significant Accounting Policies (Cont'd)

A. Basis for Consolidation: (Cont'd)

(3) Non-controlling interests:

Issuance of a put option to non-controlling interests:

A put option issued by the Group to holders of non-controlling interests that is settled in cash is recognized as a liability at the present value of the exercise price. In subsequent periods, changes in the value of the liability in respect of a put option issued commencing from January 1, 2010 are recognized in profit or loss according to the effective interest method. Changes in re-measurements of liabilities in respect of a put option issued by the Group to non-controlling interests before January 1, 2010, continue to be recognized in goodwill and are not recognized in profit or loss. **The Group's share of a subsidiary's profits includes the share of non-controlling interests to which the Group issued a put option, even where the non-controlling interests have access to the returns arising from the interests in the investee.**

Dividends distributed to non-controlling interests in a subsidiary that hold a put option are recognized directly in equity.

B. Functional Currency and Presentation Currency:

(1) General:

The Dollar is the currency that represents the principal economic environment in which the Group operates. Accordingly, the dollar is the functional currency of the Company and most of the Group's companies and presentation currency in these financial statements.

(2) Foreign currency transactions:

Transactions in foreign currency are translated into the Group companies' functional currency according to the exchange rate in effect on the transaction dates. Monetary assets and liabilities denominated in foreign currency on the reporting date are translated into the functional currency according to the exchange rate prevailing on that date. Exchange rate differences are recognized directly in "financing expenses" in the consolidated statement of income.

Non-monetary items denominated in foreign currency and measured based on historical cost are translated using the exchange rate in effect on the date of the transaction.

(3) Foreign operations:

The assets and liabilities of foreign operations, including goodwill and adjustments to fair value recorded at acquisition, are translated into Dollars according to the exchange rates prevailing on the reporting date. Income and expenses of foreign operations are translated into Dollars according to the exchange rates that were in effect on the dates of the transactions.

Foreign currency differences in respect of the translation are recognized in other comprehensive income and are presented in equity as part of capital reserves.

When a foreign operation is disposed of such that control is lost, the cumulative amount in the Translation Reserve related to that foreign operation is reclassified to profit or loss as a part of the gain or loss on the disposal.

Note 3 - Significant Accounting Policies (Cont'd)

C. Financial Instruments:

(1) Non-derivative financial instruments:

Initial recognition of financial assets:

All financial assets are initially recognized at fair value plus transaction costs, except financial instruments that are classified as fair value through profit or loss, which are recognized at their fair value and the transaction costs are recognized directly as expenses in the profit or loss.

Non-derivative financial assets include mainly trade and other receivables, and cash and cash equivalents.

(a) Classification of financial assets into categories and the accounting treatment of each category:

Trade and other receivables and other debt instruments that are held in order to collect contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI) on specified dates are subsequently measured at amortized cost, using, when material, the effective interest method.

All other financial assets, including trade receivable to be sold according to securitization agreements (see note 4), are subsequently measured at fair value through profit or loss (FVTPL).

(b) Derecognition of financial assets:

The Group derecognizes a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity.

As for derecognition of trade receivable sold under securitization agreements, see details in note 4.

(2) Non-derivative financial liabilities:

Non-derivative financial liabilities include bank overdrafts, loans and borrowings from banks and others, marketable bonds, lease liabilities and trade and other payables.

Those financial liabilities are initially recognized at fair value less transaction costs. Subsequent to the initial recognition, financial liabilities are measured at amortized cost using the effective interest method.

(3) CPI-linked liabilities measure at amortized cost:

The value of CPI-linked financial assets and liabilities that are measure at amortized cost are revalued in every period, according to the actual rate of increase/decrease in the CPI.

Note 3 - Significant Accounting Policies (Cont'd)

C. Financial Instruments:

(4) Derivative financial instruments, including hedge accounting:

The Group uses derivative financial instruments to hedge its risks related to foreign currency and inflation.

Derivative financial instruments are initially recognized at fair value; attributable transaction costs are recognized in profit or loss as incurred.

Cash-flow hedges:

With respect to a cash-flow hedge, a forecasted transaction that constitutes a hedged item must be highly probable and must give rise to exposure to changes in cash flows that could ultimately affect profit or loss, for example forecast purchases of inventory or forecast sales to customers.

Subsequent to the initial recognition, changes in the fair value of derivatives used to hedge cash flows are recognized through other comprehensive income directly in a hedging reserve, with respect to the part of the hedge that is effective. Regarding the portion of the hedge that is not effective (over-hedge only), that portion is recognized immediately in profit and loss as financing income or expense.

The amount accumulated in the hedging reserve is reclassified to profit and loss in the period in which the hedged cash flows impact profit or loss and is presented in the same line item in the statement of income as the hedged item.

Economic hedge

Hedge accounting is not applied with respect to derivative instruments used to economically hedge financial assets and liabilities denominated in foreign currency or CPI linked. Changes in the fair value of such derivatives are recognized in profit or loss as financing income or expenses.

(5) Share capital:

Ordinary shares:

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of ordinary shares and options for shares are recognized as a deduction from equity.

Treasury shares:

When share capital recognized in equity is repurchased by the Group, the amount of the consideration paid, including direct costs, net of the tax effect, is deducted from equity and classified as treasury shares.

Upon cancellation of the treasury shares, the amount of the consideration paid for them is deducted from the capital reserves.

Note 3 - Significant Accounting Policies (Cont'd)

D. Fixed Assets:

(1) Recognition and measurement:

Fixed-asset items are measured at cost less accumulated depreciation and accrued impairment losses. Cost includes expenditures that can be directly attributed to purchase or construction of the asset. The cost of self-constructed assets includes the cost of the materials and direct labor costs, as well as additional costs that are directly attributable to bringing the asset to the position and condition necessary for it to function as intended by management, as well as an estimate of the costs to dismantle and remove the item, to restore its location and capitalized borrowing costs. The cost of purchased software, which is an integral part of operating the related equipment, is recognized as part of the cost of such equipment.

When major parts of a fixed asset item (including costs of major periodic inspections) have different useful lives, they are accounted for as separate items (major components) of fixed assets.

Changes in the obligation to dismantle and remove the items and to restore the site on which they are located, other than changes deriving from the passing of time, are added to or deducted from the cost of the asset in the period in which they occur.

(2) Depreciation:

Depreciation is recognized in profit or loss on a straight-line basis over the estimated useful lives of each part of every fixed-asset item. Freehold lands are not depreciated.

The estimated useful life for the current period and comparative periods is as follows:

Item	Period	Note
Buildings	25-50 years	
Facilities and equipment	22 years	
Furniture, equipment and accessories	7-17 years	primarily 14 years
Motor vehicles	5-7 years	
Computers and auxiliary equipment	3-5 years	

The estimates of depreciation method, useful lives and residual values are reviewed at least at the end of each reporting year and adjusted prospectively where necessary.

E. Intangible Assets:

(1) Goodwill:

Goodwill that arises upon business combinations is presented as part of intangible assets. For information regarding measurement of goodwill upon initial recognition - see Paragraph A(1) of this note.

In subsequent periods, goodwill is measured at cost less accrued impairment losses.

Note 3 - Significant Accounting Policies (Cont'd)

E. Intangible Assets: (Cont'd)

(2) Research and development and product registration:

Research and development (R&D) activities - the Group's R&D activities mainly include chemical R&D and chemical engineering development of production processes for off-patent active ingredients, including the necessary biological, agronomical and toxicology data necessary to meet regulatory requirements, and development of registration dossiers for the active ingredients. This activity, for the most part, does not meet the conditions necessary for capitalization as an internally generated intangible asset. Therefore, these expenses are recorded directly in profit and loss as research and development expenses.

Product registration activities - the materials and products marketed by the Group require registration at various stages of their production and marketing in each country where the Group intends to market them. Obtaining a registration requires meeting health, safety and environmental standards. The product registration activities are carried out at a more advanced stage, after the R&D activities described above have been completed, when there is a high probability that the required registrations will indeed be obtained in the target markets and the products can be marketed.

Purchased registrations are recorded as an intangible asset according to the cost of purchase, while in relation to self-registrations, a distinction is made between two types of self-registration costs:

- Costs that are capitalized as an intangible asset (product registration) - these costs associated with developing a registration portfolio of generic products, in which the Group has a high certainty that it will complete the construction of the portfolio, receive the registration and obtain future economic benefits from it. The Group has ability to estimate the expected costs for developing the registration portfolio and the Group's history of succeeding in obtaining such licenses is very high.

- Costs that do not meet the definition of an intangible asset - costs of this type mainly include annual fees to the authorities, costs associated with preliminary stages of field trials that are done to prove feasibility and salary expenses that cannot be specifically attributed to the capitalized registration assets. These expenses are recorded directly in profit and loss.

(3) Other intangible assets:

Other intangible assets that are acquired by the Group, which have finite useful lives, are measured at cost less accumulated amortization and accrued impairment losses.

(4) Subsequent costs:

Subsequent costs are recognized as an intangible asset only where they increase the future economic benefit embodied in the asset in respect of which they were expended. All other costs are recognized in profit or loss as incurred.

Note 3 - Significant Accounting Policies (Cont'd)

E. Intangible Assets: (Cont'd)

(5) Amortization:

Amortization is recognized in profit or loss on a straight-line basis over the estimated useful lives of the intangible assets from the date they are available for use. Goodwill is not systematically amortized, but is assessed annually at a minimum for impairment since it has an indefinite useful life.

Intangible assets generated within the Group are not systematically amortized as long as they are not available for use, i.e. they are not yet in the condition required in order that they will be able to be used as intended by Management.

The estimated useful life for the current period and comparative periods is as follows:

- Product registration - primarily 8 years.
- Intangible assets related to purchase of products - primarily 7-11.
- Marketing rights, tradename and trademarks - 4-10 years and 30 years for a specific trademark in acquired subsidiary.
- Software - 3-5 years and 12 years for ERP.
- Customer relations - 5-10 years.

The amortization methods and useful lives are reviewed at least at the end of each reporting year and are adjusted where necessary.

F. Inventory:

Inventory is measured at the lower of cost or net realizable value. **The cost of the inventories of raw materials, packaging materials, spare parts, maintenance materials and purchased materials is determined according to a weighted-average formula**, which includes the costs of acquiring the inventory and bringing it to its current location and condition. **The cost of finished products and of products in process is determined on the basis of average production costs, including materials, labor and factory expenses.**

The cost includes the allocable part of the production overhead costs, based on normal capacity.

Net realizable value is the estimated selling price during the ordinary course of business, after deduction of the estimated completion costs and the estimated costs required to execute the sale.

Long-term inventory is such that the Company only expects to realize over a period exceeding 12 months.

Note 3 - Significant Accounting Policies (Cont'd)

G. Impairment:

(1) Non-derivative financial assets:

As for trade receivables which are not measured in FVTPL, the Group estimates the Expected Credit Losses (ECL) on these financial assets using a provision matrix based on the Group's historical credit loss experience throughout the instrument's lifetime adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date.

The examination whether to recognize ECL is based on the risk (probability) for default from the initial recognition in the financial instrument, and not only when there is objective evidence for impairment in the reporting date or when the default occurs.

See also note 30(b).

(2) Non-financial assets:

Timing of impairment testing:

If impairment indications exist, the recoverable amount of an asset or cash-generating unit (CGU) is calculated. Once a year and on the same date, or more frequently if there are indications of impairment, the Group estimates the recoverable amount of each cash generating unit that contains goodwill.

Allocation of goodwill to cash-generating units:

The Company allocated goodwill to its operating segments – Crop protection (Agro) and intermediates and ingredients (see note 31), since there is not a lower level at which the goodwill is monitored for internal reporting purposes.

Goodwill acquired in a business combination is allocated to the operating segment at which the acquiree operate, which is expected to benefit from synergies of the combination.

Measurement of recoverable amount:

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market participant assessments of the time value of money and the specific risks attributed to the asset or cash generating unit, for which the estimated future cash flows expected to derive from the asset or cash generating unit were not adjusted.

Recognition of impairment losses:

Impairment losses are recognized only if the carrying amount of an asset or the cash generating unit exceeds its estimated recoverable amount and such losses are recognized in profit and loss as other expenses. Impairment losses recognized in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to these units (impairment which cannot be reversed in subsequent reporting periods) and then to reduce the carrying amounts of the other assets in the cash generating unit, on a pro rata basis.

Note 3 - Significant Accounting Policies (Cont'd)

H. Employee Benefits:

(1) Post-employment benefits:

The Group has a number of post-employment benefit plans. The plans are generally funded by deposits with insurance companies or with funds managed by a trustee, and they are classified either as defined contribution plans or as defined benefit plans.

(a) Defined contribution plans:

A defined contribution plan is a post-employment benefit plan under which the Group pays fixed contributions to a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an expense in profit or loss in the periods during which related services are rendered by employees.

(b) Defined benefit plans:

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Group's actuarial obligation in respect of defined benefit plans is calculated separately for each plan by estimating the future amount of the benefit to which an employee will be entitled as compensation for his services during the current and past periods. This benefit is presented according to present value after deducting the fair value of the plan assets.

The discount rate is determined according to the yield as of the date of the report on high quality, CPI-linked corporate debentures, which are denominated in NIS, and the maturity dates of which approximate the terms of the Group's obligation.

The calculations are performed by a licensed actuary using the "projected unit credit method".

The Group determines the net interest on the net defined benefit liability (asset) in respect of a defined benefit by multiplying the net liability (asset) in respect of a defined benefit by the discount rate used to measure the defined benefit obligation as determined at the beginning of the annual reporting period, or at the beginning of the last interim period in which the discount rate was updated. **Interest costs on a defined benefit obligation and interest income on plan assets are recognized in profit or loss as financing income and expenses, respectively.**

Remeasurement of the net defined benefit liability (assets) includes actuarial gains and losses and the return on plan assets (excluding interest). Remeasurements are recognized immediately, directly in retained earnings through other comprehensive income and are not reclassified in the following periods to profit or loss.

(2) Other long-term employee benefits:

Other long-term employee benefits are measured on the same basis as defined benefit plans (see paragraph (1)(b) above), except that actuarial gains and losses are recorded in profit and loss (at the same line items at which expenses for employee benefits are presented) in the period in which they arise.

Note 3 - Significant Accounting Policies (Cont'd)

H. Employee Benefits: (Cont'd)

(3) Termination benefits:

Termination benefits to employees are recognized as an expense when the Group has clearly undertaken, with no real chance of cancellation, to terminate employees before they reach the customary retirement age according to a formal, detailed plan.

If the benefits are payable more than 12 months after the end of the reporting period, they are discounted to their present value. The discount rate used is the yield on the reporting date on highly rated corporate debentures denominated in the same currency, that have maturity dates approximating the terms of the Group's obligation.

(4) Short-term benefits:

Obligations for short-term employee benefits are measured on a non-discounted basis, and the expense is recorded when the related service is provided. A provision for short-term employee benefits in respect of cash bonuses is recognized in the amount expected to be paid where the Group has a current legal or constructive obligation to pay the said amount for services provided by the employee in the past and the amount can be estimated reliably.

(5) Cash-settled share-based payments:

The fair value of cash-settled share-based payment awards granted to employees is recognized as a salary expense in profit or loss, with a corresponding increase in liability over the vesting period. The liability is remeasured according to fair value at each reporting date, until the date of settlement and the change is recorded as a salary expense in profit or loss. The fair value of the liability is measured using the binomial model.

I. Revenues:

Sale of goods:

Revenue of the Group is primarily from the sale of goods.

The Group recognizes revenue when transferring control of goods to a customer (typically transfer of the significant risks and rewards of ownership), at the amount of the transaction price, which is the amount of consideration to which a Group expects to be entitled in exchange for transferring goods to a customer, excluding amounts collected on behalf of third parties.

The timing of transferring the control of goods changes according to the specific terms of the sale contract. Regarding sales of products, transfer of the control of goods generally occurs when the products arrive at the customer's warehouse, while for certain overseas shipments the transfer occurs when the products are loaded on the shipper's transport vehicles.

Significant financing component:

The Group does not adjust the amount of consideration for the effects of a significant financing component if the Group expects, at contract inception, that the period between transfer of a good to a customer and payment by the customer for that good will be one year or less.

Note 3 - Significant Accounting Policies (Cont'd)

I. Revenues (Cont'd):

Variable consideration:

Variable consideration includes sales with a right of return (see below), refunds, discounts, volume rebates etc. The amounts of variable consideration are estimated using the Group's past experience in the relevant markets. The Group includes in the transaction price the amounts of variable consideration only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

Sale with a right of return:

For sales with a right of return, the Group recognizes revenue at the amount of consideration to which the Group expects to be entitled (i.e. excluding the products expected to be returned). For any amounts received (or receivable) for which the Group does not expect to be entitled, the Group does not recognize revenue when it transfers products to customers and instead recognizes those amounts as a refund liability. An asset recognized for the Group's right to recover products from a customer on settling a refund liability is initially measured by reference to the former carrying amount of the products (inventory) less any expected costs to recover those products.

At the end of each reporting period, the Group updates the measurement of the refund liability and the asset for changes in expectations about the amount of refunds and the products to be returned, and recognizes corresponding adjustments as revenue (or reductions of revenue) and cost of sales, respectively.

J. Income Taxes:

Taxes on income include current and deferred taxes. Current tax and deferred taxes are recognized in profit or loss except to the extent that they relate to a business combination, or are recognized in other comprehensive income to the extent they relate to items recognized in other comprehensive income.

Current taxes:

Current tax is the amount of tax expected to be paid (or received) on the taxable income for the year, calculated using the applicable tax rates based on the laws enacted or substantively enacted as of the date of the report. Current taxes also include taxes in respect of prior years.

Offset of current tax assets and liabilities:

The Group offsets current tax assets and liabilities if there is a legally enforceable right to offset current tax liabilities and assets, and the Group intends either to settle the current tax liabilities and assets on a net basis or to realize the asset and settle the liability simultaneously.

Uncertain tax positions:

A provision for uncertain tax positions, including additional tax and interest expenses, is recognized when it is more likely than not that the Group will have to use its economic resources to settle the obligation.

Note 3 - Significant Accounting Policies (Cont'd)

J. Income Taxes Expense: (Cont'd)

Deferred taxes:

Deferred taxes are recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for tax purposes, except for temporary differences arising from the following, for which no deferred taxes are recognized:

- The initial recognition of goodwill.

- Investments in subsidiaries, joint arrangements and associates, to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future, either by way of selling the investment or by way of distributing taxable dividends in respect of the investment.

  Income taxes that would have applied in the event of realizing investments in subsidiaries were not taken into account since it is the Company's intention to hold these investments and not realize them.

  Moreover, The Group may be required to pay additional income taxes in case of distribution of dividends by its subsidiaries. These additional taxes were not included in the financial statements, since the Group's policy is not to distribute a dividend in the foreseeable future that creates an additional tax liability.

- Pillar Two income taxes (see details in note 17).

Deferred taxes are measured at the tax rates expected to apply to the temporary differences when they are utilized, based on the laws that have been enacted or substantively enacted as of the reporting date.

A deferred tax asset is recognized in respect of tax loss carryforwards, tax benefits and deductible temporary differences, where it is expected that in the future there will be taxable income against which they can be utilized. Deferred tax assets are reviewed at every reporting date and are reduced to the extent it is not expected that the related tax benefits will be realized.

Deferred tax assets that were not recognized are reevaluated at each reporting date and recognized if it becomes probable that future taxable profits will be available against which they can be utilized.

Inter-company transactions:

Deferred tax in respect of inter-company transactions in the consolidated financial statements is recorded according to the tax rate applicable to the procuring company.

Offset of deferred tax assets and liabilities:

The Group offsets deferred tax assets and liabilities if there is a legally enforceable right to offset current tax liabilities and assets, and these relate to the same taxable income taxed by the same tax authority for the same taxable entity, or different taxable entities where these intend to settle current tax assets and liabilities on a net basis or their tax assets and liabilities will be settled concurrently.

Note 3 - Significant Accounting Policies (Cont'd)

K. Environmental Costs:

The current costs for operation and maintenance of facilities for the prevention of environmental pollution, and projected provisions for environmental rehabilitation costs stemming from current or past activities are recorded as expenses in profit and loss (cost of sales). The costs of constructing facilities to prevent environmental pollution, which increase the life expectancy of a facility or its efficiency, or decrease or prevent the environmental pollution, are added to the cost of the fixed assets and are depreciated according to the Group's regular depreciation policies.

L. New and revised IFRS Accounting Standards and interpretations in issue:
IFRS 18 - Presentation and Disclosure in Financial Statements:

On April 9, 2024, the IASB published IFRS 18, which replaces IAS 1 "Presentation of Financial Statements" (IAS 1). IFRS 18 aims to improve how information is communicated by entities in their financial statements.

IFRS 18 focuses on the following topics:

(1) Statement of Profit or Loss structure - presentation of new defined subtotals and classification of income and expenses into specified categories.

(2) Improvements to the aggregation and disaggregation of information in both the primary financial statements and the accompanying notes.

(3) Disclosing information on management-defined performance measures (MPMs) which are non-GAAP measures in the notes to the financial statements.

Furthermore, amendments to other IFRS standards become effective when an applying IFRS 18, including changes to IAS 7 "Statement of Cash Flows", which will enhance comparability between entities.

The standard will be applied for annual reporting periods beginning on or after January 1, 2027 and will be applied retrospectively with specific transition requirements. Earlier application is permitted.

The Company is currently assessing the impact of adopting IFRS 18, including the impact of amendments to additional IFRS standards impacted by the adoption of IFRS 18, on the financial statements.

Note 4 - Trade Receivables

Composition ($ thousands):

Item	December 31, 2025	December 31, 2024
Foreign	1,056,618	1,127,504
Domestic (Israel)	13,293	18,040
Total current trade receivables	1,069,911	1,145,544
Less - Expected credit losses	(62,662)	(57,195)
Total current trade receivables, net	1,007,249	1,088,349

Item	December 31, 2025	December 31, 2024
Current trade receivables	1,069,911	1,145,544
Non-current trade receivables	25,655	22,232
Trade receivable as part of securitization transaction not yet eliminated	21,080	19,124
Less - Expected credit losses (*)	(71,500)	(57,195)
Total trade receivables	1,045,146	1,129,705

(*) Includes expected credit losses related to non-current trade receivables, see note 7 below.

See Note 30B below for details regarding credit risk.

A. The Company and certain subsidiaries entered into a securitization transaction with Rabobank International for sale of trade receivables (hereinafter - “the Securitization Program” and/or “the Securitization Transaction”).

Pursuant to the Securitization Program, the companies will sell their customer receivables, in different currencies, to a foreign company that was set up for this purpose and that is not owned by the Group (hereinafter - “the Acquiring Company”). Acquisition of the trade receivables by the Acquiring Company is financed by Cooperative Rabobank U.A.

The trade receivables included as part of the Securitization Transaction are trade receivables that meet the criteria provided in the agreement.

Every year the credit facility is re-approved in accordance with the Securitization Program. As at the date of the report, the Securitization Agreement was approved up to October 24, 2026.

The maximum scope of the securitization is adjusted for the seasonal changes in the scope of the Company’s activities, as follows: during January - $350 million, during the months of February through July - $400 million, during the months of August - September- $300 million, during the months of October through November - $275 million and during December - $300 million. In addition the Company has a permanent uncommitted facility of $50 million which will be applicable each period. The proceeds received from those customers whose debts were sold are used for acquisition of new trade receivables.

The price at which the trade receivables are sold is the amount of the debt sold less a discount calculated based on, among other things, the expected length of the period between the date of sale of the customer receivable and its anticipated repayment date.

Note 4 - Trade Receivables (Cont'd)

A. (Cont'd)

In the month following acquisition of the debt, the Acquiring Company pays most of the debt in cash while the remainder is recorded as a subordinated note that is paid after collection of the debt sold. If the customer does not pay its debt on the anticipated repayment date, the Company bears interest up to the earlier of the date on which the debt is actually repaid or the date on which the treatment is transferred to the insurance company (the actual costs are not significant and are not expected to be significant).

The Acquiring Company bears 95% of the credit risk in respect of the customers whose debts were sold and will not have a right of recourse to the companies in respect of the amounts paid in cash, except regarding debts with respect to which a commercial dispute arises between the companies and their customers, that is, a dispute the source of which is a claim of non-fulfillment of an obligation of the seller in the supply agreement covering the product, such as: a failure to supply the correct product, a defect in the product, delinquency in the supply date, and the like.

The Acquiring Company appointed a policy manager to manage the credit risks involved with the trade receivables sold and to manage an undertaking with an insurance company.

Pursuant to the Receivables Servicing Agreement, the Group companies handle collection of the trade receivables as part of the Securitization Transaction for the benefit of the Acquiring Company.

As part of the agreement, the Company committed to comply with certain financial covenants, primarily the ratio of the liabilities to equity and profit ratios (see Note 20D below).

The accounting treatment of sale of the trade receivables included as part of the Securitization Program is:

The Company is not a controlling entity with regard the Acquiring Company and therefore is not consolidated the Acquiring Company in its financial statements.

The Company continues to recognize the trade receivables included in the Securitization Program based on the extent of its continuing involvement therein (5% right of recourse).

A subordinated note is recorded in respect of the portion of trade receivables included in the Securitization Program with respect to outstanding cash proceeds, however the Company has transferred the credit risk.
The continuing involvement and subordinated note recorded in the statement of financial position as part of the "other receivables" line item.

The loss from sale of the trade receivables is recorded at the time of the sale in the statement of income in the "financing expenses" category.

Note 4 - Trade Receivables (Cont'd)

B. A subsidiary in Brazil (hereinafter - "the Subsidiary") entered into the following securitization agreements:

Since 2016, a securitization transaction with Rabobank Brazil for sale of customer receivables (hereinafter "FIDC-Donegal agreement") is in place. Under the FIDC-Donegal agreement, the Subsidiary will sell its receivables to a securitization structure (hereinafter - "the Entity") that was formed for this purpose where the Subsidiary has subordinate rights of 5% of the Entity's capital.

As at June 17, 2024, the FIDC-Donegal agreement was approved up to September 30, 2027. The maximum securitization scope as of December 31, 2025 is BRL 386 million ($70 million).

On the date of the sale of the customer receivables, the Entity pays the full amount which is the debt amount sold net of discount calculated, among others, over the expected length of the period between the date of sale of the customer receivable and its anticipated repayment date.

The Entity bears 95% of the credit risk in respect of the customers whose debts were sold such that the Entity has the right of recourse to 5% of the unpaid amount. The Subsidiary has a pledged deposit with regards to the Entity's right of recourse.

The Subsidiary continues to recognize the trade receivables sold to the Entity based on the extent of its continuing involvement therein (5% right of recourse) and also recognizes an associated liability in the same amount.

In "FIDC-Donegal agreement", the Subsidiary handles the collection of receivables included in the securitization for and on behalf of the Entity.

In all the agreements above, the Subsidiary does not control the entities and therefore the entities are not consolidated in the Group's financial statements.

The loss from the sale of the trade receivables is recorded at the time of sale in the statement of income in the "financing expenses" category.

Note 5 - Financial and Other Assets, Including Derivatives (*)

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Claims from the government in respect of participations and tax refunds	82,372	83,132
Receivables within ADAMA Ltd. group (*)	69,216	68,289
Receivables in respect of transactions in derivatives	63,934	67,306
Advances to suppliers	12,270	9,703
Other	20,605	15,150
Total	248,397	243,580

(*) For details regarding transactions with related parties, see Note 29

Note 6 - Inventories

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Finished goods and commercial inventory	824,603	785,159
Work in progress	229,126	216,758
Raw materials	394,819	363,189
Packaging materials	28,422	25,244
Spare parts and maintenance materials	31,210	30,221
Total current inventory	1,508,180	1,420,571
Additional information:		
Merchandise in transit (included in the inventories balance)	39,443	24,432
Current inventory	1,508,180	1,420,571
Non-current inventory	60,883	37,395
Total inventory	1,569,063	1,457,966

The Group wrote-down inventory mainly due to slow moving and defective inventory and inventory for which the net realizable value is less than its cost.

The balance of the write-down was $45 million and $43 million as of December 31, 2025 and December 31, 2024, respectively.

Note 7 - Other Financial Investments and Receivables

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Long-term investments, loans and receivables	52,147	49,342
Non-current trade receivables	25,655	22,232
Less - Expected credit losses	(8,838)	-
Total	68,964	71,574

Note 8 - Non-Financial Assets, including Non-Current Inventory

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Non-current inventory	60,883	37,395
Non-financial assets	8,047	1,495
Total	68,930	38,890

Note 9 - Fixed Assets

A. Movement in the Carrying Amount ($ thousands):

Item:	Land and buildings	Facilities and equipment	Motor vehicles	Computers and office equipment	Total
Cost:					
At January 1, 2025	477,583	2,269,247	63,994	67,922	2,878,746
Additions (1)	59,658	62,966	20,575	5,816	149,015
Disposals	(15,954)	(74,239)	(21,777)	(8,855)	(120,825)
Disposal of consolidated subsidiaries	(2,562)	(46,011)	(37)	(173)	(48,783)
At December 31, 2025	518,725	2,211,963	62,755	64,710	2,858,153
Accumulated depreciation and Impairment:					
At January 1, 2025	260,526	1,261,172	31,218	55,294	1,608,210
Depreciation (1)	24,568	76,247	16,074	5,252	122,141
Impairment (2)	27	34,878	-	-	34,905
Disposals	(11,106)	(74,060)	(17,952)	(8,632)	(111,750)
Disposal of consolidated subsidiaries	(368)	(14,818)	(37)	(173)	(15,396)
At December 31, 2025	273,647	1,283,419	29,303	51,741	1,638,110
Carrying amount at December 31, 2025	245,078	928,544	33,452	12,969	1,220,043
Related to:					
Leased assets	72,744	2,692	20,617	167	96,220
Owned assets	172,334	925,852	12,835	12,802	1,123,823
Carrying amount at December 31, 2025	245,078	928,544	33,452	12,969	1,220,043

(1) Includes effect of foreign currency translation differences in respect of foreign operations.
(2) For details regarding Fixed Assets impairment, see Note 27.

Item:	Land and buildings	Facilities and equipment	Motor vehicles	Computers and office equipment	Total
Cost:					
At January 1, 2024	477,462	2,193,851	69,689	66,539	2,807,541
Additions (1)	13,969	84,694	14,090	2,890	115,643
Disposals	(13,848)	(9,298)	(19,785)	(1,507)	(44,438)
At December 31, 2024	477,583	2,269,247	63,994	67,922	2,878,746
Accumulated depreciation and impairment:					
At January 1, 2024	218,224	1,173,408	32,550	52,726	1,476,908
Depreciation (1)	20,695	65,926	16,273	4,075	106,969
Impairment (2)	30,940	28,476	-	-	59,416
Disposals	(9,333)	(6,638)	(17,605)	(1,507)	(35,083)
At December 31, 2024	260,526	1,261,172	31,218	55,294	1,608,210
Carrying amount at December 31, 2024	217,057	1,008,075	32,776	12,628	1,270,536
Related to:					
Leased assets	59,574	3,372	18,787	280	82,013
Non-leased assets	157,483	1,004,703	13,989	12,348	1,188,523
Carrying amount at December 31, 2024	217,057	1,008,075	32,776	12,628	1,270,536

(1) Includes effect of foreign currency translation differences in respect of foreign operations.
(2) For details regarding Fixed Assets impairment, see Note 27.

Note 9 - Fixed Assets (Cont'd)

B. Additional Information:

The facilities of Adama Makhteshim are situated on lands in Naot Hovav (including structures, offices, facilities and warehouses) by virtue of lease agreements for various periods ending between the years 2023-2060 including a renewal option, and on land in Beer Sheva, leased from the Israel Land Authority (ILA), with a built area that includes structures, offices, facilities, warehouses and Lycored's facility, a wholly owned subsidiary of the Company.

ADAMA Makhteshim Ltd, filed to the Ministry of Environmental Protection a soil remediation plan regarding its plant in Be'er Sheva. An agreement was concluded with the Ministry on the remediation scope and timeline.The plan covers all zones which expected to be gradually remediate during the coming years. As a result of the agreement, the Company has provision in its financial statements according to its best estimation.

The facilities of Adama Agan are located in Ashdod. A large portion of the land is owned by Adama Agan and a minority is leased from ILA for lease periods ending between the years 2050-2054.

The land contains a built area that includes, inter alia, production facilities, warehouses, storage areas, engineering services, technical equipment, offices and laboratories. In addition, Adama Agan leases from various lessors, who are third parties not related to the Company, spaces adjacent to the plant area, for the purposes of parking and storage in return for immaterial amounts.

In April 2006, the Company entered into an agreement with the City of Ashdod, for a total period of 24 years (5 years + optional 19 years) subject to receiving the required regulatory approvals, under which the Company may use a certain area for the purpose of the establishment and operation of a sewage treatment plant. The Company pays annual usage fees for use of this land.

Facilities of Investees companies outside of Israel are located on land which is partly owned and partly leased.

Regarding liens - see note 20.

C. Non-cash Additions of Fixed Assets:

The Group's credit due to purchases of fixed assets as of December 31, 2025 is $14,845 thousand (2024 - $13,548 thousand).

The total additions to right-of-use assets as a result of new leases during 2025 amounted to $45,668 thousand (2024 - $19,607 thousand).

D. Investment Grants:

The investment grants that were deducted from the cost of the buildings and equipment in the Group's plants were received for investments in an "preferred" or "approved enterprise" over the course of many years. For some of the investments (which are not material as of December 31, 2025), if the Group does not comply with the conditions for receipt of the grant, it will have to refund the amount of the grants, fully or partially, plus interest and linkage differences as per law.

E. Additional Details:

A number of long-term lease agreements held by the Group's companies remain pending extension with the Israeli Land Authority, which is recognized for protracted procedures, primarily attributable to technical complications.

Note 10 - Intangible Assets

A. Composition ($ thousands):

Item:	Product registration	Goodwill	Intangible assets on purchase of products(1)	Software	Marketing rights, tradename and trademarks	Customer relations	Other	Total
Cost:								
At January 1, 2025	1,439,763	334,556	595,403	200,384	106,451	68,304	65,245	2,810,106
Additions (2)	53,160	5,234	(204)	17,707	164	343	3,074	79,478
Disposal	(35,414)	-	-	(7,125)	(7,199)	-	(12,725)	(62,463)
Disposal of consolidated subsidiaries	(1,879)	-	-	(158)	-	-	-	(2,037)
At December 31, 2025	1,455,630	339,790	595,199	210,808	99,416	68,647	55,594	2,825,084
Accumulated amortization and impairment:								
At January 1, 2025	1,127,950	44,752	515,152	128,537	70,334	45,194	35,389	1,967,308
Additions (2)	79,915	540	15,547	15,679	3,181	5,217	1,432	121,511
Impairment	1,238	-	200	-	-	-	-	1,438
Disposal	(33,747)	-	-	(7,073)	(7,199)	-	(12,407)	(60,426)
Disposal of consolidated subsidiaries	(870)	-	-	(158)	-	-	-	(1,028)
At December 31, 2025	1,174,486	45,292	530,899	136,985	66,316	50,411	24,414	2,028,803
Carrying amount at December 31, 2025	281,144	294,498	64,300	73,823	33,100	18,236	31,180	796,281

(1) Intangible assets on purchase of products primarily includes consideration paid pursuant to agreements from 2001 and 2002 (fully depreciated), 2017 and 2018 attributed to rights in intellectual property, trademarks, trade name, technological know-how, and information with respect to customers and suppliers of raw materials.

(2) Including effect of foreign currency translation differences in respect of foreign operations.

Note 10 - Intangible Assets (Cont'd)

A. Composition ($ thousands): (Cont'd)

Item:	Product registration	Goodwill	Intangible assets on purchase of products(1)	Software	Marketing rights, tradename and trademarks	Customer relations	Other	Total
Cost:								
At January 1, 2024	1,398,244	333,697	600,530	185,790	106,652	68,656	60,845	2,754,414
Additions (2)	41,911	859	130	15,014	(201)	(352)	4,400	61,761
Disposal	(392)	-	(5,257)	(420)	-	-	-	(6,069)
At December 31, 2024	1,439,763	334,556	595,403	200,384	106,451	68,304	65,245	2,810,106
Accumulated amortization and impairment:								
At January 1, 2024	1,050,826	45,230	483,726	114,699	67,446	40,674	35,076	1,837,677
Additions (2)	68,906	(478)	23,642	12,879	2,888	4,520	313	112,670
Impairment	8,601	-	11,371	1,313	-	-	-	21,285
Disposal	(383)	-	(3,587)	(354)	-	-	-	(4,324)
At December 31, 2024	1,127,950	44,752	515,152	128,537	70,334	45,194	35,389	1,967,308
Carrying amount at December 31, 2024	311,813	289,804	80,251	71,847	36,117	23,110	29,856	842,798

(1) Intangible assets on purchase of products primarily includes consideration paid pursuant to agreements from 2001 and 2002 (fully depreciated), 2017 and 2018 attributed to rights in intellectual property, trademarks, trade name, technological know-how, and information with respect to customers and suppliers of raw materials.

(2) Including effect of foreign currency translation differences in respect of foreign operations.

Note 10 - Intangible Assets (Cont'd)

B. Additional information:

The Group allocates goodwill to two cash generating units ("CGU"), Crop Protection (Agro) and a non-core activity included in the Intermediates and ingredients segment. At the end of the year, or more frequently whether indicators for impairment exists, the Group estimates the recoverable amount of each CGU for which goodwill has been allocated to using the DCF model (value in use), based on:

- The actual results of 2025, 2026 workplan and the forecast results for the next 4 years.
- The discount rate (8.3% WACC) based on the Company's cost of equity and cost of debt, taking into account comprehensive risk factors.
- The terminal annual growth rate (1.5%) based on the management projections and market expectations.

The carrying amount of goodwill is mainly allocated to Crop Protection (Agro) CGU. Total amount of goodwill allocated to the Crop Protection (Agro) CGU amounts to $284 million. The goodwill allocated to non-core CGU is not significant.

As of December 31, 2025, the value in use of the CGUs to which goodwill has been allocated to, exceeds its carrying amount.

Note 11 - Loans and Credit from Banks and Other Lenders

A. Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Credit from banks and others:		
Overdrafts	-	1,795
Short-term credit from related parties (*)	490,000	380,000
Short-term credit (**)	325,070	224,301
Total overdrafts and short-term credit	815,070	606,096
Current maturities of Long-term loan from related parties	335,760	-
Current maturities of long-term loans from banks	104,500	106,972
Current maturities of lease obligations	21,949	22,539
Total	1,277,279	735,607

(*) See Note 29
(**) Interest rate for 2025 is mainly between 4.93% - 5.76%.

B. Regarding financial covenants - see Note 20B.

Note 12 - Trade Payables

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Trade payables	945,980	807,595
Post-dated checks	31,557	28,215
Total	977,537	835,810

Note 12 - Trade Payables (Cont'd)

Trade accounts payable include $148 million (2024: $222 million) arising from supplier finance arrangements between suppliers and financial institutions. The trade accounts payable included under the supplier financing arrangements have payment due dates ranging from 90 to 180 days from the invoice date.
Comparable trade accounts payable that are not part of supplier financing arrangements have similar payment terms.

Under supplier finance arrangements, participating suppliers may elect, to receive early payment from the financial institutions for invoices owed and the Company makes a payment to the financial institutions on the original invoice due date, regardless of whether the supplier has elected to receive early payment or not.

The Company may provide guarantees to the financial institutions (as may be provided to suppliers directly as well) but incurs no interest or other charges payable to the financial institutions on the payments made.

The balance of the trade payables is not derecognized from the statement of financial position because the original liability is not substantially modified on entering the arrangements as it continues to carry the characteristic of trade payables and represent liabilities to pay for goods and services.
The settlements to the financial institutions are included within operating cash flows because they continue to be part of the normal operating cycle.
Supplier financing arrangements have no impact on the Company's liquidity risk.

Note 13 - Other Payables

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Liabilities to employees and other liabilities in respect of salaries and wages	127,897	111,681
Liabilities for discounts	113,453	129,748
Advances from customers	120,061	101,170
Accrued expenses	94,082	82,316
Provision for returns	48,724	39,548
Payables in respect of transactions in derivatives	26,972	38,754
Government institutions	25,657	28,738
Payables in respect of intangibles assets	6,252	13,960
Accrued interest expenses	23,690	15,082
Other	44,958	47,794
Total	631,746	608,791

Note 14 - Long-Term Loans from Banks

A. Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Loans from banks (*)	201,700	328,672
Less - current maturities	104,500	106,972
Total	97,200	221,700

(*) Interest rate for 2025 is mainly between 2.59% - 6.45%.

B. See Note 20B for details of the Group covenants commitments.

Note 15 - Debentures

A. Linkage Base and Interest Rates:

Item:	Linkage terms	Interest rate %	Effective interest rate %	Par value NIS thousands As of December 31, 2025	Total $ thousands As of December 31, 2025
Debentures - Series B	CPI	5.15	5.15	1,715,145	765,916

Series B debentures, in amount of NIS 3,810 million par value (3,601 million par value, net of self-purchased), linked to the CPI and bear interest at the base annual rate of 5.15%.According to the debentures terms, the debenture principal is being repaid in 17 equal annual payments during the years 2020 through 2036.

On August 5, 2024, the Company's Board of Directors approved a buyback plan for the Company's debentures (Series B) in the amount of up to USD 50 million. On September 1, 2024, the Company purchased NIS 129,081 thousand par value of debentures for a total consideration of approximately USD 50 million (NIS 183 million), fully utilizing the buyback plan.

On May 26, 2025, the Company's Board of Directors approved a buyback plan for the Company's debentures (Series B) in the amount of up to USD 300 million. On May 29, 2025, the Company purchased NIS 642,448 thousand par value of debentures for a total consideration of approximately USD 268 million (NIS 942 million). The loss in respect of the debentures buyback was USD 9.5 million, and included in the financial expenses.

According to the terms of the Series B debentures, from November 30, 2020 through 2025, the Company repaid a total of NIS 1,243 million par value Series B debentures, which amounted to about $477.1 million, as payments of the debenture principal of Series B.

B. Repayment Dates:

Period:	$ thousands
First year (current maturities)	69,627
Second year	69,627
Third year	69,627
Fourth year	69,627
Fifth year and thereafter	487,408
Total	765,916

Note 16 - Other Long-Term Liabilities

Composition ($ thousands):

Item:	December 31, 2025	December 31, 2024
Lease liability	128,765	107,315
Liabilities in respect of claims	6,429	5,353
Liability in respect of tax contingencies	20,605	14,713
Long-term loan from related parties (*)	335,760	324,260
Other provisions and liabilities	47,866	41,291
Total	539,425	492,932
Less current maturities of loan from related parties (*)	335,760	-
Less current maturities of lease obligation	21,949	22,539
Total other long-term liabilities	181,716	470,393

(*) See Note 29.

Note 17 - Income Taxes

A. Details regarding the tax environment of the Group:

(1) Corporate Tax Rates:

- The tax rates in Israel relevant to the Company for 2023-2025 is 23%.
- The subsidiaries outside of Israel are assessed based on the tax laws in the country of their residence.

(2) Benefits in Israel under the Law for the Encouragement of Capital Investments:

Since 2013, the Israeli enterprises are taxed under the “Preferred Enterprise” regime. The benefits include a grants track for enterprises located on Area A. The tax rate on preferred income as from 2017 tax year is 7.5% for Development Area A and 16% for the rest of the country.

As of 2017, the law includes new tax benefit tracks for a “Preferred Technological Enterprise” and a “Special Preferred Technological Enterprise” which award reduced tax rates to a technological industrial enterprise for the purpose of encouraging activity relating to the development of qualifying intangible assets.

The benefits will be awarded to a “preferred company” that has a “Preferred Technological Enterprise” or a “Special Preferred Technological Enterprise” with respect to taxable “preferred technological income” per its definition in the Encouragement Law. Regulations that provide a nexus formula for allocating eligible profits govern these regimes.

Income of a Special Preferred Technological Enterprise will be subject to a reduced corporate tax rate of 6% regardless of the development area in which the enterprise is located.

Note 17 - Income Taxes (Cont'd)

A. Details regarding the tax environment of the Group (Cont'd):

(3) Benefits Under the Law for the Encouragement of Industry (Taxes), 1969:

Under the Israeli Law for the Encouragement of Industry (Taxes) 1969, the Company is an Industrial Holding Company and some of its subsidiaries in Israel are “Industrial Companies”. The main benefit under this law is the filing of consolidated income tax returns (the Company files a consolidated income tax return with Adama Makhteshim and commencing 2017, also with Adama Agan), amortization of know-how over 8 years and higher depreciation rates.

(4) Pillar Two - Income taxes:

The Group is closely monitoring the legislative developments in each jurisdiction in which it operates, including the OECD initiatives for the avoidance of base erosion and profit shifting (“BEPS”). The OECD has published Global Anti-Base Erosion Model Rules, which include a minimum 15% tax rate by jurisdiction ("Pillar Two"). The Group is within the scope of the OECD Pillar Two model rules.

IAS 12 has been amended to clarify that the standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the OECD. The group adopted the IAS 12 amendments upon their release.The Company applies the mandatory exception to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

Various countries intend to enact or have enacted tax legislation to either fully or partially comply with Pillar Two, from January 1, 2024. China has not implemented any part of Pillar 2 as of December 31, 2025 and does not expect to implement the Pillar 2 rules with effect before January 1, 2027. Israel partially implemented the Pillar 2 rules with effect from January 1, 2026.

The Group operates as a sub-group within the SinoChem Holdings Corporation Ltd. China-owned structure. Accordingly, SinoChem Holdings, the Group’s ultimate controlling shareholder,has evaluated the Transitional Safe Harbor rules, as well as the potential exposure for top-up tax within the entire SinoChem Holdings structure and for the Group specifically.

While the ultimate parent company's global OECD Pillar Two analysis remains in progress and global interpretation and implementation of these rules continue to evolve, the comprehensive analysis conducted by the ultimate parent entity to date has indicated that there is no material Pillar 2 liability allocation to the Group.

Note 17 - Income Taxes (Cont'd)

B. Deferred Tax Assets and Liabilities:

(1) Deferred tax assets and liabilities recognized:

Deferred taxes are calculated at the tax rate expected to be in effect on the date of the reversal, as stated above. Deferred taxes for subsidiaries operating outside of Israel were calculated according to the relevant tax rates in each country.

The deferred tax asset balance for tax loss carry forwards is from different subsidiaries in the group, mainly in Brazil. Deferred tax assets were recognized since there is an expectation of future taxable income against which it will be possible to offset the tax loss carry forwards not yet utilized or in the amount of the tax reserves.

According to the existing tax laws in the countries in which deferred taxes were recognized, there is no time limit on the utilization of deductible temporary differences. However, Brazil does limit the amount of tax loss carry forwards that may be offset every year (30% of annual taxable income).

The main supporting evidence used by the Company for the purpose of recognizing a tax asset is based on the characteristics of the industry in which the company operates, including: the agrochemicals industry is characterized by stability and the agrochemicals are a key factor to make world's needed food production possible.Further, tax assets can be supported by the Group's transfer pricing model, where, per OECD Transfer Pricing Guidelines, Group companies may recognize an arm's-length routine and often guaranteed return based on an analysis of each company's functions, assets and risks (FAR).

The movement in deferred tax assets and liabilities is attributed to the following items ($ thousands):

Item:	Fixed assets and intangible assets	Employee benefits	Tax loss carry forwards	Inventories	Trade receivable	Other	Total
Deferred tax assets (liability) at January 1, 2024	(103,374)	18,682	99,626	85,288	26,647	50,793	177,662
Changes recognized in the statement of income	13,763	917	(25,752)	(26,116)	315	(469)	(37,342)
Changes recognized in other comprehensive income	(125)	415	(411)	30	-	(1,599)	(1,690)
Deferred tax assets (liability) at December 31, 2024	(89,736)	20,014	73,463	59,202	26,962	48,725	138,630
Changes recognized in the statement of income	(12,374)	89	(9,739)	20,343	2,267	9,708	10,294
Changes recognized in other comprehensive income	825	113	755	23	(92)	(525)	1,099
Deferred tax assets (liability) at December 31, 2025	(101,285)	20,216	64,479	79,568	29,137	57,908	150,023

Note 17 - Income Taxes (Cont'd)

B. Deferred Tax Assets and Liabilities (Cont'd):

(1) Deferred tax assets and liabilities recognized (Cont'd) ($ thousands) :

Item:	December 31, 2025	December 31, 2024
Presented in:		
Deferred tax assets	171,383	166,707
Deferred tax liabilities	(21,360)	(28,077)
Total	150,023	138,630

(2) Unrecognized deferred tax assets ($ thousands):

Item:	December 31, 2025	December 31, 2024
Tax losses for which deferred tax assets were not recognized	690,151	597,692

Deferred tax assets were recognized only to the extent that it is probable that foreseeable future taxable profit will be available against which the Group can utilize.

C. Components of income taxes expenses (income) ($ thousands):

	For the year ended December 31,		
Item:	2025	2024	2023
Current tax expenses (income):			
Current year	58,033	58,346	56,760
Adjustments for previous years, net	(32)	4,193	6,324
Total current tax expenses	58,001	62,539	63,084
Deferred tax expenses (income):			
Creation and reversal of temporary differences	(10,294)	37,312	(52,037)
Change in the tax rate	-	30	(20)
Total deferred tax expenses (income)	(10,294)	37,342	(52,057)
Total income taxes expenses	47,707	99,881	11,027

Note 17 - Income Taxes (Cont'd)

D. Reconciliation Between the Theoretical Tax and the Tax Expense:

Following is reconciliation between the theoretical tax and the tax expense included in the statement of income ($ thousands):

	For the year ended December 31,		
Item:	**2025**	**2024**	**2023**
Profit before taxes on income (loss)	(92,661)	(306,675)	(230,974)
Company's statutory tax rate	23%	23%	23%
Tax calculated according to statutory tax rate	(21,312)	(70,535)	(53,124)
Tax benefits from Approved Enterprises	(857)	(967)	(984)
Difference between measurement basis of income for financial statement and for tax purposes	(9,611)	23,305	1,302
Taxable income (loss) and temporary differences at other tax rate	(10,895)	65,817	23,288
Taxes in respect of prior years	(32)	4,193	6,324
Temporary differences and losses in the current year for which deferred taxes were not created	21,648	50,766	23,851
Utilization of tax losses from prior years for which deferred taxes were not created	(756)	(414)	(734)
Creation/ reversal of deferred taxes regarding losses carry forward and temporary differences from previous years	13,356	12,232	517
Non-deductible expenses and other, net differences	56,622	15,840	10,886
Neutralization of tax calculated in respect of the Company's share in results of equity accounted investees	(456)	(386)	(279)
Effect of change in tax rate in respect of deferred taxes	-	30	(20)
Total income taxes	47,707	99,881	11,027
Effective tax rate	(51.5%)	(32.6%)	(4.77%)

Note 17 - Income Taxes (Cont'd)

E. Income Taxes in Respect of Other Comprehensive Income ($ thousands):

Item:	Before tax	Tax benefit (expense)	Net of tax
For the year ended December 31, 2025:			
Effective portion of changes in fair value of cash flow hedges	(9,589)	2,136	(7,453)
Net changes in fair value of cash flow hedges transferred to the statement of income	7,302	(1,818)	5,484
Re-measurement of defined benefit plan	(230)	83	(147)
Total for the year ended December 31, 2025	(2,517)	401	(2,116)
For the year ended December 31, 2024:			
Effective portion of changes in fair value of cash flow hedges	7,564	(941)	6,623
Net changes in fair value of cash flow hedges transferred to the statement of income	(3,593)	434	(3,159)
Re-measurement of defined benefit plan	1,549	(96)	1,453
Total for the year ended December 31, 2024	5,520	(603)	4,917
For the year ended December 31, 2023:			
Effective portion of changes in fair value of cash flow hedges	(2,916)	277	(2,639)
Net changes in fair value of cash flow hedges transferred to the statement of income	9,342	(995)	8,347
Re-measurement of defined benefit plan	1,831	(151)	1,680
Total for the year ended December 31, 2023	8,257	(869)	7,388

F. Final Tax Assessments:

Final tax assessments - Adama Agan, Adama Makhteshim and the Company up to and including the year ended 2020.

G. Carry Forward Tax Losses and Deductions for which deferred tax asset was recognised:

The amount of the carryforward tax losses that can be utilize as at the reporting date is $1,063 million.

The Group has recognized a deferred tax asset of approximately $64 million with respect of carryforward unutilized tax losses, based on management's assessment that it is probable that these losses will be utilize in future years.

H. Additional Information:

Tax demands in an immaterial amount were filed against the Company. The Group did not record a provision for tax demands, as it estimates the chances of acceptance thereof are lower than those of their rejection.

Note 18 - Employee Benefits

Employee benefits include post-employment benefits, other long-term benefits, short-term benefits, termination benefits and share-based payments. Likewise, the Company has a defined contribution plan for some of its employees, which is subject to Section 14 of the Israeli Severance Pay Law, 1963.

Severance pay and retirement grants in Israel:

The Company and its subsidiaries in Israel make regular deposits with "Nativ" (the Pension Fund of the Workers and Employees of the Histadrut Ltd.) and insurance companies, conferring pension rights or severance pay upon reaching retirement age. Amounts deposited in the pension fund are not included in the consolidated statements of financial position because they are not managed or controlled by the companies.

Employees dismissed before reaching retirement age, to which Section 14 of the Severance Pay Law does not apply, will be eligible for severance benefits, calculated on the base of their most recent salary. In cases where the amounts accumulated in the pension fund are not sufficient to cover the calculated severance benefits, the companies will cover the deficit.

In addition to the above-mentioned pension rights, most employees are entitled to receive retirement grants at the rate of 2.33% of their salary at retirement age. The accrual in the statement of financial position covers the companies' obligations to pay retirement grants as mentioned above, as well as the full projected liability to pay severance benefits to some of their employees for the period prior to the date on which these employees joined the pension plan, during which period no deposits had been made in the fund in the name of the employee.

Early retirement pension:

The financial statements include a liability for payment of pension benefits to a number of employees whose employment was terminated before they reached retirement age. The liability was calculated on an actuarial basis considering the period from the date their employment was terminated until the date stipulated in the agreement, on the base of the present value of the pension payments.

Employee Benefits (*) ($ thousands):

Item:	December 31, 2025	December 31, 2024
Present value of unfunded obligations	32,333	28,333
Present value of funded obligations	23,699	20,493
Total present value of obligations	56,032	48,826
Less - fair value of plan's assets	(9,070)	(7,538)
Total recognized liability for defined benefit plan, net	46,962	41,288
Liability in respect of early retirement	9,640	10,788
Liability for other short-term benefits	32,850	32,526
Liability for other long-term benefits	9,126	12,280
Total employee benefits, net	98,578	96,882
Presented as part of the following items:		
Other payables	36,337	36,086
Long-term employees benefits	62,241	60,796
Total	98,578	96,882

Liabilities in respect of salaries, accompanying benefits and bonuses are included in other payables. Liabilities in respect of long-term bonuses and cash plan to employees based on performance are included in Long-term and Short-term employee benefits.

(*) Not including share-based payments, see Note 21D.

Note 18 - Employee Benefits (Cont'd)

Post-employment benefit plans - defined benefit plan:

A. Movement in the Net Liability and Assets, Net in Respect of Defined Benefit Plans and Their Components ($ thousands):

Item:	Defined benefit obligation 2025	Defined benefit obligation 2024	Fair value of plan assets 2025	Fair value of plan assets 2024	Total 2025	Total 2024
Balance as of January 1	48,826	55,374	7,538	8,455	41,288	46,919
Expense/income recognized in profit and loss:						
Current service cost	2,578	3,642	-	-	2,578	3,642
Gain or loss on plan settlement	-	(1,048)	-	-	-	(1,048)
Interest costs	2,381	2,303	381	359	2,000	1,944
Changes in exchange rates and others	6,365	(498)	1,045	(43)	5,320	(455)
Included in other comprehensive income:						
Actuarial losses (gains) from changes in the demographic assumptions	372	(247)	-	-	372	(247)
Actuarial losses (gains) from changes in the financial assumptions	1,061	1,502	-	-	1,061	1,502
Other actuarial losses (gains)	(917)	(2,673)	254	109	(1,171)	(2,782)
Actual return less interest income	335	162	367	248	(32)	(86)
Foreign currency translation differences in respect of foreign operations	101	(76)	(40)	(2)	141	(74)
Additional movements:						
Benefits paid	(5,070)	(9,615)	(1,150)	(1,897)	(3,920)	(7,718)
Contributions paid by the Group	-	-	675	309	(675)	(309)
Balance as of December 31	56,032	48,826	9,070	7,538	46,962	41,288

Note 18 - Employee Benefits (Cont'd)

Post-employment benefit plans - defined benefit plan (Cont'd)

B. Actuarial Assumptions and Sensitivity Analysis:

The principal actuarial assumptions at the reporting date (weighted average) (%):

Item:	For the year ended December 31, 2025	2024	2023
Discount rate on December 31	3.0	2.8	2.7

The future mortality rate assumptions are based on published statistical data and acceptable mortality rates.

Possible reasonable changes in the discount rate, as of the date of the report assuming the other assumptions remain unchanged, would have affected the defined benefit obligation as follows:

As of December 31, 2025 ($ thousands):

Item:	Increase of 1%	Decrease of 1%
Change in defined benefit obligation	(3,650)	4,309

As of December 31, 2024 ($ thousands):

Item:	Increase of 1%	Decrease of 1%
Change in defined benefit obligation	(3,253)	3,793

C. Impact of the Plan on the Group's Future Cash Flows:

The Company's estimation for expected deposit to defined benefit plan in 2026 is $366 thousand.

D. Post-Employment Benefit Plans - Defined Contribution Plans:

For the year ended December 31 ($ thousands):

Item:	2025	2024	2023
Amount recognized as an expense in respect of defined contribution plan	6,126	5,939	6,201

Note 19 - Commitments and Contingent Liabilities

A. Commitments:

(1) As of December 31, 2020 and each year thereafter, following the Company's Remuneration Committee's approval, the Company engaged in an annual Directors and Officers liability insurance policy for a one-year term, which the last term thereof ended December 21, 2023, under which the liability of directors and officers of the Company and its subsidiaries in Israel and abroad, as may be from time to time (including directors and officers who may be considered as controlling shareholders), will be insured.

On December 18, 2023, (following the approval of the Board of Directors and the approval of the Remuneration Committee and the Audit Committee) the Company's General Meeting of the shareholders resolved to approve as a framework decision, the Company's engagement in annual directors and officers' liability insurance policies for directors and officers. The insurance coverage includes a joint layer with Syngenta, after the Company was added to the Syngenta D&O insurance policy, which provides shared coverage of up to $175 million per each insurance occurrence and in the aggregate for the insurance period, and a separate layer that covers the Group alone for up to $10 million per each insurance occurrence and in the aggregate for the insurance period. The current term of both the shared and separate coverage layers ends April 30, 2026.

The above insurance provides coverage for the liability of directors and officers of the Company and its subsidiaries in Israel and abroad, as may be from time to time (including directors and officers who may be considered as controlling shareholders).

The terms of the policy adhere to the terms of the framework resolution and of the Company's Remuneration Policy.

(2) Following approvals by the General Meeting of the shareholders of the Company, the first being on October 8, 2007 the Company granted letters of indemnity and exemption to Company officers (including officers who may be considered as controlling shareholders). Accordingly, such letters of indemnity were amended, from time to time, in order to comply with relevant legislation amendments.

(3) For details regarding undertakings of the Company and its subsidiaries as part of a securitization agreement - see Note 4.

(4) For details regarding undertakings with related and interested parties, see Note 29.

B. Contingent Liabilities:

In accordance with the Israeli Law for the Encouragement of Capital Investments, 1959, certain Company's subsidiaries received grants from the State of Israel in respect of investments in fixed assets made as part of plant expansion plans, approved by the Investment Center. Receipt of the grants is conditional upon fulfilment of the conditions of the Letter of Approval which include, among others, export at certain rates. If the companies do not comply with the required conditions, they will be required to repay the grant amounts, together with interest from the date of their receipt. The managements of these subsidiaries are of the opinion that these are in compliance with the conditions of the approvals. See also note 9D.

Note 19 - Commitments and Contingent Liabilities (Cont'd)

C. Environmental Protection:

(1) The manufacturing processes of the Company, and the products it produces and markets, entail environmental risks that impact the environment. The Company invests substantial resources in order to comply with the applicable environmental laws and attempts to prevent or minimize the environmental risks that could occur as a result of its activities. To the best of the Company's knowledge, at the reporting date, none of its applicable permits and licenses with respect to environmental issues have been revoked. The Company has insurance coverage for sudden, unexpected environmental contamination in Israel and abroad. The Company estimates, based on the opinion of its insurance consultants, that the scope of its insurance coverage for said events is adequate.

(2) The Company's plants in Israel conduct various soil surveys, risk surveys and remediation activities regarding the treatment of soil or ground water at the plants, in accordance with the instructions of the Ministry of Environmental Protection and the Water Authority (see Note 9B).

D. Claims Against Subsidiaries:

In the ordinary course of business, legal claims were filed against subsidiaries, including claims for patent infringement. The Company, inter alia, like other companies operating in the crop protection market, is exposed to class actions for large amounts, which it must defend against while incurring considerable costs, even if these claims have no basis in the first place. In the opinion of the Company's management, which is based, inter alia, on the opinions of its legal advisors regarding the prospects of the proceedings, the financial statements include adequate provisions where necessary to cover the exposure resulting from the claims.

(1) On October 20, 2020, a claim and a motion for its approval as a class action (the "Motion") was filed against Monsanto Company and Bayer AG (the "Manufacturers") as well as against ADAMA Agan, a wholly-owned subsidiary of the Company, with respect to an herbicide bearing the brand name Roundup, which is produced by the Manufacturers and distributed in Israel in small quantities by the subsidiary. The applicants argue that the product allegedly poses a risk to users or those who have been exposed to it. On August 7, 2025, the court rendered a first-instance judgment dismissing the Motion. On November 9, 2025, an appeal was submitted to the Supreme Court. According to the Company's external counsels, given the preliminary stages of the appeal, it is too early to assess the chances of the appeal, and the Motion, to be accepted.

As the Company is an authorized distributor of the Manufactures, the Manufactures undertook to fully indemnify, defend and hold harmless ADAMA Agan, for any monetary compensation or any other remedy it will have to make in connection with the Motion. Therefore, and based on the opinion of the Company's external counsels, as of the date of the financial statements, it is the Company's estimation, that the appeal (and the Motion), insofar accepted, is not expected to have any non-negligible effect on the Company's financial results.

Note 19 - Commitments and Contingent Liabilities (Cont'd)

D. Claims Against Subsidiaries (Cont'd)

(2) In June 2021, a lawsuit was filed against a subsidiary of the Company, alleging two patents owned by a large competitor of the Company have been infringed by such subsidiary. Among the claims, the plaintiff seeks preliminary and permanent injunctions to prevent the subsidiary from manufacturing, using or commercializing any product that infringes the plaintiff's patents, and seeks actual damages and profits loss. The said preliminary injunctions were granted by the court in favor of the plaintiff.

The subsidiary has filed appeals against such preliminary injunctions, which were rejected.

Prior to such claims, the subsidiary filed lawsuits seeking declarations that the said patents are invalid and not infringed. These proceedings remain pending. In May 2023, the same competitor filed an additional lawsuit alleging infringement of the same two patents by a different product and sought a preliminary injunction. The injunction was rejected at first instance, upheld on appeal, and finally dismissed by the superior court - a decision that is now final and unappealable.

All these lawsuits are pending as of the approval date of the financial statements. At this stage, the claims filed by the plaintiff are not expected to have a material effect on the Company.

Certain claims relating to alleged product liability damages were issued to a Company's subsidiary. During 2024 and 2025, the majority of the claims were settled.

(3) Various immaterial claims have been filed against Group companies in courts throughout the world, in immaterial amounts, for causes of action primarily involving employee-employer relations and various civil claims, for which the Company did not record a provision in the financial statements. The claims that in the estimation of Company's management, based on its legal advisors' opinion, have lower chances of succeeding than being rejected, amount to a negligible amount. Furthermore, claims were filed against the Company for product liability damages, for which the Company has adequate insurance coverage, such that the Company's exposure in respect thereof is limited to the deductible amount or the amount thereof does not exceed the deductible amount.

Note 20 - Liens and Financial Covenants

A. Liabilities to Banks Secured by Liens:

The Company and its subsidiaries have made commitments to banks not to register liens on their assets in favor of other parties, except for creation of floating liens in unlimited amounts on all of their assets related to receipt of investment grants (to secure fulfilment of the conditions of investment grants received,and except for liens within the scope of the securitization agreement - see Note 4.

B. The main financial covenants included in the financing agreements as of December 31, 2025, are as follows:

(1) The ratio of the interest-bearing financial liabilities (net debt) to the Company's equity shall not exceed 1.25. As of December 31, 2025 the ratio was 0.5.

(2) The ratio between the Company's interest-bearing financial liabilities (net debt) and the EBITDA for 12 months will not exceed 4. As of December 31, 2025, this ratio was 1.9.

(3) The Company's equity will be no less than $1.22 billion. As of December 31, 2025 the Company's equity amounted to $1,656 million.

(4) The financing documents of one of the banks further require that the retained earnings, according to the financial statements on every date, shall be no less than $700 million. As of December 31, 2025, the retained earnings were $1,263 million.

C. **(1)** Pursuant to agreements the Company reached with the bank with which it signed the securitization agreement and with the banks to which the Company is required to maintain financial covenants by virtue of the financing agreements, the balance of the debt under the securitization agreement is not included as part of the financial liabilities for purposes of examining the financial covenants.

(2) The financing agreements also include sections providing that a transfer of control (as this term is defined in the relevant financing agreements), in the Company and/or in the subsidiaries Adama Makhteshim and Adama Agan that is made without obtaining the advance written consent of the relevant banks, will constitute grounds for calling the full amount of the relevant liabilities for immediate repayment.

Note 20 - Liens and Financial Covenants (Cont'd)

D. The securitization agreement of trade receivables of the Company and its subsidiaries (as described in Note 4B) include the Company's commitment to maintain financial ratios, of which the key commitments are below:

(1) The ratio between the Company's interest-bearing financial liabilities (net debt) and its equity will not exceed 1.25. As of December 31, 2025, the ratio was 0.5.

(2) The ratio between the Company's interest-bearing financial liabilities (net debt) and the EBITDA for 12 months will not exceed 4. As of December 31, 2025, this ratio was 1.9.

The securitization agreement, similar to other agreements with banks, contain Cross Default clauses, whereby the party to whom the Company has undertaken in the agreement will be allowed to demand immediate repayment of the debts under circumstances wherein an event transpires entitling another lender of the Company and/or its subsidiaries to call its debts for immediate repayment, in full or part, provided that the amount of the debts and obligations of the Company and/or subsidiaries toward that other financing parties exceeds the minimum amount as prescribed in various financing agreements.

As of December 31, 2025, the total amount of credit extended to the Company under the finance agreements with the banks which include cross-default event is $467 million.

Furthermore, as stated above, the Company has undertaken, under the terms of the letters of consent toward financing parties to comply with additional criteria which the Company believes, at the report date, do not significantly restrict the Company's activities.

At December 31, 2025, the Company was in compliance with the financial covenants prescribed by the financing banks under the terms of the financing documents, consent letters and the securitization agreement (as amended), and during the report period, complied with all the financial covenants and the limitations applicable to it prescribed in the financing documents and in the securitization agreement.

Note 21 - Equity

A. Share Capital and Premium on Shares:

Item:	**Ordinary shares 2025**	**Ordinary shares 2024**
Share capital issued and paid-up at December 31, in thousands of shares of NIS 3.12 par value	137,991	137,991
Authorized share capital, in thousands of shares	300,000	300,000

The holders of the ordinary shares have the right to receive dividends as declared from time to time and the right to vote at the Company's General Meetings based on one vote per share.

B. Translation Reserve of Foreign Operations:

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

Note 21 - Equity (Cont'd)

C. Hedging Reserve:

The hedging reserve comprises the effective portion of the net cumulative change in the fair value of cash flow hedging instruments that relate to hedged transactions that have not yet occurred.

D. Share-Based Payments:

(1) In February 2019, the Remuneration Committee and the Company's Board of Directors (as well as the General Meeting with respect to the former CEO, and an officer who also serves as a director) approved the allocation of 77,864,910 phantom warrants to officers and employees in accordance with the long-term phantom compensation plan (hereinafter - "the 2019 Plan"), out of which 75,814,897 phantom warrants were granted at the grant date of February 21, 2019. During 2019, 1,206,081 additional Phantom warrants were granted.

The warrants vest in four equal portions, with the first and second quarters vesting after two years, the third quarter after three years and the fourth quarter after four years from January 1, 2019. The warrants were exercisable, in whole or in part, in accordance with the terms of the 2019 Plan, and subject to the achievement of financial targets as determined in the plan. The warrants were exercisable until the end of 2025, at which time they expired.

The fair value of the aforesaid granted warrants was estimated using the binomial model for pricing options.

The cost of the benefit embodied in the warrants allocated, based on the fair value at the grant date, amounted to a total of approximately $ 28 million. The liability at the end of the reporting period was recorded according to the vesting period as determined in the plan, taking into account the extent of the service that the employees provided until that date and the parent company's share price at the end of the reporting period.

The parameters used to measure the fair value at the grant date are as follows:

Item:	**Data**
Stock price (RMB)	10.85
Exercise increment (RMB)	10.03/10.85
Expected volatility	43.97%
Risk-free interest rate	3.06%
Fair value as of February 21, 2019 ($ in thousands)	27,701

Following is the movement in the phantom warrant:

Item:	**Phantom warrants 2025**	**Phantom warrants 2024**
Balance as of January 1	20,290,025	29,060,009
Exercised during the year	-	-
Forfeited during the year	(20,290,025)	(8,769,984)
Total existing options in cycle as of December 31	-	20,290,025

The 2019 Plan salary income recorded in 2025 is $1,326 thousand (2024- $266 thousand). Since the warrants were expired as of December 31, 2025 the total liability of the plan as of December 31, 2025 is Zero (as of December 31, 2024 - $1,326 thousand).

Note 21 - Equity (Cont'd)

D. Share-Based Payments: (Cont'd)

(2) In September 2019, the Remuneration Committee and the Company's Board of Directors (as well as the General Meeting with respect to the former CEO, and an office holder who also serves as a director) approved the cancellation of 45,503,271 warrants allocated under the 2017 plan against the allocation of 28,258,248 warrants in accordance with the long-term phantom compensation plan (hereinafter - "The Alternative Warrants" and "The Alternative Plan"). The cancellation and allocation date was September 26, 2019. During 2019, an additional 90,130 Alternative Warrants were granted.

The Alternative Warrants vest in four equal portions, with the first quarter vesting after one year, the second quarter after two years, the third quarter after three years and the fourth quarter after four years from October 1, 2019. The Alternative Warrants will be exercisable, in whole or in part, in accordance with the terms of the Alternative Plan, and subject to the achievement of financial targets as determined in the Alternative Plan. The Alternative Warrants will be exercisable until October 1, 2026.

Upon exercise of each warrant, the offeree will be entitled to receive cash payment equal to the difference between the base price as determined at the time of the grant and the closing price of one share of the parent company - ADAMA Ltd. on the Shenzhen Stock Exchange, as at the exercise date up to the ceiling determined under the plan.

The fair value of the total granted Alternative Warrants at the allocation date was equal to the fair value of the total warrants canceled from the 2017 Plan.

The cost of the benefit embodied in the aforementioned allocated warrants, based on the fair value at the cancellation and allocation date, amounted to a total of approximately $10 million. The liability in the financial statements at the end of the reporting period was recorded at the fair value estimated using the binomial option pricing model and by the vesting period from the original grant date of the 2017 Plan to the end of the service period determined by the Alternative Plan, taking into account the extent of the service that the employees provided until that date and the parent company's share price at the end of the reporting period.

The parameters used to measure the fair value at the allocation date are as follows:

Item:	**Data**
Stock price (RMB)	9.23
Exercise increment (RMB)	9.43
Expected volatility	40.29%
Risk-free interest rate	3.14%
Fair value as of September 26, 2019 ($ in thousands)	9,733

Following is the movement in the phantom warrants of The Alternative Plan:

Item:	**Phantom warrants 2025**	**Phantom warrants 2024**
Balance as of January 1	7,404,560	11,182,003
Exercised during the year	-	-
Forfeited during the year	(3,715,017)	(3,777,443)
Total existing options in cycle as of December 31	3,689,543	7,404,560

The Alternative Plan salary income recorded in 2025 is $632 thousand (2024- $358 thousand). The total liability of the plan as of December 31, 2025 is $16 thousand (as of December 31, 2024 - $648 thousand).

Note 21 - Equity (Cont'd)

E. Buy-Back of Shares:

Following the Company's commitment under the terms of the 2011 merger agreement with China National Chemical Corporation group, such that on the closing date there will be no dormant shares in the Company's capital, on October 9, 2011, the Company's Board of Directors approved the cancellation of all 14,198,095 shares in Company capital owned by the Company.

Following cancellation of the above-mentioned treasury shares, the cost of the Company's shares that were held by the Company and a subsidiary, totaling $245,548 thousand, is presented as part of the capital reserves in the statement of changes in equity. The balance of distributable earning as of December 31, 2025 is $1,017,675 thousand.

Note 22 - Revenues

Composition ($ thousands):

	For the year ended December 31,		
Item:	**2025**	**2024**	**2023**
Sales outside of Israel	3,544,152	3,624,396	4,070,480
Sales in Israel	115,973	111,849	121,357
Total	3,660,125	3,736,245	4,191,837

See Note 31b for details of sales distribution by geographic regions.

Note 23 - Cost of Sales

Composition ($ thousands):

	For the year ended December 31,		
Item:	**2025**	**2024**	**2023**
Materials and commercial inventory	2,120,152	2,070,510	2,127,797
Other production expenses	205,348	167,006	172,845
Salaries and related expenses	142,185	134,832	142,661
Outsourcing	115,529	100,661	110,302
Depreciation	83,139	81,648	78,372
Total	2,666,353	2,554,657	2,631,977
Change in finished goods, commercial inventory and work in process	(57,688)	228,201	593,714
Total cost of sales	2,608,665	2,782,858	3,225,691

Note 24 - Selling and Marketing Expenses

Composition ($ thousands):

Item:	For the year ended December 31, 2025	2024	2023
Salaries and related expenses	245,618	264,198	256,193
Depreciation and amortization	122,612	129,521	129,503
Commissions and delivery costs	117,116	114,447	125,937
Advertising and sales promotion	39,508	41,051	48,324
Warehouse	26,013	21,666	26,039
Registration	20,077	19,321	19,963
Professional services	13,870	15,344	15,861
Insurance	10,424	13,188	15,274
Legal claims settlements	389	37,578	3,313
Compensation related to product liabilities	(25,152)	-	-
Other	57,868	58,077	59,153
Total selling and marketing expenses	628,343	714,391	699,560

Note 25 - General and Administrative Expenses

Composition ($ thousands):

Item:	For the year ended December 31, 2025	2024	2023
Salaries and related expenses	52,596	45,813	36,778
Professional services	51,542	27,291	14,369
IT system	18,447	16,885	16,789
Bad and doubtful debts	15,989	14,018	7,415
Depreciation and amortization	16,511	13,690	13,615
Insurance, tax and fees	3,754	3,786	4,649
Other	15,155	14,874	16,166
Total general and administrative expenses	173,994	136,357	109,781

Note 26 - Research and Development Expenses

Composition ($ thousands):

Item:	For the year ended December 31, 2025	2024	2023
Salaries and related expenses	25,184	24,542	26,238
Field trials	3,776	3,499	5,001
Professional services	2,714	2,894	4,472
Materials	1,038	1,300	2,238
Other	13,863	13,890	15,909
Total research and development expenses	46,575	46,125	53,858

Note 27 - Other expenses

Composition ($ thousands):

Item:	For the year ended December 31, 2025	2024	2023
Impairment of fixed assets (*)	34,905	59,416	4,205
Impairment of intangible assets	1,438	21,285	3,976
Other	10,417	8,503	10,029
Total other expenses	46,760	89,204	18,210

(*) The net book values of certain assets held by group subsidiaries exceeded their respective recoverable amounts, which were determined based on discounted cash flows expected during the estimated useful life and anticipated selling prices at the end of that period. Accordingly, the resulting loss was recognized in profit and loss.

Note 28 - Financing Expenses , Net

Composition ($ thousands):

Item:	For the year ended December 31, 2025	2024	2023
Financing Income:			
Net change in fair value of derivatives	78,856	-	35,650
Exchange rate differences, net	40,047	-	66,092
Interest income on investments from banks and others	23,100	31,134	48,756
Revaluation of put options for non-controlling interests	5,064	1,650	-
CPI income on debentures	4,178	-	-
Interest income on trade receivables	2,738	2,143	2,279
Other income	5,995	5,190	8,701
Total financing income	159,978	40,117	161,478
Financing expenses:			
Exchange rate differences, net	136,878	83,851	81,945
Interest expenses on short and long-term loans	88,334	88,006	97,727
Net change in fair value of derivatives	53,877	1,376	151,476
Interest expenses on debentures	45,893	53,513	56,329
Loss in respect of sale of trade receivables	38,283	36,814	40,024
CPI expenses on debentures	27,213	35,952	37,168
Interest on lease liabilities	8,010	5,667	4,931
Interest expenses on employment benefits	2,404	2,337	2,653
Revaluation of put options for non-controlling interests	-	-	7,356
Other expenses	17,607	20,656	10,390
Total financing expenses	418,499	328,172	489,999
Financing expenses, net	258,521	288,055	328,521

Note 29 - Transactions and Balances with Related and Interested Parties

A. Transactions with Related and Interested Parties:

Since July 2017, the Company has been directly wholly owned by ADAMA Ltd., whose shares are traded on the Shenzhen Stock Exchange. As of June 2020, ADAMA Ltd. is a member of Syngenta Group, and as of August 2021, following the combination between ChemChina and Sinochem, Syngenta Group, and subsequently ADAMA Ltd., are ultimately controlled by Sinochem Holdings Corporation Ltd.

Negligible transactions:

As determined by Regulation 41(a3)(1) of the Securities Regulations (Annual Financial Reports), 2010 (hereinafter - "the Financial Reports Regulations"), on March 10, 2009, the Company's Board of Directors first adopted guidelines and regulations updated from time to time, as detailed below, for classifying transactions of the Group with interested parties as negligible transactions. These guidelines and regulations, as shall be updated from time to time, will also function to examine the extent of the scope of disclosure in the Periodic Report and in the Prospectus (including in the Shelf Offering Reports) regarding transactions by the Company, corporations under its control and related companies with a controlling shareholder, or transactions in which a controlling shareholder has a personal interest in its approval as determined in Regulation 22 of the Securities Regulations (Immediate and Periodic Reports) 1970 ("Periodic Reports Regulations") and in Regulation 54 of the Securities Regulations (Prospectus Details and Prospectus Draft - Structure and Form), 1969 ("Prospectus Details Regulations") (the types of transactions determined by the Financial Reports Regulations, the Periodic Reports Regulations and the Prospectus Details Regulations mentioned above, hereinafter - "Interested Party Transactions"). It is hereby clarified that as per the Company's opinion, transactions made by the Company or companies in its Group with companies controlled by the Government of China that are not part of Sinochem Holdings ("SH Group"), which are made during the regular and current course of the Company's business, do not constitute transactions in which the controlling shareholder in the Company has a personal interest in, and are therefore excluded from these Regulations.

Types of transactions that might constitute negligible transactions:

During the regular course of business, the Group, especially in light of the branched out holdings structure of the Group and its varied activities, implements or may implement Interested Party Transactions, including engagements with companies under Sinochem Holdings control, as part of the business combination in China and the Company's commercial and manufacturing activities in China (mainly with ADAMA Ltd.) as well as transactions aimed to promote the Company's global commercial activity (including through engagements with Syngenta), mainly in the form of registration, marketing, sales, purchase, distribution and agency transactions of crop protection products, raw materials, active ingredients, intermediate materials, mixtures and formulations used in the Company's products production process in the field of its activity, contractual engagements with suppliers for the development, production and marketing of ingredients and products in the field of the Company's activity, supply agreements for the purchase or sale of active ingredients, intermediates, mixtures and formulations and/or end products, registration support, distribution agreements, Data Compensation agreements, information sharing agreements, Task Force agreements, as well as transactions for the grant and/or receipt of various types of services (such as logistic services, engineering planning, construction and infrastructure contracting, legal, financial and other headquarters services, marketing and advertisement engagements and professional consultancy services in the Company's field of activity), purchase or rental of goods, chattels or real estate (such as insurance products and packaging). In the majority of instances these are transactions that are not material to the Company, both in quantitative and in qualitative terms, and are usually made on the same terms as business transactions with third parties.

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Quantitative and qualitative criteria for classification of a transaction as negligible:

Accordingly, an Interested Party Transaction that is not extraordinary (according to the definition of the term in the Companies Law) will be considered negligible if it conforms to the following two part test: (1) a qualitative test - if in terms of its character, essence and effect on the Company it is not material to the Company and there are no special considerations arising from the circumstances of the matter that attest to the material nature of the transaction; (2) a quantitative test - (a) for the purposes of immediate reporting: the amount of each individual transaction shall not exceed 0.1% of the Company's consolidated shareholders equity according to its latest financial statements, and in respect of continuing transactions- the transaction shall be examined according to the annual transaction amount or the total transaction amount for the entire period of the engagement, whichever is lower; (b) for the purpose of periodic reports - if the total amount of transactions of the same type (in annual terms) ("transactions aggregate") is less than 0.5% of the Company's shareholders equity according to its latest financial statements (for the avoidance of doubt, the aggregate of transactions for purchasing/selling products, raw materials, active ingredients and formulations will be examined per each supplier/client individually).

With respect to multi-year transactions, the amount of the transaction for purposes of evaluating negligibility will be calculated on an annual basis.

It should be noted that even if the Interested Party Transaction conforms to the quantitative test above, such transaction will not be considered negligible if qualitative considerations attest to its material nature, whether due to its effect on the Company or due to the importance of its disclosure to the investing public.

For the purpose of periodic reports, financial reports and prospectus (including shelf offering reports), the negligibility of the aggregate of transactions will be examined on an annual basis (that is while combining all transactions of the interest holder of the same type, and subject to the aforementioned with regards to the method of examination of the aggregate of transactions for the purchase /sale of products, raw materials, active ingredients and formulations).

If the Company does not have available information that enables an examination of the classification of Interested Party Transactions as negligible transactions, then the cumulative total of all the transactions of that type as a negligible transaction will be deemed a negligible transaction, unless one of the following two conditions are met: (a) the transaction itself, as an individual transaction, is not negligible; or (b) the cumulative total of the transactions is material for the Company.

Separate transactions that are inter dependent, such that in effect they are part of the same transaction (for example, management of concentrated negotiations regarding the entirety of transactions), will be examined as one transaction.

The sum of the transactions classified as negligible by corporations held by the Company will be considered negligible also on the Company level. Transactions classified as negligible by corporations held by the Company will be examined according to the relevant criteria on the Company level.

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Quantitative and qualitative criteria for classification of a transaction as negligible (Cont'd):

It is hereby clarified that a transaction made not during the regular course of the Company's business, or not at market value, or that may fundamentally affect the profitability of the Company, its equity or obligations, will not be classified as a negligible transaction.

Every year, the Audit Committee survey the implementation methods by the Company of this regulation and conduct a sample examination of the transactions classified as negligible according to the regulations. During this sample examination, the Audit Committee, among other things, examine the pricing methods and other terms of the transaction, as the case may be and will check the effect of the transaction on the business status of the Company and the results of its activities. The actions of the Audit Committee according to this clause, including the said sample examination, its implementation method and the summary of its findings and conclusions will be disclosed in the Company's periodic report. The Company's Board of Directors is updated regarding the procedure and its principles as part of the financial statements' approval process.

The Company's Audit Committee examine the need to update the provisions of these regulations from time to time taking into account the Interested Party Transactions made by the Company and changes in the relevant statutes.

Based on the Company's consolidated financial statements for 2025, the incomes and expenses involved with interested party transactions, as stated, which were classified as negligible in accordance with the provisions of this procedure, amounted to approximately $12,561 and $ 5,610 thousand, respectively.

Transactions included in Section 270(4A) of the Companies Law, 1999 ("the Companies Law"):

(1) Transactions included in Section 270(4A) to the Companies Law:

(a) To facilitate the business integration and the operational merger within its framework between the Company and ADAMA Ltd., on December 28, 2017, the authorized organs of the Company first approved the engagement of the Company in services agreements, which were amended from time to time, with ADAMA Ltd. and a subsidiary thereof (hereinafter together in this section - ADAMA Ltd.) as a transaction with a controlling shareholder, whereby the Company shall provide ADAMA Ltd. the following services: (a) senior management services, to be performed by officers of the Company, to an extent of 20% of a full-time office (currently, solely the Company's CFO); (b) headquarters services, including operational, administrative, legal, commercial, finance and other services with respect to the activities of ADAMA Ltd., including due to its being a listed company; (c) a grant of a license to ADAMA Ltd. for the use of the brand "ADAMA" (hereinafter - "the Agreements").

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Transactions included in Section 270(4A) of the Companies Law: (Cont'd)

(1) Transactions included in Section 270(4A) to the Companies Law: (Cont'd)

(a) (Cont'd)

The total consideration in respect of the Agreements is not material. The initial period of the Agreements was for three years from October 1, 2017, renewing for additional periods of three years each. For the fulfilment of the business combination, the requisite organs of the Company approved the adjustment to the volume of the aforementioned officers' employment as well as the grant of indemnification for the provision of the services to ADAMA Ltd. and for double-tax exposure, should such eventuate.

(b) On December 3, 2015, the shareholders of the Company (following the approval of the Board of Directors from December 3, 2015, and the approval of the Audit Committee from December 1, 2015) approved an engagement of the Company's (indirect) subsidiary in China in a commercial collaboration agreement with several agrochemical companies controlled by CNAC (currently, ultimately controlled by Sinochem Holdings) including ADAMA Ltd. (hereinafter - "CNAC companies") under which the Company, through its subsidiary shall gradually become the exclusive distributor of formulated agrochemical products of CNAC companies in China. At the end of 2016, the above agreement was extended to include active ingredients in addition to formulated products.

(c) On February 25, 2021, the General Meeting of the shareholders of the Company (following the approval of the Company's Audit Committee and Board of Directors dated February 21, 2021 and February 22, 2021, respectively, and subsequent to the classification, for the sake of caution, of the transaction by the Audit Committee as an extraordinary transaction in which the controlling shareholder has a personal interest, as such term is defined under the Companies Law), approved the engagement of the Company in an arrangement whereby the Company will agree to delay the initial sale of certain products, subject to an arrangement with such third party.

(d) On October 27, 2021, the Board of Directors approved (following the approval of the Company's Audit Committee dated October 25, 2021) the Company, through one of its subsidiaries, entering into committed credit facilities agreements with Syngenta Group, or any of its subsidiaries, of $50 million short-term credit facility, and additional $50 million long-term credit facility, with an annual fixed interest rate of 2.7%. On December 14, 2022, the Board of Directors approved (following the approval of the Company's Audit Committee dated December 4, 2022) an increase the short-term credit facility to $350 million. The annual interest rate of the short-term credit facility is SOFR+1.8% margin. On August 28, 2023, the Board of Directors approved (following the approval of the Company's Audit Committee dated August 17, 2023) the Company, through one of its subsidiaries, entering into an additional committed credit facility agreement with Syngenta Group, or any of its subsidiaries, in the amount of RMB 2 billion (approximately $282 million) with an annual interest rate of LPR (Loan Prime Rate variable interest as controlled by People's Bank of China) - 0.65% margin.

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Transactions included in Section 270(4A) of the Companies Law: (Cont'd)

(1) Transactions included in Section 270(4A) to the Companies Law: (Cont'd)

(d) (Cont'd)

On April 25, 2024, the Board of Directors approved (following the approval of the Company's Audit Committee dated April 24, 2024) the Company, through one of its subsidiaries, entering into an uncommitted short-term annually revolving credit facility agreement with Syngenta Group, or any of its subsidiaries, in the amount of $200 million with an annual interest rate of SOFR+1.55% margin. On October 29, 2024, the Board of Directors approved (following the approval of the Company's Audit Committee dated October 27, 2024) the Company, through one of its subsidiaries, entering into a committed short-term annually revolving credit facility agreement with Syngenta Group, or any of its subsidiaries, in the amount of $400 million with an annual interest rate of SOFR+1.55% margin with a commitment fee of 0.7% on the unutilized amount, which replaced the $200 million uncommitted credit facility approved in April 2024 mentioned above.
On December 1, 2025, the Board of Directors approved (following the approval of the Company's Audit Committee dated November 27, 2025) an amendment to the short-term credit facilities, which includes: (i) an amendment to the $400 million credit facility, reducing the interest rate to up to SOFR+0.95% margin (from SOFR+1.55%) and reducing the commitment fee to 0.35% (from 0.7%) on the unutilized amount; and (ii) an amendment to the $350 million credit facility, reducing the interest rate to up to SOFR+0.95% (from SOFR+1.8%) and adding a commitment fee of 0.7% on the unutilized amount.

Subsequent to the date of the report, on March 26, 2026, the Board of Directors approved (following the approval of the Company's Audit Committee dated March 9, 2026) an amendment to the short-term credit facilities, whereby the two credit facilities (of $350 million and $400 million) will be unified into a single $750 million credit facility, with no changes to the terms (interest rate of up to SOFR+0.95% margin and a commitment fee of 0.35%).

As of December 31, 2025, the aggregate amount of credit facilities extended by Syngenta Group to the Company amounts to approximately $1,086 million, out of which approximately $260 million are unutilized.

(e) On October 27, 2021, the Board of Directors approved (following the approval of the Company's Audit Committee dated October 25, 2021) the engagement of the Company in a cost contribution agreement with Syngenta Group, whereby costs of functions performed by Syngenta Group Headquarters for the benefit of its business units (including the Company) will be allocated, directly or indirectly by means of allocation key. This engagement was extended from time to time, by the Company's requisite organs.

(f) On September 19, 2024, the Board of Directors approved, following the Audit Committee's approval on September 17, 2024, the Company's entry into a certain Active Ingredient divestment agreement with Syngenta Group. The total consideration for this transaction is not material to the Company.

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Transactions included in Section 270(4A) of the Companies Law: (Cont'd)

(1) Transactions included in Section 270(4A) to the Companies Law: (Cont'd)

(g) On December 18, 2024, the Board of Directors approved, following the approval of the Company's Audit Committee dated December 10, 2024, the following related party transaction (effective as of 2025): (1) the engagement of the Company in an agreement with ADAMA Ltd. for the sale of 100% of the shares in the Company's Chinese domiciled indirect subsidiary; (2) the engagement of the Company in distribution agreement with Syngenta Group, with respect to the Company's activity in two countries in the Asia-Pacific region; and (3) the engagement of the Company in a services agreement with ADAMA Ltd. The total consideration for this transaction is not material to the Company.

(2) Transactions not included in Sections 270(4A) of the Companies Law and that are not negligible:

(a) The Company acquired from ADAMA Ltd. and/or other companies in the SH Group raw materials and/or products on market terms and in the ordinary course of business in cumulative amounts that are not significant to the Company. Starting from the second half of 2016, the Company purchases raw materials and/or products under a supply agreement for export that was approved for 5 years, thereafter renewing each year for additional 1 year terms, under which ADAMA Ltd. and ADAMA Anpon (Jiangsu) Ltd. (previously named: Jiangsu Anpon Electrochemical Co., Ltd.), from the SH Group (hereinafter "Anpon") will supply all the products that the Company purchases in China for export, all under market terms and in amounts which are not material for the Company. The agreement was classified by the audit committee as a non-extraordinary transaction.

In January 2018, the Company entered into an agreement with Anpon for the production and supply, lease and management of the formulation facility built by the Company in Huai'an. The engagement in the agreement was classified by the Company's Audit Committee as a non-extraordinary transaction.

(b) During 2021, the Company and Syngenta Group companies entered into various transactions such as agreements for the purchase or sale of raw materials, products and/or data, in the ordinary course of business, at market terms and in cumulative amounts that are not material to the Company. Those transactions were classified by the Company's Audit Committee as non-extraordinary transactions.

(c) Mr. Gael Hili serves as the President and Chief Executive Officer of the Company and, concurrently, as the President and Chief Executive Officer of ADAMA Ltd. Mr. Hili assumed these roles effective October 1, 2024, succeeding his predecessor, Mr. Steven Hawkins, and following the requisite organs' approvals. Pursuant to the dual appointment arrangement, ADAMA Ltd. is allocated 50% of the total aggregate employment costs incurred by the Company with respect to Mr. Hili. The same arrangement, whereby 50% of the total aggregate employment costs were allocated to ADAMA Ltd., applied to Mr. Hawkins during his tenure in these dual roles.

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

A. Transactions with Related and Interested Parties: (Cont'd)

Transactions included in Section 270(4A) of the Companies Law: (Cont'd)

(2) Transactions not included in Sections 270(4A) of the Companies Law and that are not negligible: (Cont'd)

(c) (Cont'd)

On October 28, 2025, the Board of directors approved (following the approval of the Audit Committee on October 27, 2025) the amendment to the said arrangement with ADAMA Ltd. so that effective from January 2026, ADAMA Ltd. will be charged with a service fee that is equal to 30% of the total employer cost of the Company in respect of Mr. Hili.

Provided below are details of transactions with related and interested parties ($ thousands):

	For the year ended December 31,		
Item:	**2025**	**2024**	**2023**
Interested Parties:			
Revenues	133,828	147,093	190,091
Cost of goods	441,325	404,550	397,236
Interest expenses	38,619	33,471	19,690
Equity-Accounted Investee Companies:			
Revenues	13,145	11,569	10,994

B. Benefits to Interested Parties ($ thousands):

	For the year ended December 31,		
Item:	**2025**	**2024**	**2023**
Salaries and related benefits to interested parties employed by the Group	1,670	1,123	1,450
Number of interested parties	1	2	2
Share based payments to interested parties employed by the Group	-	-	(641)
Number of interested parties	-	-	1
Fees to other directors	160	167	531
Number of directors	4	6	4

Note 29 - Transactions and Balances with Related and Interested Parties (Cont'd)

C. Balances with Related and Interested Parties ($ thousands):

Item:	December 31, 2025	December 31, 2024
Interested Parties:		
Trade and other receivables	104,938	104,312
Trade and other payables	324,972	243,813
Loans	825,760	704,260
Equity-Accounted Investee Companies:		
Trade receivables	2,143	1,836

D. Benefits to a Group of Officers and Senior Management in Israel and Abroad:

Senior executives in the Group are entitled to benefits beyond regular salaries. These benefits include annual bonuses, short and long-term incentives and social and salary-related benefits.

The benefits attributed to the key management personnel are comprised as follows ($ thousands):

	For the year ended December 31,		
Item:	2025	2024	2023
Direct salary	2,719	3,376	4,112
Post-employment benefits and others	1,457	2,016	4,437
Short-term bonuses and long-term incentives (*)	3,060	2,473	1,916
Share-based payments	(98)	(7)	(3,493)
Total	7,138	7,858	6,972

(*) The bonuses and incentive plans are based on financial targets.

Note 30 - Financial Instruments

A. General:

The Group has extensive international operations, and, therefore, it is exposed to credit risks, liquidity risks and market risks (including currency risk, interest risk and other price risk). In order to reduce the exposure to these risks, the Group uses financial derivatives instruments, including forward transactions, swaps and options (hereinafter - “derivatives”).

This note provides information as to the Group’s exposure to each of the above risks, and the Group’s objectives, policies and processes regarding the measurement and management of the risk. Additional quantitative disclosure is included throughout the consolidated financial statements.

The Board of Directors has overall responsibility for establishing and monitoring the framework of the Group's risk management policy. The Chief Financial Officer reports on a regular basis regarding these risks.

The Group’s risk management policy was established to (1) identify and analyze the risks facing the Group; (2) set appropriate controls and risk limits; (3) monitor risks and adherence to limits. The policy and methods for managing the risks are reviewed regularly, in order to reflect changes in market conditions and the Group's activities. The Group aims to develop a disciplined and constructive control environment in which all the employees understand their roles and obligations.

B. Credit Risk:

Credit risk is the risk of financial loss to the Group should a customer or counterparty to a financial instrument fail to meet its contractual obligations. Hence, credit risk derives primarily from trade receivables and other receivables as well as from cash in banks.

Transactions in derivatives are undertaken with major financial institutions in and outside of Israel and, therefore, in the opinion of Group Management the credit risk in respect thereof is low.

The Group primarily considers the following list of information in assessing changes in credit risk:

- An actual or expected significant deterioration in the financial instrument’s external (if available) or internal credit rating;
- Significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. a significant increase in the credit spread, the credit default swap prices for the debtor, or the length of time or the extent to which the fair value of a financial asset has been less than its amortized cost;
- Existing or forecasted adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor’s ability to meet its debt obligations;
- An actual or expected significant deterioration in the operating results of the debtor.

Trade and other receivables:

The Group’s revenues are derived from a large number of widely dispersed customers in many countries. Customers include multi-national companies and manufacturing companies, as well as distributors, agriculturists, agents and agrochemical manufacturers who purchase the products as finished goods or as intermediate products for their own requirements.

Note 30 - Financial Instruments (Cont'd)

B. Credit Risk: (Cont'd)

Trade and other receivables: (Cont'd)

The Company entered into an agreement for the sale of trade receivables in a securitization transaction. For details - see Note 4.

In September 2025, a two-year agreement with an international insurance company was renewed until October 1, 2027. The amount of the insurance coverage was fixed at $150 million cumulative per year. The indemnification is limited to 90% of the debt.

The Group's exposure to credit risk is influenced primarily by the personal characterization of each customer, and by the demographic characterization of the customer's base, including the risk of insolvency of the industry and geographic region in which the customer operates.

Company management has prescribed a credit policy whereby the Company performs current ongoing credit evaluations of existing and new customers, and every new customer is examined thoroughly regarding the quality of his credit before offering him the Group's customary shipping and payment terms. The examination made by the Group includes an outside credit rating, if any, and in many cases receipt of documents from an insurance company. A credit limit is prescribed for each customer, setting the maximum open amount of the trade receivable balance. These limits are examined annually. Customers that do not meet the Group's criteria for credit quality may do business with the Group based on prepayment or against furnishing of appropriate collateral.

Most of the Group's customers have been doing business with it for many years. In monitoring customer credit risk, the customers were grouped according to a characterization of their credit risk, geographical location, industry, aging of receivables, maturity, and existence of past financial difficulties. Customers defined as "high risk" are assigned to the restricted customer list and are supervised by management. In certain countries, primarily Brazil and Ukraine, customers are required to provide, against execution of their purchases, property collaterals (such as agricultural lands, equipment and crop), the value whereof is examined on an ongoing basis. In these countries, in the case of doubtful debt the Company records a provision considering the debt less the value of the collaterals provided and acts to realize the collaterals.

The Group closely monitors the economic situation in Eastern Europe and South America and, if necessary, takes steps to limit its exposure to customers in countries where there is significant economic instability.

The Group recognizes a credit loss, which reflects its assessment regarding credit risks of account receivables, other receivables and investments on a lifetime expected credit loss basis.

Cash and deposits in banks:

The Company holds cash and deposits in banks with high credit ratings. These banks are also required to comply with capital adequacy or maintenance of a level of security based on different instances.

Note 30 - Financial Instruments (Cont'd)

B. Credit Risk: (Cont'd)

Guarantees:

The Company's policy is to provide financial guarantees only to investee companies.

(1) Exposure to credit risk:

The carrying amount of financial assets represents the maximum credit exposure notwithstanding the carrying amount of security.

The maximum exposure to credit risk for trade receivables at the reporting date, according to geographic regions was as follows ($ thousands):

Item	December 31, 2025	December 31, 2024
Israel	10,583	7,753
Latin America	580,959	557,260
Europe, Africa and Middle East	229,572	266,220
North America	83,705	108,381
Asia Pacific	140,327	190,091
Total	1,045,146	1,129,705

The Group's most significant customer is an agricultural corporation that constitutes $28,600 thousand out of the total carrying value of trade receivables as of December 31, 2025 (as of December 31, 2024 - $31,719 thousand).

(2) Aging of receivables and provision for credit losses:

Presented below is the aging of trade receivables ($ thousands):

Item:	December 31, 2025	December 31, 2024
Not past due	953,884	1,009,840
Past due by less than 90 days	74,535	78,366
Past due by more than 90 days	88,227	98,694
Total	1,116,646	1,186,900

The Company measures the provision for credit losses on a collective group basis, where receivables share similar credit risk characteristics based on geographical locations. The model for assessing the expected credit losses considers aging analysis and historical loss experiences, and is adjusted by observable factors, reflecting current and expected future economic conditions.

When credit risk on a receivable has increased significantly since initial recognition, the group records specific provision or general provision, which is determined for groups of similar assets in countries in which there are large number of customers with immaterial balances.

Note 30 - Financial Instruments (Cont'd)

B. Credit Risk: (Cont'd)

(2) Aging of receivables and provision for credit losses: (Cont'd)

The movement in the provision for credit losses during the year was as follows ($ thousands):

Item:	2025	2024
Balance as of January 1	57,195	51,721
Changes during the year	16,136	14,554
Write-off of bad debts	(4,596)	(4,748)
Exchange rate differences	2,765	(4,332)
Balance as of December 31	71,500	57,195

C. Liquidity Risk:

Liquidity risk is the risk that the Group will encounter difficulty in meeting its financial obligations as they come due. The Group's approach to managing its liquidity risk is to assure, to the extent possible, an adequate degree of liquidity for meeting its obligations timeously, under regular and irregular conditions, without sustaining unwanted losses or damaging its reputation.

The cash-flow forecast is determined both at the level of the various entities as well as the consolidated level. The Company examines the current forecasts of its liquidity requirements in order to ascertain that there is sufficient cash for the operating needs, including the amounts required in order to comply with the financial liabilities, while taking strict care that at all times there will be unused credit frameworks so that the Company will not exceed the credit frameworks granted to it and the financial covenants with which it is required to comply. These forecasts take into consideration matters such as the Company’s plans to use debt for financing its activities, compliance with required financial covenants, compliance with certain liquidity ratios and compliance with external requirements such as laws and regulations.

As of December 31, 2025, the Company has unused committed credit lines from banks of approximately $530 million, and of $260 million from related parties.

The surplus cash held by the Group companies, which is not required for financing the current ongoing operations, is invested in short-term interest-bearing investment channels.

Note 30 - Financial Instruments (Cont'd)

C. Liquidity Risk: (Cont'd)

Presented below are the contractual maturities of the financial liabilities at undiscounted amounts, including estimated interest payments:

As of December 31, 2025 ($ thousands):

Item:	Carrying amount	Contractual cash flow	First year	Second year	Third year	Fourth year	Fifth year and above
Non-derivative financial liabilities:							
Short-term loans from banks and others	815,070	837,063	837,063	-	-	-	-
Trade payables	977,537	977,537	977,537	-	-	-	-
Other payables (2)	472,522	472,522	472,522	-	-	-	-
Debentures (1)	765,916	997,581	105,549	105,313	101,733	98,153	586,833
Long-term loans from banks (1)	201,700	210,925	110,182	65,009	35,734	-	-
Liability in respect of leases (1)	128,765	238,262	30,573	24,900	18,410	12,416	151,963
Other long-term liabilities (1)	359,525	373,665	342,589	3,445	3,143	2,882	21,606
Derivative financial liabilities:							
Foreign currency derivatives	25,268	25,268	25,268	-	-	-	-
CPI/shekel forward transactions	1,704	1,704	1,704	-	-	-	-
Total	3,748,007	4,134,527	2,902,987	198,667	159,020	113,451	760,402

(1) Including current maturities.
(2) Including put options to holders of non-controlling interests.

Note 30 - Financial Instruments (Cont'd)

C. Liquidity Risk: (Cont'd)

Presented below are the contractual maturities of the financial liabilities at undiscounted amounts, including estimated interest payments:

As of December 31, 2024 ($ thousands):

Item:	Carrying amount	Contractual cash flow	First year	Second year	Third year	Fourth year	Fifth year and above
Non-derivative financial liabilities:							
Credit from banks	1,795	1,835	1,835	-	-	-	-
Short-term loans from banks and others	604,301	613,781	613,781	-	-	-	-
Trade payables	835,810	835,810	835,810	-	-	-	-
Other payables (2)	504,951	504,951	504,951	-	-	-	-
Debentures (1)	959,145	1,273,904	124,922	125,000	120,891	116,781	786,310
Long-term loans from banks (1)	328,672	343,901	110,259	132,900	65,009	35,733	-
Liability in respect of leases (1)	107,315	160,647	28,994	20,403	14,438	10,349	86,463
Other long-term liabilities (2)	357,244	386,020	10,133	344,269	3,536	3,364	24,718
Derivative financial liabilities:							
Foreign currency derivatives	37,304	37,304	37,304	-	-	-	-
CPI/shekel forward transactions	1,450	1,450	1,450	-	-	-	-
Total	3,737,987	4,159,603	2,269,439	622,572	203,874	166,227	897,491

(1) Including current maturities.
(2) Including put options to holders of non-controlling interests.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks:

Market risk is the risk that changes in market prices, such as foreign exchange rates, CPI, interest rates and prices of capital instruments, will affect the Group's revenues and expenses or the value of its holdings in its financial instruments. The objective of market risk management is to manage and monitor the exposure to market risks within acceptable parameters, while optimizing the return.

During the ordinary course of business, the Group purchases and sells derivatives and assumes financial liabilities for the purpose of managing market risks. All such transactions are carried out within the guidelines set by the Finance Committee.

The Group enters into limited commodity contracts and limited barter contracts with customers, these contracts are not settled on a net basis.

(1) CPI/Linkage and foreign currency risks:

Currency risk:

The Group is exposed to currency risk from its sales, purchases, expenses and loans denominated in currencies that differ from the Group's functional currency. The main exposure is in Euro, Brazilian real and in NIS. In addition, there are smaller exposures to various currencies such as the British pound, Polish zloty, Australian dollar, Indian rupee, Argentine peso, Canadian dollar, South African rand and Ukraine hryvnia.

The Group uses foreign currency derivatives - forward transactions and currency options - in order to hedge the risk that the Dollar cash flows, which derive from existing assets and liabilities and anticipated sales and costs, may be affected by exchange rate fluctuations.

The Group hedged a part of the estimated currency exposure for projected sales and purchases during the subsequent year. Likewise, the Group hedges most of its financial balances denominated in a non-dollar currency. The Group uses foreign currency derivatives to hedge its currency risk, with maturity dates of less than one year from the reporting date.

The Company's debentures are linked to the CPI and, therefore, an increase in the CPI, as well as changes in the NIS exchange rate, could cause significant exposure with respect to the Company's functional currency - the U.S. dollar. As of the approval date of the financial statements, the Group had hedged most of its exposure deriving from issuance of the debentures in options and forward contracts.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks (Cont'd)

(A) The Group's exposure to CPI/linkage and foreign currency risk is as follows:

As of December 31, 2025 ($ thousands):

Item:	Denominated in or linked to the Dollar	In Euro	In Brazilian real	CPI-linked NIS	Unlinked NIS	Denominated in or linked to other foreign currency	Non-monetary items	Total
Assets:								
Cash and cash equivalents	123,120	60,791	20,408	-	22,630	196,469	-	423,418
Short-term investments	22,074	48	-	-	-	126	-	22,248
Trade receivables	502,891	120,921	183,783	-	13,912	317,439	-	1,138,946
Financial and other assets including derivatives (1)	131,944	6,502	13,877	76	16,201	67,527	35,240	271,367
Tax deposits less provision for taxes	12,283	5,257	4,243	524	449	20,860	-	43,616
Inventories	-	-	-	-	-	-	1,508,180	1,508,180
Long-term investments, loans and receivables	10,168	472	56,210	-	96	2,018	74,522	143,486
Deferred tax assets	-	-	-	-	-	-	171,383	171,383
Fixed assets	-	-	-	-	-	-	1,220,043	1,220,043
Intangible assets	-	-	-	-	-	-	796,281	796,281
Total assets	802,480	193,991	278,521	600	53,288	604,439	3,805,649	5,738,968

(1) Regarding the group's exposure to linkage and currency risks of financial derivatives - see Note 30D(1)(b) below.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks (Cont'd)

(A) The Group's exposure to CPI/linkage and foreign currency risk is as follows: (Cont'd)

As of December 31, 2025 ($ thousands)

Item:	Denominated in or linked to the Dollar	In Euro	In Brazilian real	CPI-linked NIS	Unlinked NIS	Denominated in or linked to other foreign currency	Non-monetary items	Total
Liabilities:								
Loans and credit from banks	795,395	-	-	-	-	19,675	-	815,070
Trade payables	642,999	80,560	29,102	-	153,290	71,586	-	977,537
Other payables (1)	156,032	58,063	34,875	5,948	90,925	164,127	121,776	631,746
Current tax liabilities	29,281	350	8,009	2,808		5,491	-	45,939
Put options to holders of non-controlling interests	16,749	5,742	-	-	-	-	-	22,491
Loans from banks (2)	201,700	-	-	-	-	-	-	201,700
Debentures (2)	-	-	-	765,916	-	-	-	765,916
Other long-term liabilities (2)	115,274	14,041	27,534	16,449	3,736	338,112	24,279	539,425
Deferred tax liabilities	-	-	-	-	-	-	21,360	21,360
Employee benefits	4,496	3,698	-	-	47,713	6,334	-	62,241
Total liabilities	1,961,926	162,454	99,520	791,121	295,664	605,325	167,415	4,083,425
Total assets (liabilities)	(1,159,446)	31,537	179,001	(790,521)	(242,376)	(886)	3,638,234	1,655,543

(1) Regarding the group's exposure to linkage and currency risks of financial derivatives - see Note 30D(1)(b) below.
(2) Including current maturities.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks (Cont'd)

(A) The Group's exposure to CPI/linkage and foreign currency risk is as follows:

As of December 31, 2024 ($ thousands):

Item:	Denominated in or linked to the Dollar	In Euro	In Brazilian real	CPI-linked NIS	Unlinked NIS	Denominated in or linked to other foreign currency	Non-monetary items	Total
Assets:								
Cash and cash equivalents	125,070	55,040	56,039	-	18,556	205,394	-	460,099
Short-term investments	10,117	13	-	-	-	131	-	10,261
Trade receivables	501,432	143,684	153,768	-	8,265	425,170	-	1,232,319
Financial and other assets including derivatives (1)	111,735	6,422	20,821	3,809	37,118	53,972	33,638	267,515
Tax deposits less provision for taxes	1,888	963	4,243	362	31	28,943	-	36,430
Inventories	-	-	-	-	-	-	1,420,571	1,420,571
Long-term investments, loans and receivables	10,729	442	51,902	-	-	8,501	43,095	114,669
Deferred tax assets	-	-	-	-	-	-	166,707	166,707
Fixed assets	-	-	-	-	-	-	1,270,536	1,270,536
Intangible assets	-	-	-	-	-	-	842,798	842,798
Total assets	760,971	206,564	286,773	4,171	63,970	722,111	3,777,345	5,821,905

(1) Regarding the group's exposure to linkage and currency risks of financial derivatives - see Note 30D(1)(b) below.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks (Cont'd)

(A) The Group's exposure to CPI/linkage and foreign currency risk is as follows: (Cont'd)

As of December 31, 2024 ($ thousands)

Item:	Denominated in or linked to the Dollar	In Euro	In Brazilian real	CPI-linked NIS	Unlinked NIS	Denominated in or linked to other foreign currency	Non-monetary items	Total
Liabilities:								
Loans and credit from banks	596,835	-	-	-	-	9,261	-	606,096
Trade payables	529,845	66,397	35,335	-	132,599	71,634	-	835,810
Other payables (1)	151,754	66,919	29,430	6,441	72,591	178,743	102,913	608,791
Current tax liabilities	22,221	2,229	7,184	2,194	-	4,389	-	38,217
Put options to holders of non-controlling interests	68,177	5,519	-	-	-	-	-	73,696
Loans from banks (2)	326,000	2,672	-	-	-	-	-	328,672
Debentures (2)	-	-	-	959,145	-	-	-	959,145
Other long-term liabilities (2)	136,261	10,889	21,611	14,509	525	294,917	14,220	492,932
Deferred tax liabilities	-	-	-	-	-	-	28,077	28,077
Employee benefits	9,784	3,316	-	-	43,620	4,076	-	60,796
Total liabilities	1,840,877	157,941	93,560	982,289	249,335	563,020	145,210	4,032,232
Total assets (liabilities)	(1,079,906)	48,623	193,213	(978,118)	(185,365)	159,091	3,632,135	1,789,673

(1) Regarding the group's exposure to linkage and currency risks of financial derivatives - see Note 30D(1)(b) below.
(2) Including current maturities.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks: (Cont'd)

(B) The exposure to CPI/linkage and foreign currency risk in respect of derivatives is as follows:

Forward foreign currency contracts and call options, December 31, 2025:

Currency/ linkage receivable	Currency/ linkage payable	Average expiration date	Par value $ thousands	Fair value $ thousands
USD	EUR	10/05/2026	403,454	(739)
USD	PLN	18/03/2026	16,367	(20)
USD	BRL	22/01/2026	171,035	346
USD	GBP	15/02/2026	20,045	(24)
USD	ZAR	09/02/2026	31,549	(1,078)
ILS	USD	09/02/2026	1,064,933	44,866
USD	OTHERS		839,368	(4,761)

CPI forward contracts, December 31, 2025:

Currency/ linkage receivable	Currency/ linkage payable	Average expiration date	Par value $ thousands	Fair value $ thousands
CPI	ILS	28/08/2026	501,567	(1,628)

Forward foreign currency contracts and call options, December 31, 2024:

Currency/ linkage receivable	Currency/ linkage payable	Average expiration date	Par value $ thousands	Fair value $ thousands
USD	EUR	03/05/2025	166,788	(16,659)
USD	PLN	03/02/2025	16,805	(127)
USD	BRL	10/02/2025	184,393	8,795
USD	GBP	12/01/2025	25,822	638
USD	ZAR	22/02/2025	28,840	1,483
ILS	USD	19/01/2025	1,157,909	31,334
USD	OTHERS		743,213	847

CPI forward contracts, December 31, 2024:

Currency/ linkage receivable	Currency/ linkage payable	Average expiration date	Par value $ thousands	Fair value $ thousands
CPI	ILS	22/06/2025	658,075	2,241

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks: (Cont'd)

(B) The exposure to CPI/linkage and foreign currency risk in respect of derivatives is as follows: (Cont'd)

Presented below are data on Consumer Price Index in Israel and significant exchange rates:

Item:	December 31, 2025	December 31, 2024	Change in 2025 %	Average 1-12, 2025	Average 1-12, 2024	Change in 2025 %
EUR/USD	1.174	1.041	12.8%	1.127	1.082	4.2%
USD/BRL	5.502	6.192	(11.1%)	5.588	5.390	3.7%
USD/PLN	3.602	4.101	(12.2%)	3.761	3.981	(5.5%)
USD/ZAR	16.611	18.762	(11.5%)	17.844	18.326	(2.4%)
AUD/USD	0.668	0.621	7.6%	0.644	0.660	(2.3%)
GBP/USD	1.345	1.254	7.2%	1.317	1.278	3.1%
USD/ILS	3.190	3.647	(12.5%)	3.453	3.701	(6.7%)
Known CPI	146.626	143.244				
CPI "in lieu"	146.626	142.848				

(C) Sensitivity analysis:

The appreciation or depreciation of the Dollar against the following currencies as of December 31, 2025 and the increase or decrease in the CPI would increase (decrease) the equity and profit or loss by the amounts presented below. This analysis assumes that all the remaining variables, among others, interest rates, remained constant. The analysis for 2024 was performed on the same basis.

December 31, 2025 ($ thousand) (*)

Item:	Decrease of 5% Equity	Decrease of 5% Profit (loss)	Increase of 5% Equity	Increase of 5%Profit (loss)
New Israeli shekel	8,873	4,106	(2,348)	674
British pound	(60)	(60)	60	60
Euro	(14,162)	871	13,946	(871)
Brazilian real	2,278	2,278	(3,120)	(3,120)
Polish zloty	1,139	1,139	(1,058)	(1,058)
South African rand	(220)	(220)	58	58
Consumer Price Index in Israel	17,456	17,456	(17,456)	(17,456)

(*) net after hedging.

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(1) CPI/linkage and foreign currency risks: (Cont'd)

(C) Sensitivity analysis: (Cont'd)

December 31, 2024 ($ thousand) (*)

Item:	Decrease of 5% Equity	Decrease of 5% Profit (loss)	Increase of 5% Equity	Increase of 5%Profit (loss)
New Israeli shekel	4,368	2,203	1,722	3,198
British pound	2,552	2,552	(2,552)	(2,552)
Euro	2,232	2,458	(2,232)	(2,458)
Brazilian real	2,768	2,768	(3,590)	(3,590)
Polish zloty	(501)	(501)	584	584
South African rand	(5)	(5)	(131)	(131)
Consumer Price Index in Israel	17,666	17,666	(17,666)	(17,666)

(*) net after hedging.

(2) Interest rate risks:

The Group has exposure to changes in the variable interest rate. The Group has different assets and liabilities in different countries which bear different interest rates. Most of the loans, other than the debentures, bear Dollar SOFR and Euro ESTER interest. As a result, most of the variable interest exposure of those loans is to the SOFR interest.

The Company prepares a quarterly summary of exposure to a change in the SOFR interest rate. As at the approval date of the financial statements, the Company did not hedge this exposure.

(a) Type of interest:

The interest rate profile of the Group's interest-bearing financial instruments was as follows:

Carrying amount ($ thousands):

Item:	December 31, 2025	December 31, 2024
Fixed-rate instruments - unlinked to the CPI:		
Financial assets	223	49
Financial liabilities	(254,985)	(376,260)
Total fixed-rate instruments - unlinked to the CPI	(254,762)	(376,211)
Fixed-rate instruments - linked to the CPI:		
Debentures (including current maturities)	(765,916)	(959,145)
Variable-rate instruments:		
Financial assets	121,030	182,036
Financial liabilities	(1,119,253)	(906,506)
Total variable-rate instruments	(998,223)	(724,470)

Note 30 - Financial Instruments (Cont'd)

D. Market Risks: (Cont'd)

(2) Interest rate risks (Cont'd)

(b) Fair value sensitivity analysis for fixed rate instruments:

The Group's fixed-interest monetary assets and liabilities are not measured at fair value through profit and loss. Therefore, a change in the interest rate as of the reporting date would not affect profit or loss, in respect of changes in their value.

E. Fair Value:

The fair value of forward contracts on foreign currency is based on their listed market price, if available. In the absence of market prices, the fair value is estimated based on the discounted difference between the stated forward price in the contract and the current forward price for the residual period until redemption, using an appropriate interest rate.

The fair value of foreign currency options is based on bank quotes. The reasonableness of the quotes is evaluated through discounting future cash flow estimates, based on the conditions and duration to maturity of each contract, using the market interest rates of a similar instrument at the measurement date and in accordance with the Black & Scholes model.

(1) Financial instruments measured at fair value for disclosure purposes only:

The carrying amount of certain financial assets and liabilities, including cash and cash equivalents, trade receivables, other receivables, other short-term investments, derivatives, bank overdrafts, short-term loans and credit, trade payables and other payables, are the same or proximate to their fair value.

The following table details the carrying amount in the books and the fair value of groups of non-current financial instruments presented in the financial statements not in accordance with their fair values ($ thousands):

Item:	December 31, 2025 Carrying amount	December 31, 2025 Fair value	December 31, 2024 Carrying amount	December 31, 2024 Fair value
Financial assets:				
Long-term loans and other receivables (a)	2,170	1,694	9,060	7,931
Financial liabilities:				
Long-term loans and other receivables (b)	689,973	675,082	787,010	746,657
Debentures (c)	765,916	839,668	959,145	1,009,059

Note 30 - Financial Instruments (Cont'd)

E. Fair Value: (Cont'd)

(1) Financial instruments measured at fair value for disclosure purposes only: (cont'd)

(a) The fair value of the long-term loans granted is based on a calculation of the present value of cash flows, using the acceptable interest rate for similar loans having similar characteristics (Level 2).

(b) The fair value of the long-term liabilities is based on a calculation of the present value of cash flows, using the acceptable interest rate for similar loans having similar characteristics (Level 2).

(c) The fair value of the debentures is based on stock exchange quotes (Level 1).

(2) The interest rates used in determining fair value

The interest rates used to discount the estimate of anticipated cash flows are:

Item:	**December 31, 2025 (%)**	**December 31, 2024 (%)**
U.S. dollar interest	6.01-7.80	8.03-8.82
CNY interest	3.27-3.30	3.82-4.04

(3) Fair value hierarchy of financial instruments measured at fair value ($ thousands): (Cont'd)

The table below presents an analysis of financial instruments measured at fair value, measured by valuation method. The various levels have been defined as follows:

- Level 1: quoted prices (unadjusted) in an active market for identical instrument.
- Level 2: inputs other than quoted prices included within Level 1 that are observable, either directly or indirectly.
- Level 3: inputs that are not based on observable market data (unobservable inputs).

The Company’s financial instruments that are carried at fair value, are evaluated by observable inputs and therefore are concurrent with the definition of level 2.

Note 30 - Financial Instruments (Cont'd)

E. Fair Value: (Cont'd)

(3) Fair value hierarchy of financial instruments measured at fair value ($ thousands): (Cont'd)

Item:	December 31, 2025	December 31, 2024
Derivatives used for hedging the cash flow:		
Forward contracts and options	1,598	3,885
Derivatives used for economic hedging:		
Forward contracts and options	35,364	24,667
Investments:		
Short term investments	174	144
Long term investments	14,696	19,124

Financial Instrument	Fair value
Forward contracts	Fair value measured on the basis of discounting the difference between the forward price in the contract and the current forward price for the residual period until redemption using market interest rates appropriate for similar instruments.
Foreign currency options	The fair value is measured based on the Black&Scholes model.

Note 31 - Operating Segments

A. Products and Services:

The Company presents its segment reporting in a format based on a breakdown by business segments:

Crop Protection:

This is the main area of the Company's operations and includes the development, manufacture and commercialization of crop protection products.

Intermediates and ingredients:

This field of activity includes a large number of sub-fields, including Lycopene (an oxidization retardant), food additives and synthetic aromatic products, and other intermediate materials for other industries. It combines all the Company's activities not included in the crop protection segment.

Segment results reported to the chief operating decision maker include items directly attributable to a segment as well as items that can be allocated on a reasonable basis. Unallocated items primarily comprise financing expenses, net.

Note 31 - Operating Segments (Cont'd)

A. Products and Services: (Cont'd)

Information regarding the results of each reportable segment is included below:

For the year ended December 31, 2025 ($ thousands):

Item:	Crop protection	Intermediates and ingredients	Reconciliations	Consolidated
Statement of income information:				
Revenues:				
External revenues	3,492,318	167,807	-	3,660,125
Inter-segment revenues	-	203	(203)	-
Total revenues	3,492,318	168,010	(203)	3,660,125
Material items of expense:				
Cost of sales	2,482,018	126,647	-	2,608,665
Selling and marketing	608,547	19,796	-	628,343
Results:				
Segment's results	156,199	8,312	-	164,511
Financing expenses, net				(258,521)
Share of income of equity-accounted investee companies, net				1,349
Inocome taxes				(47,707)
Net loss for the year attributable to the owners of the Company				(140,368)

For the year ended December 31, 2024 ($ thousands):

Item:	Crop protection	Intermediates and ingredients	Reconciliations	Consolidated
Statement of income information:				
Revenues:				
External revenues	3,559,337	176,908	-	3,736,245
Inter-segment revenues	-	188	(188)	-
Total revenues	3,559,337	177,096	(188)	3,736,245
Material items of expense:				
Cost of sales	2,645,332	137,526	-	2,782,858
Selling and marketing	693,807	20,584	-	714,391
Results:				
Segment's results	(25,670)	5,898	-	(19,772)
Financing expenses, net				(288,055)
Share of income of equity-accounted investee companies, net				1,152
Income taxes				(99,881)
Net loss for the year attributable to the owners of the Company				(406,556)

Note 31 - Operating Segments (Cont'd)

A. Products and Services: (Cont'd)

For the year ended December 31, 2023 ($ thousands):

Item:	Crop protection	Intermediates and ingredients	Reconciliations	Consolidated
Statement of income information:				
Revenues:				
External revenues	4,011,392	180,445	-	4,191,837
Inter-segment revenues	-	164	(164)	-
Total revenues	4,011,392	180,609	(164)	4,191,837
Material items of expense:				
Cost of sales	3,084,771	140,920	-	3,225,691
Selling and marketing	679,065	20,495	-	699,560
Results:				
Segment's results	89,263	7,376	-	96,639
Financing expenses, net				(328,521)
Share of income of equity-accounted investee companies, net				908
Income taxes				(11,027)
Net loss for the year attributable to the owners of the Company				(242,001)

B. Sales Distribution by Geographic Regions

Below is a breakdown of sales by geographical segments based on location of customers (sales target) ($ thousands).

Item:	For the year ended December 31, 2025	2024*	2023*
Europe, Africa & Middle East	1,006,175	1,041,444	1,152,565
Asia Pacific	597,985	705,073	813,906
Latin America	1,006,375	1,035,512	1,291,757
North America	933,549	841,488	813,013
Israel	116,041	112,728	120,596
Total	3,660,125	3,736,245	4,191,837

* As of 2025, South Africa is included in the Europe, Africa & Middle East region (EAME). The information for 2024 and 2023 was re-classified accordingly.

Note 32 - Investments in Investees

Additional details in respect of subsidiaries directly held by the Company:

December 31, 2025 ($ thousands):

Item:	Country of association	Company equity rights	Loans to investees	Investments
Adama Makhteshim Ltd.	Israel	100	303,000	717,164
Adama Agan Ltd.	Israel	100	314,747	704,160
Lycored Ltd.	Israel	100	-	112,038
Total			614,747	1,533,362

December 31, 2024 ($ thousands):

Item:	Country of association	Company equity rights	Loans to investees	Investments
Adama Makhteshim Ltd.	Israel	100	450,000	852,421
Adama Agan Ltd.	Israel	100	461,747	713,206
Lycored Ltd.	Israel	100	-	122,160
Total			911,747	1,687,787

The Company's guarantee of the liabilities to the banks of Subsidiaries is unlimited.

The balance of subsidiaries' liabilities to banks as of reporting date for which the Company is guarantor is $612 million.

Adama Agricultural Solutions Ltd.

Appendix to the Financial Statements - Schedule of Investee Companies

	Holding company/companies	Investee company	Control rate and ownership of holding company/ companies %
A.	**Domestic Consolidated Subsidiaries**		
	Adama Agricultural Solutions Ltd.	Adama Makhteshim Ltd. (hereinafter - Makhteshim)	100
		Adama Agan Ltd. (hereinafter - Agan)	100
		Lycored Ltd.	100
	Agan	Agan Aroma and Fine Chemicals Ltd.	100
	Lycored Ltd.	Lycored Bio Ltd.	100
		Dalidar Pharma Israel (1995) Ltd.	100
B.	**Foreign Consolidated ubsidiaries**		
	Makhteshim (99.99%) and Agan (0.01%)	Adama Celsius B.V. (hereinafter - Celsius)	100
	Agan (99.99%) and Makhteshim (0.01%)	Adama Fahrenheit B.V. (hereinafter - Fahrenheit)	100
	Lycored Ltd.	Lycored Sarl	100
		Lycored Corp. (USA)	100
		VN Biotech Limited	100
	VN Biotech Limited	Lycored Ukraine LLC	100
	Makhteshim (50%) and Agan (50%)	Adama Agriculture B.V.	100
	Celsius	Adama Irvita N.V.	100
		Adama Korea Inc.	51
		Adama Vietnam Limited Company	100
		Adama Agriculture Slovensko Spol s.r.o.	100
		Adama (Nanjing) Agricultural Science and Technology Company Limited	100
	Fahrenheit	Adama Quena N.V.	100
	Fahrenheit (50%) and Celsius (50%)	Magan HB B.V.	100
		Adama Argentina S.A.	100
		Kollant s.r.l.	100
		Adama Hungary z.r.t.	100
		Adama Andina B.V.	100
		Adama (China) Investment Company Limited	100

Adama Agricultural Solutions Ltd.

Appendix to the Financial Statements - Schedule of Investee Companies

Holding company/companies	Investee company	Control rate and ownership of holding company/ companies %
B. Foreign Consolidated Subsidiaries (cont'd)		
Fahrenheit (30%), Celsius (30%), Adama Agriculture B.V. (39.99%), and Adama Registrations B.V. (0.01%)	Adama Agriculture Espana S.A.	100
Magan HB B.V. (99.99%) and Agricur Defensivos Agricolas Ltda. (0.01%)	Adama Brasil S.A.	100
Adama Andina B.V. (99.90%) and Fahrenheit (0.10%)	ADAMA VZLA. S.A.	100
ADAMA Agriculture B.V. (64.63%), Adama Andina B.V. (35.37%), and Celsius (0.0001%) and Fahrenheit (0.0001%)	Adama Agriculture Peru S.A.	100
Adama Andina B.V. (99.8%) and Celsius (0.2%)	Adama Ecuador Adamecudor S.A.	100
Adama Andina B.V.	Adama Colombia S.A.S	100
Adama Agriculture B.V. (99.90%) and Fahrenheit (0.10%)	Adama Agriculture East Africa Limited	100
	Adama Guatemala SA	100
Adama Agriculture B.V. (99%) and Adama Celsius B.V. (1%)	ADAMA Bolivia S.R.L.	100
Adama Agriculture B.V. (99.98%), Celsius (0.01%), and Fahrenheit (0.01%)	Agricur Defensivos Agricolas Ltd.	100
	Adama (Thailand) Ltd.	100
Adama Agriculture B.V. (99.93%) and Celsius (0.07%),	Adama Paraguay S.R.L.	100
Adama Agriculture B.V. (99.90%) and Celsius (0.10%),	Adama Dominican Republic, S.R.L.	100
Adama Agriculture B.V. (99.99%) and Fahrenheit (0.01%)	Financiere de Pontarlier S.A. (SFP)	100
Control Solutions Inc.	Bonide Products LLC	100
Adama Agriculture B.V. (99.99%) and Celsius (0.01%),	Makhteshim Agan de Mexico S.A. de C.V.	100
	Rakefet India Private Limited	100

Adama Agricultural Solutions Ltd.

Appendix to the Financial Statements - Schedule of Investee Companies

Holding company/companies	Investee company	Control rate and ownership of holding company/ companies %
B. Foreign Consolidated Subsidiaries (cont'd)		
Adama Agriculture B.V. (99.99%), and Adama Registrations B.V. (0.01%)	Adama India Private Ltd.	100
	Adama Polska SP Z.O.O	100
	Adama Agricultural Solutions UK Ltd.	100
Adama Agriculture B.V. (95%), and Adama Registrations B.V. (5%)	Adama Italia SRL	100
	Adama Portugal Lda	100
Adama Agriculture B.V.	Adama New Zealand Ltd.	100
	Adama CZ s.r.o.	100
	Adama Deutschland GmbH	100
	Magan Korea Co Ltd.	100
	Adama SRB DOO Beograd	100
	Adama RUS LLC	100
	Adama Australia Holdings Pty Ltd.	100
	Adama Manufacturing Poland S.A.	100
	Adama Northern Europe B.V.	55
	Adama Crop Solutions ACC S.A.	100
	Adama France S.A.S.	100
	Adama Registrations B.V.	100
	Adama Japan K.K.	100
	Makhteshim Agan of North America Inc.	100
	Adama Agricultural Solutions S.R.L.	100
	Adama (Shanghai) Chemical Trading Co Ltd.	100
	Adama South Africa PTY Ltd.	100
	Adama Agriculture Swiss AG	100
	Adama Asia Pacific Pte Ltd.	100
	Adama Ukraine LLC	100
	Adama West Africa Ltd.	100
	Makhteshim Agan Chile SPA	100
	Adama Plant Protection Services Zambia Limited	100
	Adama Zimbabwe (Private) Ltd.	100
	ADAMA Turkey Tarım Sanayi ve Ticaret Limited Şirketi	100
	Adama West Africa Burkina SARL	100
	SFP Europe S.A.	100
	ADAMA Agricultural Solutions Hellas Single Member SA.	100
	ADAMA Agriculture Paraguay SA	51
	ADAMA Bulgaria EOOD (f/k/a Agribul Ltd.)	100
Makhteshim Agan Chile SPA (99.90%) and Adama Agriculture B.V. (0.10%)	Chileagro Bioscience S.A.	100
ADAMA New Zealand Limited	Grochem Horticulture Limited	100
ChileAgro Bioscience S.A. (99.9%) and Makhteshim Agan Chile SPA (0.1%)	Adama Chile SA	100

	Holding company/companies	Investee company	Control rate and ownership of holding company/ companies %
B.	**Foreign Consolidated Subsidiaries (cont'd)**		
	ADAMA Agriculture B.V. (98.09%) and Adama India Private Ltd. (1.91%)	PT. Royal Agro Indonesia	100
		Adama Servicios S.A. de C.V.	100
	Makhteshim Agan de Mexico S.A. de C.V. (98.6%) and Adama Agriculture B.V. (1.4%)		
		Ingenieria Industrial S.A. de C.V.	100
	Makhteshim Agan de Mexico S.A. de C.V. (99.99%) and Adama Agriculture B.V. (0.01%)		
		Adama AGS, S.A. de C.V.	100
	Makhteshim Agan de Mexico S.A. de C.V. (96.62%) and Ingenieria Industrial S.A. de C.V. (3.38%)		
	Adama Northern Europe B.V.	UAB Adama Northern Europe	100
	Makhteshim Agan of North America, Inc.	Control Solutions Inc.	100
		Alligare LLC	100
	Makhteshim Agan of North America, Inc. (40%) and Adama Agriculture B.V. (60%)	Adama Agricultural Solutions CANADA Ltd.	100
	Adama Australia Holdings Pty Ltd. (50%) and Farmoz Pty Ltd. (50%)	Adama Australia Pty Ltd.	100
	Adama Australia Holdings Pty Ltd	Farmoz Pty Ltd.	100
	Adama West Africa Ltd.	Agro ADAMA Solutions West Africa Ltd.	100
		Adama West Africa Cote D'Ivoire Ltd.	100
		Adama Cameroun SUARL	100
	Adama (China) Investment Company Limited	Adama (Beijing) Agricultural Technology Company Limited	100
		ADAMA (Jiangsu) Agricultural Solutions Company Limited	100

Adama Agricultural Solutions Ltd.

Appendix to the Financial Statements - Schedule of Investee Companies

	Holding company/companies	Investee company	Control rate and ownership of holding company/ companies %
C.	**Jointly-controlled Associated Companies**		
	Adama Agricultural Solutions Ltd.	Biotech Plant Genomic Fund L.L.P Biotech M.A.H Limited Partnership	50 50
	Biotech M.A.H Limited Partnership	Biotech Agro Ltd.	100
	ADAMA Fahrenheit BV	InnovAroma S.A.	50
D.	**Associated Companies**		
	Makhteshim Adama Brasil S/A	Targetgene Biotechnologies Limited Campo Limpo - Reciclagem e Transformação de Plásticos S/A	5% 12.21
	Agricur Defensivos Agricolas Ltda	Campo Limpo - Reciclagem e Transformação de Plásticos S/A	0.04
	ADAMA Agriculture BV	Agricover Distribution SA	10

Chapter D

Additional Information on the Company

Chapter D - Additional Information on the Corporation

Company Name: ADAMA Agricultural Solutions Ltd.

Company ID No.: 52-004360-5

Address: Golan St., POB 298, Airport City, 7015103

Fax: 073-2321937

Telephone: 073-2321000

Email: main@adama.com

Balance Sheet Date: December 31, 2025

Report Date: March 26, 2026

Regulation 10A - Condensed Quarterly Consolidated Statements of Income

In USD thousands

	Q1 Jan-Mar 2025	Q2 Apr-Jun 2025	Q3 Jul-Sep 2025	Q4 Oct-Dec 2025	Year Jan-Dec 2025
Revenues	876,592	968,050	853,354	962,129	3,660,125
Cost of sales	612,459	694,075	611,818	690,313	2,608,665
Gross Profit	**264,133**	**273,975**	**241,536**	**271,816**	**1,051,460**
Other income	(1,081)	(1,072)	(2,157)	(4,413)	(8,723)
Selling and marketing expenses	155,429	166,985	162,097	143,832	628,343
General and administrative expenses	40,055	50,413	41,635	41,891	173,994
Research and development expenses	11,667	12,302	10,413	12,193	46,575
Other expenses	1,239	3,944	1,862	39,715	46,760
Total operating expenses	207,309	232,572	213,850	233,218	886,949
Operating Income	**56,824**	**41,403**	**27,686**	**38,598**	**164,511**
Finance expenses, net	52,228	89,524	63,634	53,135	258,521
Profit after financing expenses	**4,596**	**(48,121)**	**(35,948)**	**(14,537)**	**(94,010)**
Share of income of equity-accounted investee companies	651	82	309	307	1,349
Profit before taxes on income	**5,247**	**(48,039)**	**(35,639)**	**(14,230)**	**(92,661)**
Income taxes	(3,845)	(4,797)	6,270	50,079	47,707
Profit for the year attributable to the owners of the Company	**9,092**	**(43,242)**	**(41,909)**	**(64,309)**	**(140,368)**

In the table above, numbers may not sum due to rounding.

Condensed Quarterly Statements of Comprehensive Income

In USD thousands

	Q1 Jan-Mar 2025	Q2 Apr-Jun 2025	Q3 Jul-Sep 2025	Q4 Oct-Dec 2025	Year Jan-Dec 2025
Profit for the period	9,092	(43,242)	(41,909)	(64,309)	(140,368)
Items that may be reclassified subsequent to profit or loss	-	-	-	-	-
Foreign currency translation differences for foreign operations	9,195	21,883	211	2,939	34,228
Foreign currency translation differences for foreign operations transferred to the statement of income	-	-	-	-	-
Effective portion of changes in fair value of cash flow hedges	(6,614)	(5,866)	(312)	3,203	(9,589)
Net change in fair value of cash flow hedges transferred to the profit or loss	(1,199)	5,777	2,415	309	7,302
Taxes related to items that may subsequently reclassified to profit or loss	807	354	-326	-517	318
Items that will not be reclassified subsequent to profit or loss					
Re-measurement of defined benefit plan	(147)	409	(437)	(55)	(230)
Taxes related to items that will not be reclassified subsequently to profit or loss	11	(49)	52	69	83
Total comprehensive income for the year attributable to the owners of the Company	11,145	(20,734)	(40,306)	(58,361)	(108,256)

Regulation 11 - Investments in Subsidiaries and Associated Companies[1]

Company Name	Stock exchange number	Class of share	Number of shares held by the Company	Total par value issued and outstanding	Cost (in USD 000's)	Value in Company separate financial statements (in USD 000's)	Equity Holdings %	Voting rights %	Authority to appoint directors' percentage
ADAMA Makhteshim Ltd.	Not traded	Ordinary	173,262,282	173,262,282	219,216	717,164	100%	100%	100%
ADAMA Agan Ltd.	Not traded	Ordinary	15,065,980	15,065,980	226,447	704,160	100%	100%	100%
Lycored Ltd.[2]	Not traded	Ordinary	12,687,558	15,223,428	17,689	112,038	100%	100%	100%
Total investments in subsidiaries					**463,382**	**1,533,362**			

Balance of loans to subsidiaries and associated companies[1]

In USD thousands

Company name	Loan amount	Linkage terms	Interest rate	Maturity date
ADAMA Makhteshim Ltd.	303,000	Dollar-linked	9.96%	Yet to be established
ADAMA Agan Ltd.	314,747	Dollar-linked	9.96%	Yet to be established
Total	617,747			

1 The table refers to the balance sheet date and to the principal amount of material companies only.

2 Lycored Ltd. holds 2,535,870 of its shares, which according to Article 308(a) of the Companies law, do not grant any rights. Accordingly, the rate indicated in the table as held by the Company is 100%.

Regulation 13 - Revenues of Subsidiaries and Associated Companies and Company Revenues therefrom[1]

In USD thousands

Name of Subsidiary	pre-tax provision	Post tax provision, including equity gains from subsidiaries	Dividend (Company's Revenues)	Management fees (Company's Revenues)	Interest, linkage differences (Company's Revenues)
ADAMA Makhteshim Ltd.	(118,231)	(139,007)		42,086	37,199
ADAMA Agan Ltd.	29,757	(10,301)		34,023	46,597
Lycored Ltd.	7,626	4,929		1,210	

Regulation 21 - Compensation to Senior Office Holders

A. Compensation paid to Senior Office Holders in the Company and its Controlled Corporations in the reporting year:

Compensation Recipient				Compensation for services (in USD thousands)				
Name	Title	Scope of position	Holding in Company equity	Salary[(1)]	Bonus for 2025[(2)]	Total	LTI[(3)]	Total
Mr. Gael Hili[(4)]	President & CEO	100%	0%	884	525	1,409	262	1,670
Ms. Ruthie Zeltzer[(5)]	EVP, People	100%	0%	642	213	855	90	946
Mr. Elad Shabtai	EVP, Formulation Supply	100%	0%	526	193	719	183	902
Ms. Efrat Nagar[(6)]	EVP, CFO	100%	0%	475	176	652	232	884
Mr. Florian Wagner[(7)]	EVP, Portfolio & Innovation	100%	0%	531	221	753	133	886

(1) The salary component stated above includes the following primary components: social benefits, commonly accepted social provisions and related expenses, grossing up of vehicle value, landline and cellular phone expenses reimbursement and linkage to the relevant CPI and post-employment related provisions.

(2) The amounts represent 2025 annual bonus amounts that have not yet been approved nor paid to the Senior Office Holders but have been recorded in the Company's 2025 financial statements for the 2025 performance year. The bonus amounts accrued and recorded in the 2025 financial statements are estimates based on performance targets and do not take into account the non-financial bonus component. Accordingly, there may be differences between the amounts recognized in the 2025 financial statements and the amounts that will ultimately be approved and paid. The approval and payment of the 2025 annual bonus is expected to take place after the publication date of this Report.

(3) The amounts presented in the table represent expenses (or income, as applicable) recorded in the Company's 2025 financial statements in respect of phantom options awarded under a long-term phantom award plan from February 2019 and September 2019 (the latter - as an alternate plan to the one approved in 2017), in respect of awards granted under a long-term cash incentive plans from 2023, 2024 and 2025 and in accordance with an incentive plan adopted

by the Parent Company's controlling shareholder, Syngenta Group, and thereafter by the Company, related to Syngenta Group's results, in accordance with the Company's Remuneration Policy.

(4) Mr. Gael Hili serves as the President and CEO of the Company and, concurrently, as the President and CEO of ADAMA Ltd. (the "**Parent Company**"). Mr. Hili assumed these roles effective October 1, 2024, succeeding his predecessor, Mr. Steven Hawkins. Pursuant to the dual-appointment arrangement, ADAMA Ltd. is allocated 50% of the total aggregate employment costs incurred by the Company with respect to Mr. Hili. The same arrangement, whereby 50% of the total aggregate employment costs were allocated to ADAMA Ltd., applied to Mr. Hawkins during his tenure in these dual roles. The amounts in the table reflect approximately 50% of Mr. Hili's compensation (the portion borne by the Company).

(5) Ms. Zeltzer served as the Company's EVP, People until December 31, 2025. The amount presented under Ms. Zeltzer's salary also includes salary-related 'final settlement of account' provisions. Ms. Zeltzer was employed by a Company's controlled corporation.

(6) Pursuant to the Services Agreements between the Company and the Parent Company, since October 1, 2017, the Company provides senior management services to the Parent Company through the CFO, who during the reporting period held such concurrent positions in the Parent Company, representing up to 20% of a full-time position. The Parent Company pays 20% of the CFO's total employer cost plus expense reimbursement. The amounts in the table reflect approximately 80% of Ms. Nagar's compensation (the portion borne by the Company). Other officers also provide services to the Parent Company under a general corporate and operational services agreement, and their presented amounts do not account for that compensation.

(7) Employed by a Company's controlled corporation.

Note:
(*) On March 2025, the Company approved the payment of bonuses to certain Senior Office Holders for 2024, as detailed in Chapter D of the Periodic report for 2024.

B. Compensation paid to Office Holders after the Balance Sheet Date, with regard to their tenure or employment in the reporting year

See the above table.

C. Compensation paid to each of the Interested Parties in the Company who is not included in the section above

During 2025, compensation to the Company's external and independent directors, which was set as the "fixed amount" under the Companies Regulations (Principles for Remuneration and Expenses for an External Director, 5760-2000), amounted to approximately NIS 538 thousand.

The terms of office of the Company's directors are in accordance with the Company's Remuneration Policy.

Regulation 21A - Control in the Company

At the Report Date, the direct controlling shareholder of the Company is - ADAMA Ltd. ADAMA Ltd. is ultimately controlled by Sinochem Holdings which is subordinate to the State-owned Assets Supervision and Administration Commission (SASAC) of the State Council in China. However, the Company does not refer to the supervision of SASAC as establishing control of the Chinese Government over the Company.

Regulation 22 - Transactions with Controlling Shareholders

For information regarding transactions with the controlling shareholder or wherein the controlling shareholder has a personal interest in the authorization thereof (excluding

negligible transactions), executed by the Company during the Report period, or at a date following the end of the Report year and until the Report filing date, or those still in effect on the Report Date, as well as details regarding the Company's negligible transactions procedure, see Note 28 to the Financial Statements.

Regulation 24 - Holdings of Interested Parties and Office Holders

For information regarding the holdings of interested parties in the Company's securities at December 31, 2025, see the Company's immediate reports dated January 8, 2026 (Ref: 2026-01-003091), which is included here by way of reference.

Regulation 24A - Registered Capital, Issued Capital and Convertible Securities

See Note 21A to the Financial Statements.

Regulation 24B - Shareholders Register

As of the date of publication of this Report, the Company's shareholders register is as follows:

Shareholder Name	Corporate / ID No.	Street	City	Residency	Share Class	Number of Shares
ADAMA Ltd.	91420000706962287Q	93, East Beijing Road	Jingzhou City	Hubei Province, China	Ordinary shares, par value 3.12 NIS per share	137,990,881

Regulation 26 - Corporation Directors[3]

Name of Director	Hengde Qin (Chairman)	Gael Hili
Identification No.	PE2227583	23FV03239
Date of birth	April 6, 1970	August 18, 1973
Address for serving court documents	c/o Syngenta Group, Rosentalstrasse 67, 4002 Basel, Switzerland	c/o ADAMA Agricultural Solutions Ltd., Golan 1, POB 298, Airport City 7015103
Citizenship	Chinese	French
Board committees' membership	No	No
Independent director or external director	No	No
Accounting and financial expertise or professional qualifications	Accounting and Financial Expertise	Accounting and Financial Expertise
An employee of the Company, a subsidiary, an associated company of the Company or an interested party	Chairman of the Board of Directors of ADAMA Ltd. (the controlling shareholder of the Company); CFO of Syngenta Group Co., Ltd. (the indirect controlling shareholder of the Company); COBD in Syngenta Group Modem Agricultural Science and Technology Company Limited (a subsidiary of such indirect controlling shareholder); COBD of Win-all Hi-tech seed co., Ltd.; COBD of Zhenda Xianjianjing (Shanghai) Science and Technology Development Company Limited; Mr. Qin was appointed CCO of Syngenta Group Co., Ltd. subsequent to the date of this Report.	President, CEO and Director of the Company; President and CEO of ADAMA Ltd. (the controlling shareholder of the Company).
Commencement of tenure	December 1, 2023	October 1, 2024
Education	B.A in Accounting, East China Engineering Institute of Tech; M.A in Industrial Engineering, Huazhong University of Science & Tech; M.B.A, China Europe Int Business School	M.A in Mechanical Engineering, Université de technologie de Compiègne
Positions in preceding five years and service as a director in additional corporations	COBD of Win-all Hi-tech seed co., Ltd.; Zhenda Xianjianjing (Shanghai) Science and Technology Development Company Limited; Syngenta Group Modem Agricultural Science and Technology Company Limited; Jiangsu Yangnong Chemical Company Limited.	Regional Director Europe in Syngenta Crop Protection AG; Seeds Regional Director EAME in Syngenta Crop Protection AG; Head of East Europe in Syngenta Crop Protection AG.
Family member of another interested party in the Company (to the best of the knowledge of the Company and its directors)	No	No
Director considered by the Company to have accounting and financial expertise for the purpose of compliance with the minimum number determined by the Board pursuant to Section 92(A)(12) of the Companies Law	Yes	Yes

[3] As of the date of publication of this Report.

Name of director	An Liru	Alexandra Brand
Identification No.	EC4920790	C5KTZYHGM
Date of birth	October 21, 1969	March 29, 1971
Address for serving court documents	c/o ADAMA Agricultural Solutions Ltd. Golan Street, Airport City 7015103, Israel	c/o Syngenta Group, Rosentalstrasse 67, 4002 Basel, Switzerland
Citizenship	Chinese	German
Board committees' membership	No	No
Independent director or external director	No	No
Accounting and financial expertise or professional qualifications	Professional Qualifications	Accounting and Financial Expertise
An employee of the Company, a subsidiary, an associated company of the Company or an interested party	Director of ADAMA Ltd. (the controlling shareholder of the Company); Non-executive Director in China National Bluestar (Group) Co., Ltd. and Jiangsu Yangnong Chemical Co., Ltd..	EVP Sustainability & Corporate Affairs in Syngenta Crop Protection AG
Commencement of tenure	February 27, 2014	July 1, 2024
Education	B.A. in Applied Chemistry, Nanjing University; M.A in Chemical Engineering and MBA, Nanjing University	M.Sc. in Chemistry, Technische Universität Darmstadt School; Ph.D. in Chemistry, Technische Universität Darmstadt School
Positions in preceding five years and service as a director in additional corporations	EVP China, SVP (Head of China Cluster) of the Company; Director/General Manager of several of the Company's Chinese subsidiaries; Director of ADAMA Ltd.; Secretary of the Communist Party Committee of ADAMA Ltd.; QHSE Director and Vice President of Syngenta Group Modern Agricultural Technology Co., Ltd. (SGC);	EVP Sustainability & Corporate Affairs in Syngenta Crop Protection AG; Regional Director EAME in Syngenta Crop Protection AG.
Family member of another interested party in the Company (to the best of the knowledge of the Company and its directors)	No	No
Director considered by the Company to have accounting and financial expertise for the purpose of compliance with the minimum number determined by the Board pursuant to Section 92(A)(12) of the Companies Law	No	Yes

Name of director	Ron Hyman	Haining Xing Auperin[4]
Identification No.	054674395	17AA12170
Date of birth	January 7, 1957	April 10, 1976
Address for serving court documents	3 Zalman Shazar St., Netanya, Israel	c/o ADAMA Agricultural Solutions Ltd. Golan Street, Airport City 7015103, Israel
Citizenship	Israeli	French
Board committees' membership	Audit Committee, Financial Statements Review Committee and Remuneration Committee	Audit Committee, Financial Statements Review Committee and Remuneration Committee
Independent director or external director	External Director	External Director
Accounting and financial expertise or professional qualifications	Accounting and Financial Expertise	Accounting and Financial Expertise
An employee of the Company, a subsidiary, an associated company of the Company or an interested party	No	No
Commencement of tenure	March 12, 2024	October 9, 2025
Education	B.A in Accounting and Economics, Tel Aviv University; Computerized Information System Auditor; Certified Public Accountant;	Double Bachelor's degree in Finance and language from China Finance Institute / Beijing Language & Culture University, Beijing; Master's degree in Business Management from Capital University of Economics and Business in China, Beijing; Master (Management and company policies - Human Resources - Social development and employment) from Sciences-Po, Paris; Certified IDP (International Director Program), Corporate Governance Centre from INSEAD.
Positions in preceding five years and service as a director in additional corporations	Founder/CEO of RH Holdings Ltd.; External Director of Blue Square Real Estate Ltd.; External Director of Waterstone Properties Ltd.; Director of Chamoss International Limited; External Director of Airtouch Solar Ltd.; External Director of Identi Healthcare Ltd.; External Director of Carasso Real Estate Ltd.; Independent Director of Greystone Senior BI, Ltd.	Sulzer Management Ltd. - Group CHRO, member of the Executive Committee (2023 - present); Sulzer Management Ltd. - Division HR head Flow and Services, member of both Division management boards (2016 - 2022); Director in Becker Industrial Coatings Holding AB.
Family member of another interested party in the Company (to the best of the knowledge of the Company and its directors)	No	No
Director considered by the Company to have accounting and financial expertise for the purpose of compliance with the minimum number determined by the Board pursuant to Section 92(A)(12) of the Companies Law	Yes	Yes

[4] Ms. Haining Xing Auperin replaced Mr. David George Morgan, who ceased to serve as external director on September 30, 2025. For further information, see immediate report dated August 26, 2025 (ref: 2025-01-063796).

Name of director	Jiahong Wu
Identification No.	EK3161852
Date of birth	January 11, 1974
Address for serving court documents	c/o ADAMA Agricultural Solutions Ltd. Golan Street, Airport City 7015103, Israel
Citizenship	Chinese
Board committees' membership	Audit Committee, Financial Statements Review Committee and Remuneration Committee.
Independent director or external director	Independent Director
Accounting and financial expertise or professional qualifications	Accounting and Financial Expertise
An employee of the Company, a subsidiary, an associated company of the Company or an interested party	No
Commencement of tenure	March 12, 2024
Education	Bachelor's degree from Shanghai University Institute of Foreign Trade; M.B.A from Fudan University.
Positions in preceding five years and service as a director in additional corporations	Managing Director at Goldman Sachs Gao Hua Securities Company Limited (2019 - 2022) General Manager - Investor Relations at Vitaco Health (NZ) Limited.
Family member of another interested party in the Company (to the best of the knowledge of the Company and its directors)	No
Director considered by the Company to have accounting and financial expertise for the purpose of compliance with the minimum number determined by the Board pursuant to Section 92(A)(12) of the Companies Law	Yes

Regulation 26A - Senior Office Holders[5,6]

Name of Senior Office Holder	Efrat Nagar	Elad Shabtai
Identification No.	031882558	022881346
Date of birth	December 7, 1974	December 18,1966
Commencement of office	February 16, 2023	October 15, 2020
An interested party in the Company / a family member of another senior officer or an interested party	No	No
Education	MBA, Bar Ilan University; CPA; BA, Economics and Accounting, Bar Ilan University.	Ph.D. Chemistry, the Hebrew University of Jerusalem
Position in the Company, subsidiary, associated company of the Company or of an interested party	EVP CFO; Director of several group companies.	EVP Formulation Supply; Director of several group companies
Positions in the preceding five years	VP Finance; Executive Corporate Business Director; Regional CFO of India, Middle East and Africa; Director of several group companies.	VP IDR; Director of several group companies

Name of Senior Office Holder	Bruce Frederic Morris	Florian Wagner
Identification No.	A37257064	C9G090FH0
Date of birth	September 30, 1970	March 25, 1975
Commencement of office	December 1, 2023	March 1, 2024
An interested party in the Company / a family member of another senior officer or an interested party	No	No
Education	MBA, Duke University, Fuqua School of Business; MS in Mechanical Engineering, Purdue University; BS in Mechanical Engineering, University of Virginia.	Dipl.-Ing. in Business Administration & Engineering, from Karlsruhe Technology University; M.Sc. in Industrial Engineering from Georgia Institute of Technology
Position in the Company, subsidiary, associated company of the Company or of an interested party	EVP AI Production.	EVP Portfolio and Innovation
Positions in the preceding five years	Head of AI Manufacturing & Sourcing; Head of Global Engineering and Contract Manufacturing; Head of Global Contract Manufacturing.	Head Marketing and Business Development, Syngenta Crop Protection, Europe, Africa & Middle-East; Head Global Insect Control, Syngenta Crop Protection.

[5] As of the date of publication of this report.
[6] For details regarding Mr. Gael Hili, who also serves as a director in the Company, see Regulation 26 above.

Name of Senior Office Holder	Eric Dereudre	Liu Hongsheng
Identification No.	22CA49675	PE2201780
Date of birth	April 17, 1972	December 5, 1966
Commencement of office	April 1, 2025	December 1, 2024
An interested party in the Company / a family member of another senior officer or an interested party	No	Director in ADAMA Ltd. (the controlling shareholder of the Company); COBD of ADAMA Huifeng (Jiangsu) Ltd. (a subsidiary of the controlling shareholder of the Company); Senior Advisor to SinoChem Holdings Corporation Ltd. on Production and Operation.
Education	Master in Agronomy (France); Master of Business Administration (USA)	B.A in Philosophy from Peking University M.B.A from Shanghai Maritime University
Position in the Company, subsidiary, associated company of the Company or of an interested party	Chief Commercial Officer	Special Advisor to CEO on Operations
Positions in the preceding five years	VP Government and Industrial Affairs in Corteva; Commercial Director, Europe, in Corteva.	CPC Party Secretary and President of the chemical division of Sinochem Group; CPC Party Secretary, Director, and the General Manager of Sinochem International (Holdings) Co., Ltd.; Chairman of Halcyon Agri Corporation Limited. (2019-2022); CPC Party Secretary and President of Syngenta Group China; Chairman of the Board for Sinofert Holding Limited and Jiangsu Yangnong Chemical Co., Ltd. (2022-2023);

Name of Senior Office Holder	Nir Rehav	Keren Yonayov
Identification No.	031748155	025699950
Date of birth	August 20, 1974	January 16, 1974
Commencement of office	March 1, 2025	June 1, 2010
An interested party in the Company / a family member of another senior officer or an interested party	No	No
Education	MBA, Business management, Ben-Gurion University of The Negev, Guilford Glazer School of Business and Management; BA, Business Administration, Information Systems, Ruppin Academic Center	Business Management and Accounting, the College of Management, Rishon Lezion; CPA; LL.M for auditor, Bar Ilan University.
Position in the Company, subsidiary, associated company of the Company or of an interested party	Head of Global IDT	Head of Global Controlling and Accounting
Positions in the preceding five years	CIO, SodaStream, 2014 - 2025;	Group Corporate Controller

Name of Senior Office Holder	Dana Gottesman-Erlich
Identification No.	037575735
Date of birth	August 8, 1975
Commencement of office	April 15, 2024
An interested party in the Company / a family member of another senior officer or an interested party	No
Education	CPA; BA in Business Management / Accounting from the College of Management; MA in Public Administration / Internal Audit from Bar Ilan University.
Position in the Company, subsidiary, associated company of the Company or of an interested party	Internal Auditor
Positions in the preceding five years	Partner in BDO Israel

Regulation 26B - Independent Authorized Signatories

At the report date, the Company does not have any authorized signatories who have the power to bind the Company in any particular action, without the need for the signature of another authorized signatory in the Company.

Regulation 27 - Company's Auditors

Accounting firm Somekh Chaikin & Co. from the KPMG Group, Ha'Arbaa St. 17, Tel Aviv.

On March 12, 2025, the Company's General Meeting of the shareholders resolved (following the recommendation of the Financial Statements Review Committee and the Board of Directors) to approve the appointment of Somekh Chaikin & Co. from the KPMG Group as the Company's auditors, effective November 1, 2025.

Regulation 28 - Adjustments to the Articles of Association or Memorandum

No amendments were made to the Company's Articles of Association during the report period.

Regulation 29 - Board of Directors Recommendations and Resolutions

A. Regulation 29(a) -

For details regarding transactions with the Company's controlling shareholder, see Regulation 22 above.

B. Regulation 29(c) - Resolutions of Special General Meetings

1. For details regarding transactions with the Company's controlling shareholder, see Regulation 22 above.
2. In March 2025, the general meeting approved resolutions with respect to the remuneration of the President & CEO (including, for the sake of caution, of the previous President & CEO), in accordance with section 272(c1)(1) of the Companies Law for the year 2024, including the payment of awards previously granted under the Cash LTI and Syngenta Group LTI Plans.
3. In April, June and August 2025, the general meeting approved resolutions with respect to certain adjustments to the Company's President & CEO remuneration. The June 2025 resolutions also included the granting of Cash LTI and Syngenta Group LTI Plans to the President & CEO, in accordance with section 272(c1)(1) of the Companies Law.

Regulation 29A - Company Resolutions

Listed below are resolutions of the Company's Board of Directors that are not specified in "Regulation 29 - Board of Directors Recommendations and Resolutions" above:

1. **Extraordinary Transactions requiring special approval under section 270(1) of the Companies Law:** There are no such resolutions which are not mentioned in "Regulation 29 - Board of Directors Recommendations and Resolutions" or in "Regulation 22 - Transactions with Controlling Shareholders".

2. **Officers Exemption, Indemnification and Insurance:** See Note 19(a)(1) and 19(a)(2) to the Financial Statements.

Date: March 26, 2026

Hengde Qin	**Gael Hili**
Chairman of the Board	Director, President and CEO

Chapter E

Report regarding the Effectiveness of the Internal Auditing of Financial Reporting and Disclosure

Annual report regarding the effectiveness of the internal auditing of financial reporting and disclosure according to Regulation 9B(a):

The Management, under the supervision of the Board of Directors of ADAMA Agricultural Solutions Ltd. (hereafter: the "**Corporation**"), is responsible for determining and maintaining appropriate internal auditing of financial reporting and of disclosure in the Corporation.

In this matter, the members of the Management are the following:

- Gael Hili, President and CEO
- Efrat Nagar, EVP, CFO
- Elad Shabtai, EVP, Formulation Supply
- Bruce Morris, EVP, AI Production
- Florian Wagner, EVP, Portfolio & Innovation
- Eric Dereudre, EVP, CCO

The internal auditing of financial reporting and disclosure includes the existing controls and procedures in the Corporation, which were designed by the Chief Executive Officer and the senior corporate financial officer or under their supervision, or by the individual who in practice executes these functions, under the supervision of the Corporation's Board of Directors and which are intended to provide a reasonable degree of confidence regarding the reliability of financial reporting and preparation of the reports according to the instructions of the law and to ensure that the information the corporation is required to disclose in the reports that it publishes according to the instructions of the law, is collected, processed, summarized and reported on the dates and in the format dictated by law.

The internal auditing includes, *inter alia*, audits and procedures that were designated to ensure that said information the corporation is required to disclose was accumulated and submitted to the corporation's Management, including the Chief Executive Officer and the senior corporate financial officer or the individual who in practice fulfills these functions, so as to facilitate decision making at the appropriate time, with regard to the disclosure requirements.

Due to its structural constraints, internal auditing of financial reporting and disclosure is not intended to fully guarantee that a biased presentation or the omission of information in the reports will be avoided or discovered.

The Management, under the supervision of the Board of Directors, has executed an assessment of the internal auditing of financial reporting and disclosure in the corporation and its effectiveness.

The assessment of the effectiveness of the internal auditing of financial reporting and disclosure carried out by the Management under the supervision of the Board of Directors consisted of four main components:

- Entity Level Controls.
- Financial Reporting Process and Disclosure.
- Information Technology General Controls (ITGC's).
- Control regarding very significant processes connected with financial reporting: Sales, Inventories, Purchasing and Hedging transactions/derivatives.

Based on the assessment of the effectiveness, executed by the Management under the supervision of the Board of Directors as specified above, the Board of Directors and the Management of the Corporation have concluded that the internal auditing of the financial reports and disclosure in the Corporation as of December 31, 2025, is Effective.

Officers' Certification

Certification of CEO according to Regulation 9B(d)(1):

I, Gael Hili, affirm that:

(1) I have reviewed the periodic report of Adama Agricultural Solutions Ltd. (hereinafter: the "**Corporation**") for the year 2025 (hereinafter: the "**Reports**").

(2) Based on my knowledge, the Reports do not contain any untrue statement of a material fact or omit a material fact necessary in order to make the statements made therein, in light of the circumstances under which such statements were made, misleading with respect to the period covered by the Reports.

(3) Based on my knowledge, the financial statements and other financial information included in the Reports fairly present, in all material respects, the financial condition, results of operations and cash flows of the Corporation as of the dates and for the periods presented in the Reports.

(4) Based on my most recent evaluation regarding internal control over financial reporting and disclosure, I have disclosed to the Corporation's auditors, Board of Directors and Audit and Financial Statements committees of the Board of Directors:

   (a) All significant deficiencies and material weaknesses in the establishment or operation of internal control over financial reporting and disclosure, which may reasonably adversely affect the Corporation's ability to collect, process, summarize or report financial data so as to cast doubt on the reliability of financial report and the preparation of financial statements in accordance with law; and -

   (b) Any fraud, whether or not material, that involves the CEO, anyone directly subordinated to the CEO or that involves other employees who have a significant role in internal control over financial reporting and disclosure.

(5) I, alone or together with others in the Corporation:

   (a) Have designed such controls and procedures, or have confirmed the establishment and existence of such controls and procedures under my supervision, so as to ensure that material information relating to the Corporation, including its consolidated corporations as defined in the Securities Regulations (Annual Financial Statements), 5770-2010, is made known to me by others in the Corporation and the consolidated corporations, particularly during the course of the period wherein the Reports are being prepared; and

   (b) Have established such controls and procedures, or confirmed the establishment and existence of such controls and procedures under my supervision, so as to ensure reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements in accordance with the law, including in accordance with generally accepted accounting principles; and

   (c) Have evaluated the effectiveness of the internal control over financial reporting and disclosure, and have presented in this report the conclusions of the Board of Directors and the Management with regard to the effectiveness of the internal control as of the date of the financial statements.

Nothing in the aforesaid derogates from my responsibility or from the responsibility of any other individual under the law.

Date: 26.3.2026

Gael Hili

President and CEO

Officers' Certification

Certification of Chief Financial Officer according to Regulation 9B(d)(2):

I, Efrat Nagar, affirm that:

(1) I have examined the financial statements and other financial information recorded in the reports of Adama Agricultural Solutions Ltd. (hereinafter: the "**Corporation**") for the year 2025 (hereinafter: the "**Reports**").

(2) Based on my knowledge, the financial statements and other financial information recorded therein do not contain any untrue statement of a material fact, nor do they omit a material fact necessary in order to make the statements made therein, in light of the circumstances under which such statements were made, misleading with respect to the period covered by the Reports.

(3) Based on my knowledge, the financial statements and other financial information included in the Reports fairly present, in all material respects, the financial condition, results of operations and cash flows of the Corporation as of the dates and for the periods presented in the Reports.

(4) Based on my most recent evaluation regarding internal control over financial reporting and disclosure, I have disclosed to the Corporation's auditors, Board of Directors and Audit and Financial Statements committees of the Board of Directors:

   (a) All significant deficiencies and material weaknesses in the establishment or operation of internal control over financial reporting and disclosure, insofar as such refers to the financial statements and the other financial information recorded therein to the extent it relates to the financial statements and other financial information included in the Reports, which may reasonably adversely affect the Corporation's ability to collect, process, summarize or report financial data so as to cast doubt on the reliability of financial report and the preparation of financial statements in accordance with law; and -

   (b) Any fraud, whether or not material, that involves the CEO or anyone directly subordinated to the CEO or that involves other employees who have a significant role in internal control over financial reporting and disclosure.

(5) I, alone or together with others in the Corporation:

   (a) Have designed such controls and procedures, or I have confirmed the establishment and existence of such controls and procedures to be designed under my supervision, so as to ensure that material information relating to the Corporation, including its consolidated corporations within as defined their meaning in the Securities Regulations (Annual Financial Statements), 5770-2010, insofar as such is relevant to the financial statements and the other financial information recorded therein to the extent it relates to the financial statements and other financial information included in the Reports, is made known to me by others in the Corporation and the consolidated corporations, particularly during the course of the period wherein the Reports are being prepared; and

   (b) Have established such controls and procedures, or confirmed the establishment and existence of such controls and procedures under my supervision, so as to ensure reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements in accordance with the law, including in accordance with generally accepted accounting principles; and

   (c) Have evaluated the effectiveness of the internal control over financial reporting and disclosure, insofar as such is relevant to the financial statements and the other financial information recorded therein as of the date of the statements; My conclusions regarding my aforesaid evaluation have been presented to the Board of Directors and the Management and are combined in this Report.

Nothing in the aforesaid derogates from my responsibility or from the responsibility of any other individual under the law.

Date: 26.3.2026

Efrat Nagar

CFO